Radico Khaitan Ltd (RADICO)

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BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 532497 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot no. C/1, G Block
Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: RADICO

Sub: Transcript of the Earnings Call conducted on May 26, 2023

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Earnings Call held on Friday, May 26, 2023, for the Audited Financial Results of the Company for the quarter and financial year ended March 31, 2023.

The same is also uploaded on the website of the Company at www.radicokhaitan.com .

This is for your information and records.

Thanking You,

Yours faithfully,
For Radico Khaitan Limited

(Dinesh Kumar Gupta)
Vice President – Legal &
Company Secretary

Email Id: investor@radico.co.in

Encl.: As Above

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Radico Khaitan Limited
(BSE: 532497; NSE: RADICO)

Fourth Quarter and Full Year FY2023
Earnings Conference call
May 26, 202 3

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Amar Sinha, Chief Operating Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and gentlemen, good day, and welcome to the Radico Khaitan Q4 FY 23 Results Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the confere nce call, please signal the operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Himanshu Shah from Dolat Capital. Thank you, and over to you, sir.
Before we begi n our presentation, I would like to remind you that some of the statements made in today 's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation for the detaile d disclaimer.
Himanshu Shah: Thank you, Zico. Good afternoon, everyone. On behalf of Dolat Capital, we welcome you all to Q4 FY 23 Earnings Conference Call of Radico Khaitan. We would like to thank the management for giving us the opportunity to host the call. On the call, we have with us Mr. Abhishek Khaitan – Managing Director , Mr. Amar Sinha – Chief Operating Officer , Mr. Dilip Banthiya – Chief Financial Officer and Mr. Sanjeev Banga - President, International Business. Let me hand over the floor to Mr. Abhishek Khaitan for his opening remarks. Thanks, and over to you, sir.
Abhishek Khaitan: Good afternoon, ladies, and gentlemen. Thank you for joining us on our Q4 FY 23 results conference call.
Our performance during the year was driven by our consistent focus on consumer centricity, sustained investment behind our core brands, coupled with premiumization, agile supply chain and robust distribution network.
Our Prestige & Above category volumes remained robust, and we registered 17% year -on-year growth on a very high base. This was led by our core brands such as Magic Moments vodka, which crossed 5 million cases sale , Morpheus Premium brandy and 1965 Spirit of Victory Premium rum, both of which crossed a million -case mark. Magic Moments is now the seventh largest vodka brand globally.

Driven by our premiumization focus, during the year, we have delivered strong growth in the top end of the Prestige & Above brands. Prestige & Above brands have shown 150% growth compared to pre - pandemic levels. This has led to a sustainable improvement in the realization per case as we have highlighted in our presentation.
To capitalize upon the traction of 8PM Premium Black whisk y during Q1 FY24, we have launched renovated edition of the brand into a more contemporary packaging to enhance upon its brand equity and make

it more aspirational. The new packaging is focused on differentiating the products by highlighting the 8 rare no tes.
During Q4 FY 23, the Company unveiled Sangam World Malt whisk y at ProWein 2023 in Düsseldorf. Sangam is a confluence of malt from the traditional European origins and the new world. It is being launched in the U.S.A., Europe, U.K., Australia, Singapore, and Global Travel Retail with shipments starting from June 2023.
While the raw material scenario still remains volatile, we are seeing early signs of deflation in certain commodities. In the IMFL segment, we have recently received price increases in the state of Uttar Pradesh, Rajasthan, Telangana, Karnataka, etc . Overall, recent price increases will account for 1.8% of IMFL sales value in FY 24. With these price increases coupled with a favorable product mix, we will be able to mitigate margin headwinds in the IMFL business to a large extent.
The impact of the cost push has been much severe in the non-IMFL business where we have receiv ed price increases in the state of Uttar Pradesh applic

able from 1st April '23 onwards. This will support the profitability expansion in FY 24.
During Q 4 FY23, we had successfully commissioned the dual feed plant at Rampur and started bottling operations at Sitapur. The distillery operations of Sitapur are expected to start commercial operations from the beginning of Q2 FY 24. As we continue to drive our premiumization journey, the availability of additional grain -based ENA will strengthen our value proposition. The bottling plant at Sitapur positions us strongly to capitalize on the future growth opportunities in the branded business.
Radico Khaitan is progressing firmly on the part of its exciting premium brand creation journey, which will be further strengthened by the backward integrated manufacturing platform.

Going forward, we continue to focus on our long -term plan s of premium IMFL portfolio expansion with new brand introduction in both white and brown spirits and leveraging the benefits of our capital investments.
Despite the near -term concerns around inflationary pressure s, we are confident that we have all the lev ers in place for FY 24 and expect to build on the current momentum and deliver a broad volume -led growth along with improvement in profitability.
I would now like to hand over the call to our CFO for a detailed operational and financial review. Thank you, and over to you, Dilip.
Dilip Banthiya: Thank you, Abhishek. Thank you, everyone, for joining us on this call today.
During Q4 FY23, we reported total IMFL volume of 7.24 million cases, which is relatively flat on Y -o-Y basis. Prestige & Above catego ry volume grew by 17.4% . Including the royalty brands , our P&A volume growth is around 35%.
In value terms, the Prestige & Above category registered 18.2% growth.
Our Prestige & Above category volume represents a double -digit CAGR compared to the pre -COVID level. We have rationalized the volume of regular category brands. This is a conscious strategic decision to mitigate input cost pressures.
Prestige & Above category now account for 40.2% of IMFL volume compared to 30.5% in Q4 of FY 22. The percentage expansion has been higher due to the decline in regular volumes.
In FY 24, we expect that our Prestige & Above category volume will continue the high double -digit growth. With recent ly received price increases in key states, regular volume shall also return to their mid-single -digit growth rate.
Our gross margin during the quarter has been under pressure due to the continued commodity inflation, particularly in no n-IMFL business, where we have recently received price increases. Given a favorable product mix change, impact of cost push on the gross margin of IMFL

business was mitigated to a large extent.
We have experienced inflation in ENA and glass. Glass costs increased by around 12% from the middle of Q3. The full impact of which is visible in Q4. However, certain other commodities such as PET resin

and paper have seen early sign of soft ening. In the near term, we expect raw material pricing situation to remain volatile.
We expect our margin to improve from current level as we have multiple levers of profitability improvement into FY 24.
1) Our Rampur dual feed plant has already become operati onal and Sitapur plant is expected to be operational from the beginning of Q2 FY24. 2) With CL/UPML price increase, our non -IMFL margin s will also improve. 3) We expect strong P&A volume growth with already received price increases in the IMFL segment. 4) We will have higher volume contribution from luxury brands, Rampur Indian Single Malt, and Jaisalmer Indian Craft gin.
We have a strong financial position , and comfortable liquidity. During these times , we are taking all necessary steps to sustain our financial strength, maintain robust business model and grow consistently, competitively, and profitably.
With this, we'll now open the line for Q&A. Thank you.
Question & Answer S ession :
Moderator: Thank you. Our first question is from the line of Vaibhav Gupta from Bowhead Inv estment Advisors. Please go ahead.
Vaibhav Gupta: Sir, as you have mentioned that for P&A category, the growth, including royalty sales is 35%. So similarly, can you share the same number for full year and for regular segment also for the quarte r and full year?
Dilip Banthiya: So, royalty brands is included -- for full year also in the range of 35% to 37%.
Vaibhav Gupta: Okay, sir. And what about the regular category, sir?
Saket Somani : For regu lar category, if we add the royalty brands, in the Q4, the decline would be about 16% against 23% that we have reported. And for the full year it's about 7% against the 13% that we have reported.
Vaibhav Gupta: Got it sir, similarly, like growth in exports and CSD for the quarter and full year, like do you have the number in hand?
Dilip Banthiya: So as far as the growth in export as well as in defense is concerned, the P&A category is growing in double digits in export and as well as in defense and certain civil markets where the input cost pressures were high, we cut down on certain brand sales. And this is the reason that

the regular category has degrown in this year. But given the price increases which we have receiv ed in certain states, as well as the international freight pricing coming down, we expect that the regular category to go in the mid-single digit.
Moderator: Our next question is from the line of Harit Kapoor from Investec.
Harit Kapoor: Just had a couple of questions. One was on the popular segment itself. So, from a run rate perspective, do we expect a similar kind of run rate on volumes the way we can attract the quarterly numbers? Or do we see that there will be an acceleration given that some of the volumes that we restricted because of inflation start to come back. I just wanted to understand what's the way to look at it for FY 24?
Dilip Banthiya: So, can you repeat this on regular category p lease?
Harit Kapoor: Okay. So, my question was on popular. I just wanted to get a sense of this quarter, ex the royalty brands were at close to 4 million cases. I just wanted to understand, how do you look at FY 24 on this base, given that you're seeing the inflation in certain pockets cool off, you've got some price increases.
So, do you start to increase wherever you've restricted the growth, do you start to increase , pick up the volumes t here? And does the royalty

brand, which is about 1 million case a quarter now, does any change
happen to that portfolio? Do you take it back? Or are they 1 to 2 year
contracts? So just wanted to get a sense of how that mix will work.
Dilip Banthiya: So as far as the FY24 volume is concerned, we are on our course,
continue to deliver, P&A category growth of high teens between 15%
to 18%. The regular category becomes viable now in certain states. So,
we will be back from Q1 onwards itself in a single digit, mid -single -digit
i.e., 4% to 5% growth . Overall growth, we expect to be in the range of
around 10% for the whole year with a top line growth of 15% to 16%
on IMFL business.
Harit Kapoor: Okay. Got it. I just had a question on the balance sheet. It seems to
have been an increase on the inventory days , just wanted to get a
sense of what's happened there? Is it a kind of bunching up? Or could
you give a sense of what's happening , I think it's 80 -plus days for the
year?
Dilip Banthiya: So, as we have already intimated and informed that our Sitapur
bottling operation also got started. At the same time, in the season, we

started procuri

ng certain raw materials and fuel there. So, the
inventory in that part has also gone up. As far as the inventory number
of days of the IMFL business is concerned, we are monitoring it
continuously. And in Corporation and other markets, our number of
inventory days are in line with our business plans.
Harit Kapoor: Got it. So, this should normalize to some extent, right ?
Dilip Banthiya: For next year when the top line grows, this thing will normalize.
Moderator: Thank you. Our next question is from the line of Vikas Tulsyan from
Vision Ahead Services Private Limited. Please go ahead.
Vikas Tulsyan: Sir, my question is, what is the response for this ready -to-drink vodka,
which we have launched in the Indian market? And what response do
you foresee for your 3 internationa l brands, Rampur, Jaisalmer and
Ranthambore? And my third question is how that -- if U.K. free trade
agreement comes into picture, how it will affect you positively or
negatively?
Amar Sinha: So first of all, the trend of RTDs in India is just catching up and growing.
Vodka cocktail launched by Radico is the first of its kind in the category.
There is no vodka -based cocktail drink available other than Radico. Its
response in Karnataka where we have launched first, to start with is
very encouraging. And tha t is pushing us to extend the launch now to
a couple of more states in the next quarter which is Maharashtra,
Daman and some states in the North. So, the product has responded
very well, and we hope to make it a national product over the next 1
year.
Sanjeev Banga : In terms of our luxury portfolio, Rampur and Jaisalmer, the
international response as well as domestic response continues to be
extremely positive. As we've always said, Rampur still remains on
allocation, but we increased our malt capacity a couple of yea rs ago.
So, we will start having more malt available this year onwards.
And going forward, there will be substantially more malt that will be
available, which will make us then facilitate expansion of our footprint,
both in the global market as well as t he Indian market. Jaisalmer again
we tripled our gin distillation capacity to cater to the increased demand
both from international as well as domestic market. So, we are very
positive about our luxury portfolio.
Vikas Tulsyan: And sir, Ranthambore?

Amar Sinha : So, Royal Ranthambore as a product has been launched in 13 states.
And there are more states which are planned to be launched during
the new fiscal year. The product has received an unprecedented
positive response. And the unique thing about Royal Ran thambore is

that it has been pitched against some of the popular international brands higher in terms of price and it has been very well accepted. This goes to prove that the consumer is accepting good products now made from India against any other interna tional brand. So, we are very optimistic and the new fiscal year will delight us.
Vikas Tulsyan: And sir, how this U.K. free trade agreement -- if it comes into picture, how it will affect us?
Amar Sinha : When the Indian economy was largely based on products selling below the Prestige & Above segment, then it would have been a reason to worry. But now most of the products that we are selling in India, especially Radico, which h as more than 40% of its sales in the Prestige & Above segment, we don't have any reason to worry.
Secondly, we have seen out of experience that the India, Australia F TA has gone up very positive, protecting the interest of the domestic players. And we hop e that the Indian government is going to look the same way as far as the U.K. F TA is concerned. But in terms of price positioning, now India has reached the quality and drive standards of international brands. And therefore, we don't see a lot of issues around it.
Moderator: Our next question is from the lin

e of Chanchal Khandelwal from Aditya Birla Capital .
Chanchal Khandelwal : Sir, if I look at the gross margin, now you are almost at 15 quarter low. The mix has improved. I mean your premium portfolio has been doing very well . If I look at 3-year CAGR. And the new plant is starting in Rampur, a plant is starting in Sitapur -- will start shortly. Now going forward, I mean we heard that the ENA prices and the bottling prices hurt you. What's the kind of gross margin the company can go to -- I mean, I'm sure you'll cross your peak gross margin given the mix we are improving and how will this happen quarter after quarter? Some guidance in the next 2 to 3 years, how this gross margin can look ?
Dilip Banthiya: So Chanchal , first of all, the inflation in the commodity has been high, very high in all the commodities which we use as a raw material. So, the impact of the commodity was around 850 basis points, out of

which we have mitigated in the IMFL business to a larg e extent. We got the price increase last year, which is on a weighted average basis on IMFL business is 300 basis points.
The non -IMFL business continues to be a drag , which also we have received the price increase effective from 1st April '23 onwards. So, from a negative EBITDA, it will also turn into a positive single -digit EBITDA.
As far as the gross margin drag is concerned, out of 850 basis points, we have been able to mitigate roughly around 450 to 500 basis points by price increase as well as product mix. And you will see that our realization per case in P&A category has improved by INR 100 per case. So, this is an imp rovement in the quality of product mix in the P&A category we are selling.
So, in FY 2023-24, there are multiple levers, which will improve our margin consistently quarter after quarter and Rampur dual feed and Sitapur green field project, backward integration will give us the additional leverage then the price increa se which we got in certain states in the coming year also , the impact is approximately 180 basis points or so.
Increase in the P&A category, which we are confident to deliver 15% to 18% growth. And with the Rampur Indian single malt and Jaisalmer volume ramping up in domestic as well as in international market s, I think we are on course to deliver during this year that our margin will be in mid -teens. And that's how we will mitigate and thereafter with the kind of product portfolio and new launches coming in , we will be able to deliver better margin in coming year’s later apart.
So, I think our journey is continuing. Our product profile is strengthening, and we have seen this headwind, which we have been

able to mitigate roughly around INR 210 crores, IN R 220 crores of cost push , which we have handled in this year despite that, these are the margins.
Chanchal Khandelwal : So, thank you, this is useful. So, I think mid -teens margin will go this year. And going forward, margins will improve further because I'm seeing that the peak margin was...
Dilip Banthiya: I said that quarter -after -quarter, we will improve on our margin expansion trajectory here onwards. During the quarter, we will reach

mid-teens and thereafter in coming years with the kind of product profil e and with premiumization going on, the margin expansion in next 2 to 3 years will again be back on high -teens .
Chanchal Khandelwal : The second question is on the balance sheet . So, the debt level is almost INR 600 crores plus now. Is this the peak debt? Or do you think because now that plant has started, your debt should start coming down going forward?
Dilip Banthiya: So, we will have a peak debt of approximately INR 800 crores in Q2 of FY24. Thereafter, it will continue to decline by the free cash flow and by FY 2025 -26, as we guided, we w

ill be positive on our net debt .
Moderator: Our next question is from the line of Darshan Shah from Multi -Act Equity Consultancy Private Limited.
Darshan Shah: I have just one question. So, what is the share of defense CSD segment in overall revenues in FY 23? And what was it, let's say, 5 years back?
Dilip Banthiya: Defense segment, volume -wise, is a round 9% to 10% of the overall volume of our branded business.
Darshan Shah: And what was it, let's say, 5 years back?
Dilip Banthiya: It remains between 10% to 11% because the growth in the civil market is much better on volume side, much faster and better. So , it used to be between 11% to 12%, now it is 9% to 10%.
Moderator: Our next question is from the line of Manish Poddar from Motilal Oswal AMC.
Manish Poddar: Just one question, sir, how much deb t has capital ized?
Dilip Banthiya: Pardon, how much debt is capitalized ? In long -term debt, we have contracted for INR 500 crores, out of which we availed as on 31st March, INR 320 crores.
Manish Poddar: Because if I look at the quarterly run ra te of interest outflow, it is roughly INR 9 crores. And I think you have INR 610 crores of debt on the balance sheet. I ’m just trying to understand why the interest cost was low?
Dilip Banthiya: So, the interest on the capital project, which is Sitapur green field project, which is a commercial production start s, the intervening period interest is being capitalized.
Manish Poddar: So yes, how much is that amount?

Dilip Banthiya: I think it is INR 6.5 crores.
Manish Poddar: INR 6.5 crores on a quarter basis?
Dilip Banthiya: No, not quarterly basis. I'm talking about in total. That much is capit alized for the whole period till 31st March '23.
So, our weighted average interest cost on working capital and some loans put together is in the range of 7.5% to 7.6%.
Manish Poddar: Okay. So , this number INR 600 crores, you said it will go to peak at INR 800 crores, right, by Q3 or Q2 end?
Dilip Banthiya: Yes, y es.
Manish Poddar: When is this plant expected to commence because it is still showing in CWIP, so I'm just trying to understand when will this commercialize d?
Dilip Banthiya: Beginning Q2, we are expecting to have the trial run and commission production by July end or something.
Moderator: Our next question is from the line of Harit Kapoor from Inv estec.
Harit Kapoor: So just to have a follow -up. In this quarter, the realization growths have

been muted on P&A and popular. I mean, popular, there might be
some changes. But on P&A, they've been muted . So would it be that
the lower end of the Prestige segment this quarter has done probably
better, 8PM Black, etc . Is that the way to look at i t?
Saket Somani : So, Harit, you're right. If you compare Q3 versus Q4, the higher end of
P&A was better in Q3 because of the festivities, etc . And in Q4, that's
not the case. So that's the only reason because we haven't had any
differential in terms of pricing in Q4. So that's the only reason.
Harit Kapoor: Okay , Understood . And the other thing was on this year, actually,
despite increasing capex you've been fairly you've increased your
payout ratio to about 20%, and this is a high capex here. Just wanted
to get a sense that -- Abhishek is on call as well. Do we expect this ratio
to continue to improve? I think maybe next year will be a peak out debt
here. But post that, -- is that the right way to look at it, that things
should improve from here in terms of payout ratios?
Abhishek Khai tan: Yes. Because the kind of cash the company will generate after like
because the debt will keep reducing. So, our divi dends will keep going
up and the payout will increase.

Moderator: Thank you. Our next question is from the line of Pankaj Kumar from
Ko

tak Securities. Please go ahead.
Pankaj Kumar: Yes. So, my question was more on this volume growth that you are
guiding . So, this volume growth guidance that includes our royalty
brands as well or it’s like excluding royalty.
Dilip Banthiya: So, the guidance which we have given about the P&A and other regular
categories, including royalty, but the full year FY23, this run rate of
800,000 boxes to 900,000 boxes will be equal in the next year . So, like-
to-like basis, this is a growth including royalty.
Pankaj Kumar: Including royalty. So, net of royalty, how do you see that?
Dilip Banthiya: As I said that this year, we had a run rate of 8 to 9 lac boxes per quarter.
On this basis, the growth of P&A will be 15% to 18%, and regular will
be in the mid -single -digit including royalty.
Pankaj Kumar: Okay. On the new brands that we talked about; we would be launching
this white category as well as in the brown . So, what are the plans?
Which category segment that we are looking at?
Abhishek Khaitan: See the new brand, what we are looking at, one of the brands will be
in the luxury segment and the other will be in a mid-luxury or a super -
premium.
Pankaj Kumar: Okay sir, on this non -IMFL business, now we've got the price hike. So
dece nt volume growth on that side as well?
Abhishek Khaitan: Yes, there will be a volume growth because how we see that in a couple
of years, that might be converted into IMFL. So that is what the trend ,
because that is why the grain plant has been put up and plus for the
luxury segment and all our brands. So, the volumes will increase.
Pankaj Kumar: Okay. And the margin in this non -IMFL category would be at what
level?
Dilip Banthiya: So, it is now 7% to 8% after the price increase.
Moderator: Our next question is from the line of Naveen Trivedi from HDFC.
Naveen Trivedi: My question is again on the margin side. Can you just explain about
what is the gross margin difference between the P&A an d the regular
portfolio for FY 23?

Dilip Banthiya: So overall margin in the IMFL business, EBITDA margin has been
ranging between 15% or so. You're talking about gross margin. Gross
margin on the P&A category will be about 55% to 60%.
Naveen Trivedi: And what about the regular portfolio?
Dilip Banthiya: Regular portfolio has been in the range of around 15% to 20%.
Naveen Trivedi: So that gross margin side you're expecting, this will become around
25% to 30% sort of a band next year? I'm sayin g the gross margin

expansion in the regular portfolio will be close to 20% next year?
Dilip Banthiya: We have done this where the pricing increase will come back. It's a matter of time . So, I can't give you the numbers , but overall, as I said, that mix of P&A and regular category, we will have an improvement in margin in the gross side. Our margin on the gross side used to be in the range of around 48% to 49%, which has come down to 41 %. So there has been a knock of 850 b asis point . So, this will be mitigated by all the levers of the profitability which we have talked about. And the gross margin will again go back but still volatility of raw material and other things are there. On the EBITDA side also, we are confident to achieve our margin on the mid -teen kind of thing during this year.
Naveen Trivedi: Sure, Just one thing I want to understand , the plant benefit impact on the gross margin side. Apar t from assuming there is no further volatility in the RM basket? How should we look at the benefit of the plant on the gross margin side?
Dilip Banthiya: We said earlier also that taking your own ENA versus buying from outside gives a delta o f around INR 10 to INR 11. So, the ENA which we are going to use, whether for our UPML or for the I MFL business, we are going to get that. Rest for the time being, we will export or sell the domestic

market, but in 3 years' time, all the ENA will be used for our captive consumption .
Moderator: Our next question is from the line of Rajendra R, who is an individual investor.
Rajendra R: So, I had one kind of broad organization level question here. So, your competitor, the market leader, has separated Prestige & Above brands and they have sold out or they're deprioritizing the popular brands. So, I mean, in your own case, the trend is very clear. We had a 30% volume contribution from P&A, that has gone to 40% and probably this year, it will be 50% or above that. So, do you have any thoughts on

separating out the non -IMFL business or the popular brands that seem to bring a lot of volatility into the metrics?
Abhishek Khaitan: No, we don't have any pla ns of separating out the business because it's all integrated. So, there's no plans of separating it out. And what we see, UP is such a large state, 20% of the India's population is in Uttar Pradesh, and the way the industry is developing, we are the market leader, we have a market share of close to 30% in th e IMFL business. And if you see UP alone in the next 5 years, the way the growth is happening, the industry can go anywhere.
Moderator: Our next question is from the line of Mr. Himanshu Shah from Dolat Capital.
Himanshu Shah: Just one question. In the lower Prestige category, which brand we are having? And is it available Pan India? Or what are the plans for that category -- low Prestige category?
Dilip Banthiya: You're talking about, the popular category, the regular category, low Prestig e is all, we have the flagship brands like 8PM, Old Admiral brandy and Contessa rum . All launches in last 15 years has been done P&A and above only. So, we are continuing -- wherever these brands are stronger, and we make some money after the pric e increases. And from that only, we plan to have a mid -single -digit growth in the coming year.
Saket Somani : And we have, in our presentation, also highlighted the growth for each segment and the key brand within that segment.
Himanshu Shah: I was talking about low Prestige as the category in McDowell's No.1 and Imperial Blue kind of category?
Amar Sinha : So, we have so far have really been unrepresented in that category, primarily because margins were not good enough. But now with the positive response of various state governments on the price hikes , we have just introduced a brand called After Dark Blue and it has started responding very well. We've started it in Uttar Pradesh and some other states. And we hop e to make it big in this segment as well. But we will be confined to those states where it is profitable, and the margins are

healthy.
Himanshu Shah: Sure , just one more, if you can help. What would be the volume side of the industry in this catego ry -- low Prestige category?
Abhishek Khaitan : It will be about close to 50 million to 60 million cases.

Moderator: Our next question is from the line of Priyam Khimawat from ASK Investment Managers.
Priyam Khimawat: Just wanted to understand post green field commercialization of Sitapur and Rampur dual feed, what will be our total E NA capacity in crore liters , grain -based capacity?
Dilip Banthiya: Capacity will be around 21 crores liter.
Priyam Khimawat: So, when we talk about the INR 10 to INR 11 delta per liter, can we expect INR 200 crores improvement in FY 25 on the gross margin basis?
Dilip Banthiya: See, you must understand that Rampur dual feed plant had been converted because of the reas on that, first of all, the industry is migrating from the molasses -based to grain -based alcohol. And the dual feed molasses availability in due course of time will continue to be declining and most of the molasses will be used for the ethanol blending. So, to

cater to the growing market of UP in UPML as well as in IMFL we converted it. It will give a delta of 1.5 crores liter per annum, and the impact of that will be around INR 10 per liter.
But on the additional capacity being created . Earlier, we were also utilizing on molasses data. But in order to safeguard ourselves, we converted on dual feed. Sitapur capacity will be addition al. As it is, we are buying 7 crores liter of grain alcohol for our IMFL business sourcing from various syst ems. In due course of time, that will be used captively , and we were constrained to increase our volume on P&A category without these expansions.
Priyam Khimawat: Got it. Sir, and when we talk about the mid -teens kind of EBITDA margin, we are talking about exit run rate in Q4 FY 24, not entire year FY24. Am I correct?
Dilip Banthiya: So, it will be achieved during the year. It will start improving from Q1 onwards. But during Q3 and Q4, you will see that.
Moderator: That was the last question of our question -and-answer session. I would now like to hand the conference over to the management for closing comments.
Dilip Banthiya : Thanks for joining us today on this call. We are confident of maintaining our long -term margin expansion given the premiumization of our portfolio , recently received price increases, both in IMFL and non -IMFL and backward integration. Further, the opera ting leverage will also start kicking in from FY 24.

We look forward to interacting with you on our next earnings call. In the meanwhile, if you have any query for follow -up, please feel free to write to us. Thank you.
Moderator: Thank you. On behalf of D olat Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
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Note: This transcript has been edited to improve readability.
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Call: Aug 2023

RKL/SX/2023-24/51
August 10, 2023

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 532497 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot no. C/1, G Block
Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051

Symbol: RADICO

Sub: Transcript of the Earnings Call conducted on August 04, 2023
Dear Sir/ Madam,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Earnings Call held on Friday, August 04, 2023, for the Unaudited Financial Results of the Company for the quarter ended June 30, 2023. The same is also uploaded on the website of the Company at www.radicokhaitan.com .
This is for your information and records.
Thanking You,
Yours faithfully,
For Radico Khaitan Limited

(Dinesh Kumar Gupta)
Vice President – Legal &
Company Secretary

Email Id: investor@radico.co.in

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Radico Khaitan Limited
(BSE: 532497; NSE: RADICO)

First Quarter FY202 4
Earnings Conference call

August 4, 202 3

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Amar Sinha, Chief Operating Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and gentlemen, good day and welcome to Radico Khaitan's Q1 FY2024 Earnings Conference Call hosted by Dolat Capital. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conferen ce call please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Himanshu Shah from Dolat Capital. Thank you and over to you Sir!
Before we begin our presentation, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation for the detailed disclaimer.
Himanshu Shah: Thank you Carol. Good afternoon, everyone. On behalf of Dolat Capital, we welcome you all to Q1 FY2024 earnings conference call of Radico Khaitan. We would like to thank the management for giving us the opportunity to host the call. On the call we have with us Mr. Abhishek Khaitan - Managing Director , Mr. Amar Sinha - Chief Operating Officer , Mr. Dilip Banthiya - Chief Financial Officer and Mr. Sanjeev Banga - President International Business. Let me hand over the floor to Mr. Abhishek Khaitan for his opening remarks. Thank you and over to you Sir!
Abhishek Khaitan: Good afternoon, ladies and gentlemen. Thank you for joining us on our Q1 FY2024 results conference call.
We have started the fiscal year FY2024 on a strong note with Prestige & Above category brands growing over 27% year -on-year. This wa s led by all our co re brands such as Magic Moments Vodka which crossed 1.5 million cases sale during the quarter. Morpheus Premium Brandy, After Dark Blue Whisky, 1965 Spirit of Victory Premium Rum, etc. Both

consumer and trade response for the new packagi ng of 8PM Premium Black Whisky has been very encouraging and it has continued its strong growth trajectory.
Over the last couple of years , white spirits category in India has grown faster than any other category. In 2006 when we launched Magic Moments Vodka , the category was nascent and gradually Magic Moments became a category creator. Today , it is the seventh largest vodka globally and we hold 60% market share of the entire vodka industry in India.
Now we are seeing a simi lar scenario with the craft gin space. Few years ago , this space was non -existent in India. Jaisalmer is the only Indian brand in the luxury gin space and has over 50% market share. Capitalizing on the opportunity in the Indian craft gin space with Jaisalmer's success , we are now tapped into the super -premium gin category where the industry size is much larger given a more affordable price point. The growth in this segm ent is also very strong. During the quarter , we announced the launch of our latest addition to the super premium product portfolio, "Happiness in a Bottle : A Happily Crafted Gin." The collection features three exciting variants Joy of Juniper, Joy of P ink, and Joy of Citrus. With the introduction of the "Joy

of Pink " variant , we have ventured into the unique pink gin category. While each of these expressions has been curated from a selection of 15 botanicals , standout ingredient across all variants is Ashwagandha, a renowned herb known for its vitality and mood -enhancing properties. Happiness has initially been launched in Rajasthan and will be rolled out in four to five more states in Q2 FY2024. This brand will also go on to create a unique position for itself and become a category creator as many of our previous launches. We also plan to launch one more luxury whisky brand in the s

econd half of FY2024.

While there have been signs of deflation in certain commod ities, the scenario remains volatile for glass and ENA. We continue to cautiously monitor the industry trends. Given the IMFL portfolio premiumization and price increases in both IMFL and country liquor businesses, we have seen our margins improved signifi cantly on quarter -on-quarter basis. Al though, we have faced raw material pressure in the short term, but that does not impact the mid -to-long term growth and margin trajectory.
Our Sitapur project is progressing well and in the last stage of implementat ion. We expect to start commercial production during Q2 FY2024.
Radico Khaitan is progressing firmly on the path of its exciting premium brand creation journey which will be further strengthened by the backward integrated manufacturing platform. Going for ward we continue to focus on our long -term plans of premium IMFL portfolio expansion with new brands introduction in both white and brown spirits and leveraging the benefits of our capital investments.
I would now like to hand over the call to our CFO for a detailed operational and financial review. Thank you and over to you Dilip!
Dilip Banthiya: Thank you Abhishek. Thank you everyone for joining us on this call today.
During Q1 of FY2024 , we reported a total volume of 7.36 million cases, which is a 8% growth on year -on-year basis. Prestige & Above category volume grew by 27.2%. Including the royalty brand , our P&A volume growth is around 33%. In value terms , the Prestige & Above category registered 40% growth. During FY2023 , we had rationalized volume of certain regular category brands as a conscious strategic decision to mitigate input cost pressure. With the recent price increases , we have seen improvement in the regular volume s on quarter -on-quarter basis.

Prestige & Above category now accounts for 36.5% of IMFL volume compared to 29.6% in Q1 FY2023. Improvement in IMFL realization is due to a combination of price increases and continued premiumization. On year -on-year basis , there was a 160 bps impact due to the price increase on our IMFL sales value.
On quarter -on-quarter basis , our gross margin improved significantly due to the price increase received in country liquor business. This has also been supported by pr ice increase and ongoing premiumization in IMFL business.
On Y -O-Y basis , despite significant commodity inflation across ENA and glass bottles we have been able to sustain gross margins. Although price s of certain packaging material s have softened recen tly, we cautiously monitor the trend of ENA and glass bottles where volatility persists. Glass cost increased by over 15% and ENA price by around 8% on year -on-year basis.
Other expenses increased due to track and trace duty which was earlier recovered from customers and now it is a part of EDP and cost to us. Some of the other expenditure is on account of higher power

and fuel costs.
Overall, we have a strong financial position , comfortable liquidit y.
During these times , we are taking all necessary steps to sustain our financial strength, maintain robust business model and grow consistently, competitively, and profitably.
With this we now open the lines for questions and answers.
Question & Asnwer :
Moderator: Thank yo u very much. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: Firstly, congrats on very good set of numbers . You have seen very strong growth in the P&A volumes, which is stronger than the good numbers posted by the market leader . So want to understa nd wha

t is
driving this ? any particular states are you getting a bit more market share ? I understand a lot of your premium luxury products are doing well but would you point out any particular states where there has been market share gain?
Ama r Sinha : So first of all , I must tell you that the P&A segment growth that we are witnessing is across all states and geographies wherever we are present. First of all, Magic Moments is commanding a 60% market share and is on a healthy growth rate of 38 to 40% across all geographies. Secondly , 8PM Premium Black that we launched three years back is now a 3 million case brand and is very buoyant, well accepted in the prestige category. It is the fastest growing whisky brand in India. It is available in states like Andhra Pradesh, Telangana, Uttar Pradesh, Assam, Jharkhand, so it is growing at a very fast pace in all these markets . So besides as I said 8PM Black and Magic family, which is big, there are other premium brands that we have launched like Royal Ranthambore, which is very well accepted an d started growing at a very rapid rate . 1965 Premium Rum is now the largest selling premium rum in the defence sector and in the domestic market , it is now reaching a high market share wherever it is present and in the days ahead it will be a brand to reckon with in the domestic sector . So if you come to think about it all the brands are responding , Jaisalmer is doing extremely well. Last year we maintain ed a 50% plus market share and in fact in the quarter gone by , you will be surprised we have a 70% plus market share . It is a very encouraging response to all our premium brands and this growth trajectory is there to stay. Thank you very much.
Abneesh Roy: Sure. Thanks. A very quick question now again UK FTA talk seem to be in final stages it has been in final stages for two years, so do not know

when it will come . My very simple question is will any of your brands get impacted by this and will be concerned on this if at all it happens?
Amar Sinha : First of all, let me tell you that the UK FTA is on the cards and like the treaties that has been struck with Australia where the interest of domestic industry has been well protected. We know that the Government of India will protect the domestic indu stry, however, I must tell you that as far as Radico is concerned it is a unique situation where we are breaching all price points in the premium and luxury categories moving up and up on the price ladder and we do not really see a great impact with the U K FTA impacting our brands.
Abneesh Roy: Sure my last quick question is on the two key raw materials on glass , the number one beer company said that for the balance part of this year at least the next two quarters they do not expect any meaningful correcti on would you also have the same thought process and on ENA with all this very high inflation in rice and government regulations also saying that ethanol in terms of grain usage, etc., some restriction how

do you see inflation in ENA for the balance part of the year?
Dilip Banthiya: So, the glass prices as you know has been given increase two times last year . We do not foresee any more inflation in the glass prices , rather some correction has taken place in the recent past. As far as the ENA is concerned , yes, the grain prices have been on the rise. But we see this is a matter of 2 -3 months . When the new crop comes, the prices generally come again on the declining trend. Secondly , as far as the government FCI policy on the ethanol is concerned , there is an interaction going on continuous basis between the industry and the government and I t hink it should also get resolved. So, we see some inflation till October -November and thereafter it should be again on a normalizing trend . But yes, the commodity is volatile.
Abneesh Roy: Sure Sir. Thanks.

That is all from me. Thank you.

Moderator: Thank you. The next question is from the line of Ashwani Kumar from Edelweiss Mutual Fund. Please go ahead.
Ashwani Kumar: Good afternoon . Sir, how many states have allowed a price increase for you people in the last two quarters especially in this quarter?
Dilip Banthiya: There are eight to nine states who have given price increase; the bigger one is Telangana . As we said in earlier call also that the weighted average last year we got a price increase of 300 plus basis points and whatever price increase materialized till Q1 FY2024 , the weighted average impact on the topline will be around 170 -180 basis points
Amar Sinha: But the positive side of this is that 10 states have g iven price increase which will impact FY2024 and the government in most states have been very receptive to the pain of the industry so that is a very positive sign for our alcohol sector.
Ashwani Kumar: Even in this quarter itself you made very strong marg ins of profit 12.5% against 9.8% in the last quarter I want to say for Q4 FY2023 so what is the kind of margin which you make for this entire year?
Dilip Banthiya: As we already spoken and guided that we expect the margin for this year to be in the mid teen kind of things, so we continue to maintain that guidance 14 -15%.
Ashwani Kumar: Do we expect to go back to the margins of roughly FY2021 or FY2020 in the range of 16 -17% by when if at all ?
Dilip Banthiya: So, we agree on that . In two to three years' time , we aspire that with this kind of brand portfolio and premiumization and premium bran ds growing in strong double digit that late teen margin in 3 -4 years we are expecting.
Ashwani Kumar: By when is our ethyl alcohol plant expected the expansion which we were doing?
Dilip Banthiya: So, the Greenfield Sitapur plant will come into operatio n in the Q2 of FY2024.

Ashwani Kumar: Q2 and by what capacity will we will reach by end of FY2024?
Dilip Banthiya: So, it will be around 95 to 100% capacity by the end of FY2024 because plant stabilizes in couple of months and thereafter it will run on 95 to 100%.
Ashwani Kumar: Any other capacity expansion expected at the end product on the RM side?
Dilip Banthiya: No, we do not expect any more expansion on the distillation side. We have had this expansion keeping in view 5 to 7 years ' requirement for our P&A category and other growth like regular in consumption is growing, so we w ill have this distillation capex taking care of our requirement for next 6 -7 years.
Ashwani Kumar: What is the current debt on the books Sir?
Dilip Banthiya: Current net debt is 700 Crores.
Ashwani Kumar: What is the repayment schedule for the debt?
Dilip Banthiya: Next four -and-a-half years , the debt will be paid as per schedule.

However as per our plans we expect by 2026 we should be negligible
to a zero -debt kind of company.
Ashwani Kumar: On the current profit of roughly Rs. 60 Crores a quarter what is the kind of FCF or the OCF we generate?
Dilip Banthiya: As we said that after meeting the needs of the capex and working capital requirement , we will be able to generate FCF by which we will be able to repay the debt this year, next year, and by 2026?
Ashwani Kumar: Got that. Thanks a lot Sir.
Moderator: Thank you. The next question is from the line of Sonaal Kohli from Bowhead. Please go ahead.
Sonaal Kohli: Sir thank you for this opportunity. Could you repeat what is the EBITDA margin guidance you gave for this year and does that include the

benefit of backward integration or this is excluding the benefit of backward integration?
Dilip Banthiya: The EBITDA margin still does not have the impact of the backward integ ration as fa

r as Sitapur Greenfield is concerned . As we said that by the year end when we have operation of Sitapur and everything , we will be in the mid teen kind of EBITDA margin.
Sonaal Kohli : Sir this mid teen margin which you are talking about it is more like Q3, Q4 kind of guidance including the benefit of Sitapur backward integration right?
Dilip Banthiya: Yes.
Sonaal Kohli : So, it includes the Sitapur, got it Sir. You said something about the glass prices so are you expecting a correction or it has already happened in Q2 or are you expecting Q3 as far as the glass prices are concerned?
Dilip Banthiya: No, I do expect that . If it comes it will be good. We are working with the glass industry on that but let us not expect that.
Sonaal Kohli : Whatever price hikes we have taken so far in various states some of them may have come mid-month last q uarter so any further benefits of historical prices which will flow through in Q2 and what will be the quantum?
Dilip Banthiya: So, the impact in the first quarter has been in the range of around 90 basis points to 100 basis points because Telangana came in the middle of the quarter. As I said that overall, on annualized basis the impact is 170-180 basis points, so the balance impact from Telangana and some of the states is going to materialize in coming quarter and weighted average will be 170 basis points.
Sonaal Kohli : Thank you so much Sir.
Moderator: Thank yo u. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Good afternoon. I had a question on popular. So, you know you have seen a sequential upswing in volume growth on the popular side so from here on given th at your portfolio the impact of high inflation that you would have reduced the salient that would have gone out would you expect popular also start delivering volume growth from Q2 onwards?
Dilip Banthiya: So, Harit as you have seen that some of the stat es where the price corrections have been done, I think we have again on quarter -on-quarter basis started giving and servicing the market . As we said that our focus is on the P&A category . We expect regular cat egory to grow in mid-single digit and we continue to maintain that.
Harit Kapoor: Got it. Very clear. The other question was on the gross margins if you look at this quarter you have seen a sharp increase driven by the country liquor price increase as well as the mix improvement and obviously you are expecting 12.5 % EBITDA as you progress to do 14 -15% just wanted to understand that progression would that largely be driven by further mix improvement from here or you think the bulk of

this incremental benefits will come from the Sitapur backward integration?
Dilip Banthiya: It will be a combination of both. First of all, the product mix is improving as luxury and other brands which has been there has been growing in 30 -40% which is giving us better margins. Sitapur backward integration will also give some margin . So, combination of all the factors will bring us to mid teen kind of margins.
Harit Kapoor: Got it and last book keeping was on the depreciation does this quarter depreciation fully reflect the Sitapur capex?
Dilip Banthiya: As this quarter depr eciation is around Rs. 24 Crores and Sitapur will get capitalize in Q4 of FY 2024 . We expect the annualized run rate on depreciation to around Rs. 125 Crores, so Rs. 30 to 32 Crores quarterly.
Harit Kapoor: Got it. I have some more I will come back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Sandeep Jain for Baroda BNP. Please go ahead.
Sandeep Jain: Thanks for taking my question. Just one clarification , the 15% margin guidance which you are giving it is exit quarter margin or you are saying full yea

r FY2024?
Dilip Banthiya: Exit quarter margin.
Sandeep Jain: It includes the benefit of the plant which is coming maybe probably second half or so that includ es the benefit in the EBITDA which will come from the raw material sourcing and all?
Dilip Banthiya: Yes, it is combination of all backward integration as well as the brands.
Sandeep Jain: Thank you.
Moderator: Thank you. The next from the line is from the line of Kaustubh Pawaskar from Sharekhan. Please go ahead.
Kaustubh Pawaskar: Good afternoon, Sir. Thanks for giving me the opportunity and congrats for good set of numbers. Sir can you let us know what was the industry growth for this q uarter and if you can help us with various segment growth for example what was the growth for white spirits, whisky and rum category, how this category grew in which quarter?
Amar Sinha : So, the industry in this quarter has actually grown by about 5% and the coming quarters should see resurgence further.
Kaustubh Pawaskar: If it is possible to give us the segment wise growth like how the white has done for this quarter and the whisky segment how they are doing?
Amar Sinha : If you would want segment wise growth, I can help you with that. Whisky has grown by about 4%, rum has grown by about 5%, gin has grown by about 5%, vodka has grown as an industry by 14% and brandy has grown by abo ut 2% . So, there is an overall growth of 4 -5% of the industry.

Kaustubh Pawaskar: So, our growth in P&A is around 26 % and overall volume growth of around 8% is ahead of the industry but especially in P&A we have seen that our growth has been better than the earlier guidance of around 15-18% so considering the responses you are getting in va rious markets and the launches you are planning to do in the quarters ahead should we enhance this guidance close to 20% in the coming years because of the market share gains and the response what we are getting into various market?
Dilip Banthiya: So, we continue to maintain the guidance of 15 -18% growth in P&A category consistently every quarter over last year and as far as the regular is concerned , we still maintain mid-single digit growth. Overall growth , we expect around 9 -10% and on t opline , it is 15 -16% . So, the growth can be higher but as far as we maintain this because we believe in it. First quarter , we have grown 33% if we include royalty brand but that is a market demand and we are catering to that.
Kaustubh Pawaskar: For the overall realization growth in this quarter what would be the growth because of the improvement in the mix?

Dilip B anthiya: So, the realization improvement is 400 basis points in this quarter o ver last quarter.
Kaustubh Pawaskar: What could be because of the mix and the price increase, price increase impact would be around 80 to 90 BPS?
Dilip Banthiya: Rest is product premiumization.
Kaustubh Pawaskar: Got your point Sir. Thank you.
Moderator: Thank you. The next question is from the line of Shivang Joshi from Centrum PMS. Please go ahead.
Shivang Joshi: Hello thank you for the opportunity. Sir wanted to u nderstand can you give indicative range of gross margins that you would be making on the IMFL and non -IMFL and just a clarification since you got the price

hike in non -IMFL segment you would be back to about high single digit EBITDA margin in next phase or is it higher during the quarter?
Dilip Banthiya: EBITDA margin on our non -IMFL is in the range of around 6% and on IMFL side , it is 15% for this quarter. Gross margin on non -IMFL is around 9.5% and it is more than 50% in IMFL category.
Shivang Joshi: I remember in one of our earlier conversation’s , luxury or crafted products the super -premium category, supe r premium luxury products can you give an indication of what they wo

uld be in terms of overall revenue any indicative number, how much they would be contributing in further revenues in the quarter or how much do you expect them to contribute in FY2024 vers us FY2023 you will have higher availability of ENA for your luxury products this year?
Abhishek Khaitan : In the luxury portfolio , we do not give any guidance on revenue or anything but what we can say surely that now especially with the incre ased capacity of Rampur and the way Jaisalmer is responding both internationally as well as in the domestic market , in the next 1 -2 years it will significantly contribute to our bottom -line.
Shivang Joshi: The intention is just to understand in FY 20-21 when we used to do 50% plus gross margins we have substantially taken up our portfolio in terms of premiumization yet when we see the gross margin levels the gross margin still appear to be roughly around 43 -44% on a blended basis this is first quarter after receiving the price hike in non -IMFL, now I understand your entire raw material basket has been taking major inflation, but as things smoothen when do we expect your gross margins to touch the earlier levels of close to 50% o n a blended basis?
Dilip Banthiya: You are right that in 2021 -22, we had a gross margin between 49 to 50%. Last year FY 2022 -23, the inflation on grain and glass prices has taken away almost 900 basis points from the gross margin which has been compensated by price increase and product premiumization. Now nobody can predict about the commodity prices. However, with

the curre nt state of the commodity pricing , I think the current margin is around 43.5 %, we expect again go back to this 48 % kind of margin in 2-3 years’ time with the product premiumization. The point is this is all being made good from the product mix so had this cost pus h not been there then margin would have been upward of 50% %.
Shivang Joshi: Sir your benefits of backward integration would also kick in higher gross margin right when you are saying 40 -50% should we assume even higher number when we are factoring the benefits coming from the backward integration and currently what is the spread?
Dilip Banthiya: The backward integration is part of the total business model bec ause we are going to use whole of the ENA captively in 3-4 years’ time. The margins which we are expecting is a combination of the backward integrated facility and the premiumization both put together.
Shivang Joshi: At the current ENA pricing the raw material cost , what would be roughly the cap between make versus buying per liter if you can give an indicative number?

Dilip Banthiya: Currently the ENA is in the range of Rs. 69 to 70 per liter on landed basis.
Dilip Banthiya: Rs.10 sometime, 8 sometime . It will be in the range of Rs 10-12 per litre, so it depends on the grain prices.
Shivang Joshi: Thank you.
Moderator: Thank you. The next question is from t he line of Karan Taurani from Elara Capital. Please go ahead.
Karan Taurani: Hi thanks for taking my question. My question was on the regular segment. You mentioned that growth in volume could be mid to high single digit over there with a decline in Q1 cou ld we expect that true recovery will be sharper in terms of the regular volume and what would drive that?

Dilip Banthiya: So, the point is we have started after four to five quarters sequentially the improvement in our regular category and the 5% which w e talk about will be for the whole year based on the business plan. Some of the price increase in the regular category has come in . If some more comes in we continue but our focus is on the Prestige & Above category where we with the curren t buoyant product mix and premiumization happening in the company as well we are expecting a strong growth there.
Karan

Taurani: Right the second question was on backward integration. So, I think we mentioned earlier that the positive impact of this backward integration is somewhere close to 150 to 180 BPS on the EBITDA or the gross margin now with this rice prices going higher and the grain being under pressure do we maintain that guidan ce of positive impact?
Dilip Banthiya: So first of all, this is again a temporary phase because the rise in the grain prices is abnormal in the last 3 -4 months but we do not expect that the commodity prices continue to be the upward so when we guided about 150 -180 basis points it was in a normal circumstance . It is like the earlier the own versus the bought -out ENA was around Rs.12 , today it is Rs 8 to 9 so it varies . It is a matter of 2 -3 months thereafter again when it normalizes it will come back.
Karan Taurani: Alright thanks and just the third and the last question would be around the potential market share within the Prestige & Above segment in the whisky category so as you said 8PM Bl ack you are seeing traction in other brands like Royal Ranthambore as well but any update to kind of innovate within the mid dle and above prestige segment or maybe in the luxury segment to compete with peers over there as well like Pernod ?
Amar Sinha : If you look at the industry how it has behaved in the P&A category , the P&A category has actually moved up 1% from 21% to 22% of the total IMFL sales. So Radico is growing in the P&A category much faster than

the industry that is purely because we are focusing on premiumization and this trend shall continue.
Karan Taurani: Alright so let me put it this way, apart from 8PM Black which are the whisky brands that you are betting upon for getting this strong P&A grow th within whisky category.
Amar Sinha : We were not a dominant player earlier in the whisky category. We have a leadership position in the gin, in the vodka, in the brandy segments, all premium segments and now it is a year of transformation w here whisky is becoming a mainstay. 8PM Premium Black was 1 million in the first year, 2 million in the second year, 3 million in the third year and we are betting strong for the 4th million in this year. Having said this Royal Ranthambore is the big futur e brand of this country. We are looking at doubling our volumes in the current year and it has been very well accepted, doing very well across all markets that we have gone and launched and it is the first Indian whisky, we claim it is the

finest blend eve r made in India. It is the first Indian whisky which is competing with international brands priced higher than them so that is a big one that we are betting on. Then there are some other whisky brands like After Dark Blue which has been launched in some st ates and it has been very well received but I would say 8PM Premium Black and Royal Ranthambore just now and in the second half of the year we come up with another luxury whisky to enh ance our portfolio.
Karan Taurani: Got it Sir. There is a plan in place to expand the whisky portfolio as well apart from the gin and vodka where you have a significant recall.
Amar Sinha : Absolutely.
Karan Taurani: Got it. Thank you so much.
Moderator: Thank you. The next question is from the line of Vikas Tulsyan from Vision Ahead. Please go ahead.

Vikas Tulsyan: Sir my question is that how your b rands are doing internationally and which of the luxury brands you expect they will do bett er than the overseas market like Rampur, Royal Ranthambore and my second question is after your successful launch of ready to mix vodka in Karnataka so how big you see this as a product category and how was the July month third question?
Sanjeev Banga : Let us talk about first the luxury portfolio and more so in the internat

ional market. Rampur as you know has been an all-time favorite with the people outside of India as well and we are at the moment about eight expressions of Rampur in the international market. Key markets include US, Europe, Middle East, Australia, Singapore and the travel retail is also very significant channel for us. The brands are doing exceedingly well as we always being saying we are unabl e to meet the demand because of the malt availability but we addressed that couple of years ago when we tripled our malt distillation capacity. A lot of malt is going to be available as we go forward in this year. This year we hope to triple the volumes of our Rampur Indian single malt this year compared to last year. Same is the situation with Jaisalmer . We had the Jaisalmer Classic and mid -last year we launched the Gold edition. Both the expressions of Jaisalmer are also doing very well in the internationa l market and even in the Indian domestic market where we have more than 50% of the luxury gin space . Sangam the new World Malt that we have just introduced, the first shipments have reached couple of markets now and hopefully we should get the fe edback and response and we will be expanding that also in the very near future. So, in terms of our luxury portfolio even Royal Ranthambore is doing very well in the international markets as well as travel retail, so we are very positive of the performan ce of our luxury portfolio in the international market.
Amar Sinha : You just asked about the RTD so let me just give you some information on that. Magic Moments Vodka cocktail has been launched in 330 ml

cans we have deliberately avoided bott les because it appeals to the younger target audience and it has been emerging trend. It is in three flavors cola, mojito, and cosmopolitan. It has been launched largely to capitalize on the growing cocktail trend and the RTD increase after the pandemic. T he culture of drinking at home with friends has gone up and that is what we want to capitalize on. The market actually you will be surprised in the two years between 2021 and 2022 has grown by 39-40%. Between 2022 and 2027 the projection is a growth of CAG R of 10%. Now traditionally cocktails in the country have always been made from vodka so we have seen this as a big opportunity to use the biggest vodka brand Magic Moments to create the biggest RTD brand which is Magic Moments vodka cocktail. It is a great product well received in Karnataka and now seeing the response we are going ahead and

launching in four states as we speak which is J&K, Rajasthan, Goa and
soon to be launched in more states in south, north and east India but
over the next 12 months it should be a national product.
Vikas Tulsyan: Sir can we also expect similar product in other liquor ready to mix like in whisky and other gin variants?
Amar Sinha : We do not have any such plans right now.
Vikas Tulsyan: How was the July month?
Dilip Banthiya : I think quarter -on-quarter at this point of time as we have guided that we will complete our targets on annualized basis.
Vikas Tulsyan: Thank you Sir.
Moderator: Thank you. The next q uestion is from the line of Abhijeet Kundu from Antique Stock Broking. Please go ahead.
Abhijeet Kundu: Great results congratulations on that. My question was on the luxury portfolio post the capex that you are doing of backward integration and better quality in ENA and malt to what extent does this suffice your volume expectations if 8PM has to grow at a st rong rate or Royal

Ranthambore which is more of an Indian whisky and we are really seeing very strong growth, what kind of volumes is your current capacity or post capex capacity good enough to support that you do not have to re-invest further?
Dilip Banthiya: In fact, the backward integration has

been taken as a strategic call to grow our branded business and first of all at this point of time also we procure around 7 Crores liters of alcohol annually in various part of the country. So, in future also our own ENA which will cater to our production and the growth we will continue to buy some of the alcohol outside also and I cannot put at this point of time the number that it will be able to cater we are doing 32 million right now. The gr owth what is happening in India continues to be there. As we said that it will be sufficient for next 7 years that we have our internal distillation capacity and some of that will be outsourced from outside producer as well so we do not see the constraint of the capacity of distillation in future.
Abhijeet Kundu: I asked that because even in brand like Black Dog has become 3 million cases I do not see why Royal Ranthambore cannot achieve that in the next few years because it is growing at a very rapid pace?
Amar Sinha : Royal Ranthambore is a star product of the country today not only Radico the response is extremely encouraging and I can assure you that in the times ahead it is going to be a brand to reckon with.
Abhijeet Kundu : Great thanks.
Moderator: Thank you. The next question is from the line of Pankaj Kumar from Kotak Securities. Please go ahead.
Pankaj Kumar: Thanks for taking my question Sir. The question pertains to the impact of Karnataka where we are seeing the duty increase so how do you see on that and what volumes that Karnataka is contributing?
Dilip Banthiya: So, the Karnataka duty increase definitely is steep increase and with this increase there is bound to be some impact on the volume side but

as we have see n in the past also that duty increase and the new MRP and all that adjusted in due course of time. I think in the next one to two quarters again the volume which might get impacted because of the steep increase in duty will get adjusted.
Saket Somani : Just to add one thing Karnataka is predominantly a regular category market, so from overall Radico strategy focus perspective certainly it does not impact much.
Pankaj Kumar: What percentage of volume is coming from it?
Dilip Banthiya: It is around 9 to 10% of overall volume.
Pankaj Kumar: My second question is related to the other expense which you have said earlier that due to some change in track and trace can you elaborate more on that?

Dilip Banthiya: The excise policy which was announced in Uttar Pradesh earlier we were getting reimbursement from the customer now it's becoming part of the other expenditure.
Saket Somani : So, comes under revenue as well as the cost side.
Pankaj Kumar: Lastly on the Royal Ranthambore you said you are looking to double the volume from this particular brand so by when do you intend to achieve a million cases any internal target that you have on Royal Ranthambore?
Amar Sinha : It is operating basically in a very, very premium segment which is the scotch segment and there we are seeing a very good traction for it. I think we need some more time this year we should double our volume. I think by next year we should be able to actua lly project our volumes for the next three to four years.
Pankaj Kumar: Thank you.
Moderator: Thank you. The next question is from the line of Mayur Gathani from Ohm Portfolio. Please go ahead.

Mayur Gathani: Thank you for the opportunity. I just wanted to have an update on Delhi what is happening there, is there any improvement?
Amar Sinha : So, Delhi right now is a stressed market. The policy is yet to settle down. It is still going through its own highs and lows. We are actually getting a reasonably good volume and we are happy with it. Industry needs to work out a solution with the government on the policy, maybe in the coming poli

cy for sure. Right now, the market is struggling.
Mayur Gat hani: So how much Delhi contributes to your revenue is it a significant market?
Dilip Banthiya: It is in the range of 2 to 2.5%.
Mayur Gathani: Thank you very much.
Moderator: Thank you. The next question is from the line of Darshika Khemka from AV Fincorp. Please go ahead.
Darshika Khemka: Thank you for the opportunity and congrats on good set of numbers. Most of my questions have been answered. I had just one last bookkeeping question. You had answered one of the participants regarding EBITDA margi n by segment could you please repeat that? The EBTIDA margins as per non -IMFL, IMFL and P&A category?
Dilip Banthiya: So, IMFL blended EBITDA margin is 15% and non -IMFL is 6%.
Darshika Khemka: For the regular and P&A?
Dilip Banthiya: So, we do not actually give that, but definitely premiums are much, much higher than regular.
Darshika Khemka: Thank you.
Moderator: Thank you. The next question is from the line of Anurag Jain, an individual investor. Please go ahead.
Anurag Jain: Good after noon. My question is on the non -IMFL business, the non - IMFL business revenue was 248.6 Crores in the quarter gone by could

you please throw more light on this business what is the current position and medium -term outlook for this business?
Dilip Banthiya: For the non -IMFL business because we have put up a facility at Sitapur so there is a bottling capacity put up for UPML and CL as well so the growth in non -IMFL has been on account of that. We have seen a volume growth of around 31% on Y -o-Y bas is and around 11% on Q -o- Q basis. There has been a price increase in the range of 15 -16%, which has also been reflected in the revenue numbers and UPML prices are higher than the CL prices so there is some impact of the product mix as well.
Anurag Jain: Alright.
Moderator: Thank you. The next question is from the line of Vikas Tulsyan from Vision Ahead. Please go ahead.

Vikas Tulsyan: Sir can you also give up your export breakup in terms of total percentage of sales what is export and what is the domestic sales?
Sanjeev Bang a: In terms of volume, it is about 4 to 5%, in terms of value it is about 6-8%.
Vikas Tulsyan: What do you expect in next five years this export market?
Sanjeev Banga : Well , it is all dependent upon the mix that we do in the domestic and the international so it is always healthy competition that we will keep having internally, but we expect both domestic and international to keep growing at a rapid pace.
Vikas Tulsyan: Sir wh ich one will grow faster export or domestic?
Sanjeev Banga : Too difficult to predict because domestic would like to grow faster than export and export would like to grow faster, but eventually Radico that is keep growing.
Vikas Tulsyan: Than ks.

Moderator: Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference back to the management for their closing comments.
Dilip Banthiya: Thank you everyone for joining us today. We are confident of maintaining our long -term margin expansion given the premiumization of portfolio and recently received price increases both in IMFL and non -IMFL segments.
We look forward to interacting with you on our next earning call. In the meanwhile, if you hav e any queries, please feel free to write to us.
Thank you and over to you.
Moderator: Thank you. On behalf of Dolat Capital we conclude today's conference. Thank you all for joining. You may now disconnect your lines.
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Note: This transcript has been edited to improve readability.
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Call: Dec 2023

RKL/SX/202 3-24/92
November 15, 2023

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 532497 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor , Plot no. C/1,
G Block , Bandra -Kurla Complex,
Bandra (E) , Mumbai – 400 051

Symbol : RADICO

Sub: Transcript of the Earnings C all conducted on November 07 , 2023

Dear Sir / Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015, please find enclosed transcript of the Earning s Call held on November 07, 2023 , for the Unaudited Financial Results of the Company for the quarter and half year ended September 30, 2023 .

The same is also uploaded on the website of the Company at www.radicokhaitan.com .

This is for your information and record s.

Thanking You,

Yours faithfully,
For Radico Khaitan Limited

(Dinesh Kumar Gupta)
Senior Vice President – Legal &
Company Secretary

Email Id: investor@radico.co.in

Encl.: As Above

Radico Khaitan Limited
(BSE: 532497; NSE: RADICO)

Second Quarter and Half Year FY202 4
Earnings Conference call
November 7, 202 3

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Amar Sinha, Chief Operating Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and gentlemen, good day, and welcome to Radico Khaitan Limited Q2 FY24 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this confe rence call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Himanshu Shah from Dolat Capital. Thank you, and over to you, Mr. Shah.
Before we begin our presentation, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation f or the detailed disclaimer.
Himanshu Shah: Thank you, Nirav. Good afternoon, everyone. On behalf of Dolat Capital, we welcome you all to Q2 FY24 Earnings Conference Call of Radico Khaitan. We would like to thank the management for giving us the opportunity to host the call. On the ca ll, we have with us Mr. Abhishek Khaitan - Managing Director , Mr. Amar Sinha - Chief Operating Officer , Mr. Dilip Banthiya - Chief Financial Officer and Mr. Sanjeev Banga - President International Business.
We would like to congratulate the management for stellar 36% revenue growth in P&A segment and 49% in Non-IMFL segment. All the best for future endeavors .
Let me now hand over the floor to Mr. Abhishek Khaitan - Managing Director, for his opening remarks. Thanks, and over to you, sir.
Abhishek Khaitan: Good afternoon, ladies and gentlemen. Thank you for joining us on our Q2 FY24 results conference call.
Strong growth momentum seen in quarter one was continued in the second quarter of FY24, with Prestige & Above category brands growing by 22% year -on-year. The growth was driven by all our core brands such as Magic Moments vodka, which crossed 1.5 million c ases sales again during the quarter , Morpheus Super Premium brandy , Royal Ranthambore, After Dark Blue whisk y, 1965 Spirit of Victory premium rum, etc . This underscores the strength of our brand portfolio, operational excellence and clearly defined strategic road map. Given the increasing premiumization, our margins have shown sustained improvement.

We are making remarkable progress in further expanding our luxury brand portfolio and launched next two whisk ies in the Jugalbandi series of eight Indian Single Malt whisk ies i.e., Jugalbandi #3 and Jugalbandi #4, at the Whisk y Show in London, priced at GBP 400 per bottle. There is a lot of mysticism about India and the global consumers are always intrigued by the Indian culture and heritage. With our Rampur Indian Single Malt portfolio, we have always strived to take India to the world. The recent launch is a testament to our brand creation capabilit ies and celebrate s an ancient Indian art form. We are rolling it out to the U K, USA, EU, Singapore, and Global Travel Retail.

Furthermore, we continue to expand the distribution of Rampur and Jaisalmer in India. Rampur is now available in over 10 states and Jaisalmer is available in 20 states. With Rampur, we have surpassed FY23 volumes in the first half of FY24.

Capitalizing on the growth in the white spirits space and our vodka market leadership, we are planning to launch a unique and premium pink vodka made from 100% natural ingredients under the Magic Moments umbrella. We are quite excited about this product and confident that it will take Magic Moments portfolio to new highs.

While we have seen prices of certain commodities stabilizing, the scenario remains volatile for glass and ENA. We continue to cautiously monitor t

he industry trends. Given the IMFL portfolio premiumization and price increases in both IMFL and country liquo r businesses, we have seen our margins improve both on year -on-year and quarter -on-quarter basis. Although , we have faced raw material pressure in the short term but that does not impact the mid to long -term growth and margin trajectory.

During the quarter, we successfully commissioned the new 350 kiloliters per day grain ENA distillery at Sitapur. The plant is now running at optimum capacity and has achieved key operating parameters. The commissioning of the Sitapur plant not only secures long -term ENA supplies but also positions us strongly to capitalize on the future growth opportunities in the branded business with enhanced bottling capacit ies. Together with the Rampur campus, the ENA production from Sitapur plant will be able to support the branded business growth for the next six to eight years.

We are committed to our long -term strategy of delivering sustainable premium volume growth. With our strong backward integration

platform and dedication to brand excellence, we are confident in our ability to capitalize on the long -term growth prospects within the Indian spirits industry. We are focused on delivering a value -led growth, managing business with agility, harnessing the strength of our extensive distribution network and manufacturing platform while consistently improving our profit margins.

I would now like to hand over the call to our CFO for a detailed operational and financial review. Thank you, and over to you, Dilip.

Dilip Banthiya: Thank you, Abhishek. Thank you, everyone, for joining us on this call today.

During Q2 FY24 , we reported total IMFL volume of 6.96 million cases, which is a degrowth of 3% on year -on-year basis. Prestige & Above category volume grew by 21.8%. In value terms, the Prestige & Above category registered 35.6% growth. During FY23, we had rationalized volume of certain regular category brands as a conscious strategic decision to mitigate input cost pressure . We have recently received price increases in the regular category in defense division . This should support the volume in the coming quarters.

Prestige & Above category now account for 47.1% of IMFL volume as compared to 37.9% in Q2 FY23. The percentage of P&A is slightly higher due to significant degrowth in the regular category.

Improvement in IMFL realization is due to the combination of price increases and continued premiumization.

On year -on-year basis, there was a 165 bps impact due to the price increase on our IMFL sales value.

Gross margin improved significantly on year -on-year due to the price increases and ongoing premiumization in IMFL business, coupled with price increases received in the country liquor business. On quarter -on-quarter basis, despite commodity inflation in ENA and grain prices, we

have been able to sustain our gross margin. Although prices of certain packaging materials have softened recently, we are cautiously monitoring the trend of ENA and glass bottles, where volatility persists. Overall, we have a strong financial position and comfortable liquidity. During these times, we are taking all necessary steps to sustain our financial strength, maintain a robust business model and grow consistently, competitively , and profitably.
With this, we will now open the lines for Q&A.

Question & Answer :
Moderator: The first question is from the line of Harit Kapoor from Investec.
Harit Kapoor: I just had two or three questions. First was on the new plant. So, if you could give us a sense of what is the kind of capacity utilization that will be for your own brands and what amount of capacity will be utilized for selling outside in terms of bulk alcohol, at least for th

e first six to
12 months. If you could give some sense on that.
Dilip Banthiya: So, the Sitapur plant has been commissioned, keeping in in the view the strategic angle in mind. This plant is having a capacity of 350 kiloliters per day. So initially, this is being used for our branded business where we were chock -a-block. And as you see, our brand business, particularly the P&A category growth, is in the strong double digit s. Some of the grain ENA will be used for our UPML, which is a new segment introduced in Uttar Pradesh last financial year . Rest of the ENA for the time being, will be either sold to the local manufacturer s or exported out of India. But with our business model, we are confident of achieving our captive utilization in next three to four years.
Harit Kapoor: So, my second question was on popular. So, you've seen an impact there in the last a few quarters. I just wanted to get a sense whether this is in certain states where the pressure is more. Or how are you seeing the outlook for this segment going forward? Do you think volumes stabilize at these levels? Just wanted to ge t your outlook on that.
Dilip Banthiya: So, in general, the regular category or the popular category is having a muted growth as far as the industry is concerned. Certain states, which are big states like Karnataka, increased the duty by 20%. There is an impact on the demand at that price point. In UP, where the price difference between UPML and regular categor y higher, there is some down trending . But as far as defense is concerned, we got recent price increases, and I think that some of th e degrowth will be arrested in Q3. Some export markets where the currencies have been depreciating against dollar, there also the regular category brands are having less saliency. And because of that, there is a degrowth in the regular category. But I think as far as Radico ’s business model is concerned, we will be able to deliver flat to some low -mid-single -digit volume growth in the coming quarter.

Harit Kapoor: You mentioned the price increase in can teen . So how much has that happened?
Dilip Banthiya: So overall, in that price category, is 6%.
Harit Kapoor: Okay. I have some more questions, but I will come back.
Moderator: Next question is from the line of Abneesh Roy from Nuvama Institutional Equities.
Abneesh Roy: So, we are seeing a very strong mix change which is happening in your business. Ex of Karnataka, there is the consumer going because such a sharp dip in the regular category in the lower end, obviously, consumption will not happen so drastically in terms of c hange. So obviously, that consumer is going to other brands. For a lot of the multinational companies, this is a very conscious strategy. So, in your

case, how much of this mix change is conscious strategy? And how much is a risky proposition for medium long term, given the consumer will shift to other and possibly the local brands?
Dilip Banthiya: So, in general, as I said, in this category, the industry is also muted to flat. Secondly, these are the two states, which I talked about, which are the larger ones. Secondly, as I said that our focus is P&A and above. So strategically, where there is an input cost pressure, there has been a cutdown as a strategic call. So, I don't think that regular is our focus. And I think we will come back whe re we got the price increase.
Abneesh Roy: Okay. Understood. And in terms of the advertising and more so surrogate advertising, could you take us through -- because you are doing so many new products at the P&A level, especially in whisk y, where traditionally, there are other players who are having the higher market share. Could you take us through how those trends will pan out in the coming quarters? Because now Q3 clearly is a festival quarter, but more from a one to two yea

rs' perspective, how do see
your ad spends panning out?
Amar Sinha: So, see, as far as our A&SP spends are concerned, we feel that despite all the new brand launches, we will continue to be within 6% to 8%. However, when we are right now -- launching new products, what we are right now focusing on is a lot of on -ground visibi lity and consumer trials, which will continue for at least the next one year. On a selective basis, for brands like Magic Moments, we are continuing with our initiatives on in -film brand integration for premium brands like for Royal Ranthambore, we are concentrating on spor ts like Golf .

So, we are picking events as a prime source for above -line advertising rather than working too much on to the surrogate route. Event is something that's currently being allowed. And if you see the World Cup matches also, practically every liquor company is there, and we're following the event route right now. So, I don't see this as a big problem. We have to be a little creative and the strength of Radico has always been in innovation and creativity for our brands, which we will continue.
Moderator: Next question is from the line of Pankaj Kumar from Kotak Securities.
Pankaj Kumar: Congratulations on a very good set of numbers. Sir, question is on gross margin that you have seen even the sequential basis, it has improved though there is a pressure you said and the volatile scenario on the raw material prices. So, I want to understand what benefit we have got from the backward integration in terms of gross margin contribution for this quarter and going ahead.
Dilip Banthiya: So, we have improved on our gross margin on a year -on-year basis by around 260 basis points and on a quarter -on-quarter basis by 60 basis points. It is on account of the premiumization and price increases. The higher -end product like, Royal Ranthambore, Jaisalmer, Rampur Indian Single Malt, are having a big traction and with percentage growth in these segments are much higher. We have been able to mitigate this cost pressure. There has been an increase on broken rice Y-o-Y basis around 15% and on quarter -on-quarter basis also by 4%. Last year, two price increase in the glass bottle has taken away, on a gross basis, a margin around 225 to 250 basis points.
So, despite that, the margin improvements are there consistently. I think on the commodity side, the rice/paddy season has started. We expect from November or December, the commodity should also have some softening and which will have a tailwind to our margin. I think we will continue to improve.
Pankaj Kumar: Okay sir, because now this backward integration, the benefit will also be coming in. So, you'll see that will be adding your gross margin? And any outlook, any commentary on that, if you can comment?
Dilip Banthiya: Yes. So, backward integration will definitely add on to the gross margin. But at the same time, we'll add to my branded portfolio more, which will be a value -added product .

Pankaj Kumar: And sir, second question is on your overall capacity. So, on the bottling side as well as the ENA side. So now with this expansion, so how much

we are utilising in-house in terms of ENA supply? And in the bottling also, how much is the in -house versus contracted and output?
Dilip Banthiya: As far as the ENA is concerned, now we are self -sufficient for our 100% of the branded product and UPML or CL. But the point is on logistic reasons, some of the states in Southern India , which are distance away, we buy the alcohol for our popular product s. As far as the bottling capacity is concerned, we have a very large bottling capacity now at Sitapur. So, we will be sufficient for our own bottling. I think our own bottling at this point of time is between 55% to 60%, and the third - party bot

tling is around 45% to 40%.
Pankaj Kumar: Sir, my last question is on the volume growth outlook for the P&A side. We have seen more than 20% volume growth in the first half. So how do you see for the second half and for FY25, any comment, sir, there?
Dilip Banthiya: So, we have always been talking about P&A, our focus area, and we continue to focus and have a strong double -digit growth on our P&A category for next two to three years.
Moderator: Next question is from the line of Jayesh Shah from Ohm Portfolio Equi Research.
Jayesh Shah: Yes. Congratulations on a good set of numbers. I just wanted to understand that gross margins of 44%, EBITDA of 13%, is this the new normal now, given the past volatility where we had a couple of issues hitting us?
Dilip Banthiya: So as far as our business model is concerned, we are confident about improving the margin year after year. At the same time, as I said, that these commodity like the soft commodity of grain , ENA and glass prices, I can't have more visibility . So, if it remains at steady state at these levels then we will improve on our gross margin as well as EBITDA margin, given our premiumization and product portfolio.
Jayesh Shah: Yes. And you also have the backward integration benefits kicking in so...
Dilip Banthiya: Yes. That's part of the whole business model.
Jayesh Shah: Right. And secondly, Prestige & Above sales , which is already 54% of IMFL, so effectively, 50% of company revenue. When can this peak out? I know you're focused on strong double -digit growth, but does it peak out at, say, 60%, 70% of the company revenue? How should we look at it, sir?

Dilip Banthiya: This quarter, there has been a double impact. One is the regular has degrown by 15% or so, and P&A has grown by 22%. That's why the mix is around 47% in volume terms. However, as our business model further going forward, we expect that in a normal state where the regular grows mid, low digits and P&A in double digit. We will be in the range of 55% to 60% on volume terms in the P&A category next in two to three years.
Moderator: Next question is from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas.
Kaustubh Pawaskar: Congrats on a good set of numbers. Sir, my question is on the debt front. So now our major capex has been done. Actually all the factories are now operational. So, any time line when we can see substantial reduction in debt since you are expecting cash flows to improve over the next one to two years, sir? So, any thought process on that?
Dilip Banthiya: So yes, the major capex has already been done and commissioned. I have already guided that the debt will be peaked in the Q3 of this year. And thereafter, there will be continuous declin e in the debt and by FY2026, it will be a very negligible kind of debt with the business model.
Kaustubh Pawaskar: Sir, talking about the EBITDA margins, we have seen sequential

improvement in the EBITDA margin this quarter. The margins are still at around 13%. And you have guided that by end of FY24, margin s should be close to around 14% to 15%. So, considering the strong performance of P&A segment, should we expect EBITDA margins coming close to around 15% by end of FY24?

Dilip Banthiya: As I said that margin from here onwards will continue to improve. We already said that every year, the margin improvement trajectory will be seen. By three years' time, it should be late teens kind of margins. That is what we are expecting.

Kaustubh Pawaskar: And the full benefit of the Sitapur facility should start flowing in from FY25. Is it the right understanding?

Dilip Banthiya: So, full capacity utilization of Sitapur will be there as far as the distillation is concerned, so in Q3 also and next year, it will be a full year.

Moderator: Next follow -up question is from the l

ine of Harit Kapoor from Investec.

Harit Kapoor: Yes, I just had one follow -up. The operating costs for the quarter, do they have an element of the Sitapur plant having commissioned and actually revenue hasn't come in to that extent, but costs would have

come in. I just want to understand will the revenue and cost kind of match in from Q3 onwards there is little upfront in Q2.

Dilip Banthiya: So, Harit, Sitapur came into operation in the last 10 days of the current quarter and next quarter onward, there will be top line also from that, and the full expenditure will also come into the P&L. So yes, it will be seen in both.

Harit Kapoor: No sir just, I just wanted to check if the employee cost or some of the other costs come in a little bit before. So that impact would have come in Q2 to some extent and revenue would have lagged a little bit in Q2. I just wanted to see if there is any extra cost coming in on Sitapur, which will obviously get matched by revenue in Q3.

Dilip Banthiya: Actually from here onward, the interest , depreciation , etc. will be charged out. I think you will see that with this business model and integrated business model with the Sitapur coming into full operation, we will continue to improve on our margin because there will be backward integration benefit also and the premiumization, which is going on, we'll continue to further strengthen.

Moderator: Next question is from the line of Anurag Jain, individual investor.

Anurag Jain: Congratulations on the excellent quarter for the premium and above segment. It's a record quarter for the segment and with sales touching almost INR 500 crores and the P&A sales have almost doubled in last three years, which is significantly ahead of the industry.
Now comparing the regular segment has seen the lowest sales in last five years on a quarterly basis, barring the COVID lockdown quarter. Now from the previous questions, I gather that there are two reasons. One is at the industry level and second is management's own evaluation that the sales in regular segment will not be margin accretive, so you have probably given up those sales. So now based on these two factors, what would explain the decline like 50 -50 or which is the larger reason for the decline in volumes in the regular segment between these two factors?

Dilip Banthiya: As I said, I can't have the division or the separation between that what is on account of the industry and what is on account of cost push. But yes, of course, we are doing the regular segment in certain states where we make reasonably okay margin. A certain state where it is miniscule or negative , we are doing away with those volumes.
So, I feel that because there i s cost push across and the defense has given the price increase at the end of the last quarter, Q2. Certain more

markets will give price increases in regular category . As far as the

industry is concerned, industry is growing in mid -single digits. So, we
will continue to come on growth in regular in next year. This year, H2
also will be flat to some growth.
Anurag Jain: All right, sir. And I have one more question on the export segment.
How has been the performance of the export segment and for Radico
is now the export segment bigger than its largest state or not?
Sanjeev Banga: Well, in terms of export s, we've been doing well. We are, in fact, one of
the largest exporters of IMFL from India. And we are seeing increas ing
acceptance of our brands, especially the luxury portfolio across the
world. There have been a few issues in certain markets because of the
local currency situation. But I think overall, we continue to keep
growing.
Moderator: Next question is from line of Sneha Jain from SKS Capital.
Sneha Jain: I just wanted to know the impact of the RM price

s, I mean, what are
the trajectory you're seeing them to go to? And what are the major RM
prices that we are seeing being impacted? And anything like any sort
of recovery or something like that from that?
Dilip Banthiya: See, in the raw materials, one of the major raw material s is grain. And
as I said that grain prices on a year -on-year basis are up around 15%,
and on quarter -on-quarter also 4% to 5%. But the crop in the northern
part is good, the export has been banned . So, we see some softening
as we start paddy processing and it come s on full swing, from
November and onwards, when there is a seaso n. Within three to four
months, we should see those prices to decline.
The major impact on account of the ENA and as we have seen 7% to
8% inflation on a year -on-year basis and around 2% inflation on a
quarter -on-quarter basis. This is also a major raw material . Rest all are
the hard material is under softening side. The glass prices ha ve already
risen by 30%, 35% last year, and that is also an impact of around 225
basis points to 250 basis points on my gross margin.
Sneha Jain: But glass price continues to be like?
Dilip Banthiya: No, now it's stable .
Moderator: Next question is from the line of Nirav Seksaria from Living Root
Analytics.

Nirav Seksaria: Yes, so I just wanted to know going forward how much the revenue
mix, are we expecting from regular since we are focusing on
premiumization?
Dilip Banthiya: Revenue mix right now, it is around 45% versus 55% . Our growth
strategy is on the P&A category where we will have a strong double
digit. In 3 years', time, if we are able to do 60% of volume from P&A
and 40% volume from the regular category, I think that business model
will be a stable business model.
Nirav Seksaria: Okay sir, there was an introduction of several gin brands at various
price points. So how the sales in Jaisalmer are growing?
Abhishek Khaitan: See, if you compare to all the Indian brands like Jaisalmer is pitched
against the highest selling global gin brands and Jaisalmer is priced at
about INR 4,000 a bottle. And in that segment, today, we have the
leading market share and our market share will be close to about 55%.
And Jaisalmer , everywhere, wherever it's gone, it's doing exceptionally
well.
Nirav Seksaria: Okay.
Abhishek Khaitan: And in fact, we have recently launched Happiness gin at about , INR
2,000 to INR 2,200 a bottle. So that would be the gin which would be
competing with the Indian local gins.
Nirav Seksaria: Okay. And what is the outreach for the Happiness brand?
Abhishek Khaitan: So, this quarter, we are going to roll it out in about five states. And
gradually next year, we'll take it pan India. So, this quarter, we are
rolling it out.
Nirav Seksaria: So, which five states is it going to hit?
Amar Sinha : So, we are looking at states like Haryana, Delhi, Goa, Rajasthan and UP.
Moderator: Next question is from the line of Himanshu Shah from Dolat capital.

Himanshu Shah: Sir, just a couple of questions. First , is our capex on the greenfield expansion of Sitapur complete? Or there will be some additional spend that will come up in H2 FY24 for Sitapur plant?
Dilip Banthiya: So, Sitapur plant capex is all complete but some of the payments, which comes later on because these are after the performance and all that will come in H2 also. There are certain capex es, which has been done by the company . This has been to do for the Happiness Gin we had a new gin facility commission for that . We have tripled our capacity on the Jaisalmer also. We are improving on our printing bottle capacity

[for Ma gic Moments] by around 33% to 35%. That will also come into play in coming years. So, all these capex's are now being done on the branded business side and in partic

ular, the P&A and luxury brand.
Himanshu Shah: Okay. So, in this front, can you guide for our capex number for H2 FY24 and FY25?
Dilip Banthiya: So, H2 the remaining capex payment side will be around INR 125 crores . Next year, the capex will be in the range of around INR 75 crores to INR 100 crores.
Himanshu Shah: Okay. Henceforth , the capex run rate should be in that vicinity INR 75 crores to INR 100 crores?
Dilip Banthiya: Yes.
Himanshu Shah: Okay. INR 125 crores for H2 is only the payment pending, but we would have capitalized that particular amount.
Dilip Banthiya: No, payment pending is one part and another, as I said, that these capex's, which has been done for our premium, super premium and luxury side. We are increasing our maturation facility. There will be more cas k required. So, all this will continue to happen on the mal t side also.
Himans hu Shah : Brand related.
Dilip Banthiya: Yes.
Himanshu Shah: Okay. This is very helpful. Sir, secondly, if you can just help, what would be the market size of vodka and gin. Is the growth run rate that we have seen in first half of the financial year? Or what would have been the overall market size of vodka and gin for this particular financial year? Industry size, some color if possible.
Dilip Banthiya: See, overall vodka market is in 3.5% like it is 400 million cases industry, so something 10 million cases, 10.5 million.
Amar Sinha: So, the vodka market is about 3 .5% of the total IMFL business in India. We are actually growing at a very healthy rate and expanding the vodka segment with our new offerings, which will continue.
Himanshu Shah: Okay. And what about gin, sir?
Abhishek Khaitan: So, gin right now is quite negligible, but it is growing at a rapid pace and especially like the premium gin. Gin is more at the premium side. So, their volumes are quite small, but the profitability and the contribution is very high.

Himanshu Shah: Okay. And sir, just a last question. Can you help me with the distribution of Royal Ranthambore like it's available in how many states Jaisalmer gin and these two products?
Amar Sinha: So, Royal Ranthambore has expanded to about 18 states and the response to the brand is unprecedented, though we have priced at higher than the most popular selling scotch. The brand is well accepted, and we are now gearing up our capacities to cater to the market demand that is emerging for this brand. I think this is a future brand for Radico with unprecedented response.
Himanshu Shah: Okay, that's very nice and very heartening, sir. And about Jaisalmer gin sir? And if you can also help me with 1965 rum number of states that its available.
Amar Sinha: So, Jaisalmer gin is in about 19 states. We are a national brand, both

for Jaisalmer and Royal Ranthambore. As far as Jaisalmer is concerned, Mr. Abhishek Khaitan has already told you, we are today in the region of about 60% market share across the gin category. And this brand is showing unprecedented results despite being higher price premium to most international brands. We are very hopeful. We have tripled our capacity as well. So, I think Jaisalmer has a future in India.
1965 is in about 10 states. It is one of the most premium priced rum s in India today. You see , rum has traditionally been seen as a cheap and medium -priced product in India. But with the launch of 1965, starting with defense , it was pegged at a premium price. Now it has been expanded to the civil domestic market as well. We are in 10 markets in domestic. We hold good more than 10% market share in defense . The brand is consistently growing. And I think 1965 will become synonymous with the category in the years ahead. It's showing tremendous response.
Moderator: Next question is from the line of Jayesh Shah from Ohm Portfolio.
Jayesh Shah: I have two industry -level questions. First ly, do we expect any volatility in the liquor policy because of the state elections and the central elections, whether things are settling down? And secondly, can you comment on the impact of U K FTA, if it goes through , on Radico.
Sanjeev Banga: Let me first talk about the U K FTA. I think as an industry and especially as Radico, we welcome this F TA when it happens also because we import a lot of bulk scotch . So, any duty reduction will make a good impact on our cost ing as well. In terms of overall industry, the more scotch malt is available at competitive prices will definitely improve the

quality of Indian blend as well. And with India premiumizing the portfolio in the beverage alcohol space , even the international brands when they come in, there will be a big boost to the industry and the P&A category. However, our want has always been that it should be a level playing field. So, the British side would also have to do away with some of the non -tariff barriers. Once that happens, the export of IMFL and Indian whisk y and rum will also increase substantially to the U K market.
Abhishek Khaitan: And as far as the first question goes about the state elections and everything, I think one of the major decision, which took place was removal of ENA under GST, which the GST committee took, which I think is a very welcome move for the l iquor industry. This ambiguity was there for two years, which has been done away with. And we don't see much of any policy change because of the state elections .
Amar Sinha: In fact, the state governments are very responsive to the liquor business because it's a state subject matter. So, state elections will not disturb the policy, and there would be stability like always.
Jayesh Shah: Just a follow -up on the U K FTA. I thought since you are more in the prestige and above category, product pricing benchmark to be foreign brands like Glen livet and whatever and hence some kind of a pricing impact that may happen?
Sanjeev Banga: In terms of our luxury portfolio, say, Rampur way above the global bran ds or some of the other 12, 15 -year -old scotches. So, Rampur is far above that. And even in the global international market, we're competing with all these brands at a much higher price level. So, we don't see a problem with that.
Jayesh Shah: But with the vodka gin and other ones, I mean, Rampur, Jaisalmer may not be, but the other brands.
Amar Sinha: No, I think it's a very important to understand that Radico has already breached the international brands price positioning, whether in India or abroad, we are selling at higher price points. And we don't see any competition coming to our brands in the immediate future, even despite F TA.
Dilip Banthiya: Secondly, as far as gin and vodka is concerned, there will not be any impact of the duty reduction because in India everything is locally made for these gin and vodka .

Moderator: As there are no further questions, I will now hand the conference over to the management for closing comments.

Dilip Banthiya: We are confident of maintaining our long -term margin expansion given the premiumization of our portfolio, recently received price increases both in IMFL and non -IMFL and backward integration .
We look forward to interacting with you all on our next earnings call.
In the meanwhile, if you have any queries, please follow up with us and feel free to write to us. Thank you very much.
Moderator: Thank you very much. On behalf of Dolat Capital Markets Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.
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Note: This transcript has been edited to improve readability.
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Call: Feb 2024

RKL/SX/202 3-24/126
February 13, 2024

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Mumbai – 400 001

Scrip Code: 532497 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor , Plot no. C/1,
G Block , Bandra -Kurla Complex,
Bandra (E) , Mumbai – 400 051

Symbol : RADICO

Sub: Transcript of the Earnings C all conducted on February 07, 2024

Dear Sir / Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015, please find enclosed transcript of the Earning s Call held on February 07, 2024 , for the Unaudited Financial Results of the Company for the quarter and nine months ended December 31 , 2023 .

The same is also uploaded on the website of the Company at www.radicokhaitan.com .

This is for your information and record s.

Thanking You,

Yours faithfully,
For Radico Khaitan Limited

(Dinesh Kumar Gupta)
Senior Vice President – Legal &
Company Secretary

Email Id : investor@radico.co.in

Encl.: As Above

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Radico Khaitan Limited
(BSE: 532497; NSE: RADICO)

Third Quarter and Nine Month FY202 4
Earnings Conference call
February 7, 202 4

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Amar Sinha, Chief Operating Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and gentlemen, good day and welcome to the Radico Khaitan Q3 FY2024 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Himanshu Shah. Thank you and over to you.
Before we begin our presentation, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation f or the detailed disclaimer.
Himanshu Shah: Thank you. Good afternoon everyone. On behalf of Dolat Capital, we welcome you all to Q3 FY2024 earnings conference call of Radico Khaitan. We would like to thank the management for giving us the opportunity to host the call. On the call, we have with us Mr. Abhishek Khaitan - Managing Director, Mr. Amar Sinha - Chief Operating Officer, Mr. Dilip Banthiya - Chief Financial Officer and Mr. Sanjeev Banga - President, International Business. I would now hand over the floor to Mr. Abhishek Kh aitan for his opening remarks. Thanks, and over to you.
Abhishek Khaitan: Good afternoon, ladies and gentlemen. Thank you for joining us on a Q3 FY2024 results conference call.
Driven by the strength of our premium brand portfolio and focus ed marketing strateg ies, Radico Khaitan delivered another quarter of a resilient performance with Prestige & Above category brands growing by 20% year -on-year.
All core brands continued to report strong momentum such as Magic Moments Vodka, which recorded 1.6 million cases sales during the quarter , Morpheus Super Premium Brandy, Royal Ranthambore, After Dark Blue Whisky, 1965 Spirit of Victory Premium Rum etc. Our commitment to delivering value to our consumers, execution excellen ce, increasing investment in brands, and driving premiumization remains a cornerstone of our success.
Our luxury portfolio continues to attract consumers and connoisseur s across the globe. Rampur Double Cask was recently featured in the

Luxury Lifestyle Award as the Top 100 Premium Wine and Spirits Brand of the World . Rampur Asava won the Double Gold at Barleycorn Award 2023 and was named as the Best World Single Malt. We plan to launch Asava in the domestic market in the next financial year FY2025.
Furthermore, we continued to expand the distribution of Rampur and Jaisalmer in India. Rampur is now available in 14 states and Jaisalmer is available in 20 states.

We have further expanded our luxury offering s with the launch of Spirit of Victory 1999 Pure Malt Whisky. The launch not only re iterates our premiumization strategy but is also a testament to our innovation and brand creation capabilities. Priced at Rs 5000, this brand is targeted at a mid-price d luxury segment. Our Master Blender has travelled over the world to evaluate various Single Malts and has blen ded them meticulously together with our Indian Single Malt to craft this exceptional Pure Malt. We are confident that 1999 Pure Malt will go on to create a mark of its own as many of our previous luxury brand.

While we have seen prices of certain commodities stabilizing, the scenario remains volatile for grain , glass , and ENA. We continued to cautiously monitor the industry trends . Given the steep inflation in the grain prices over the last two quarters, we have seen our margin s getting impacted. Despite this, we have been able to sustain gross margins on year -on-year basis due to the ongoing

premiumization and price increases in the IMFL business. Current grain scenario is volatile, and it is an industry issue. Government and industry are working together and have taken certain steps a s the use of alternate feedstock in the manufacturer of ethanol, which should also alleviate the pressure on broken rice prices.

It is heartening to note that due to our focus on financial discipline, we have been able to reduce our net debt by over Rs.100 Crores on a sequential basis. We remain committed to our integrated growth strategy of a focused premium product portfolio, brand innovation, and agile organizations and delivering value to our customers and stakeholders.

We will continue to deliver a value -led growth, manage business with agility, harness the strength of our extensive distribution network and manufacturing platform while consistently improving our profit margins.

I would now like to hand over the call to our CFO for the operational and financial review. Thank you and over to you Dilip.

Dilip Banthiya: Thank you, Abhishek . Thank you everyone for joining us on this call today.

During Q3 of FY2024, we reported a total IMFL volume of 7.25 million cases which is a growth of 3.7% on year -on-year basis. The Prestige & Above category volume grew by 20.2%. In value term s, the Prestige & Above category registered 29.1% growth. Prestige & Above category now account for 49.9% of the IMFL volume compared to 42. 4% in Q3 of FY2023. The percentage of P&A is slightly higher due to the significant degrowth in regular category. Improvement in IMFL reali sation is due to combination of price incr ease s and continued premiumization. We had received price increases in the regular category in the defense division, which supported the volume s in the regular segment.

On year -on-year basis, we had about 185 basis point overall impact due to price increase s on our IMFL sales value.

Gross margins were impacted both on year -on-year basis and quarter -on-quarter basis due to the significant food grain inflation. Grain price inflation had a negative impact of 500 -basis point on year -on-year and 370-basis points on quarter -on-quarter basis on gross margins.

Despite commodity inflation in the ENA and grain prices, we have been able to sustain gross margins on year -on-year basis due to the ongoing premiumization and price increase in IMFL business .

Although prices of certain pack aging material have softened recently, we cautiously monitor the trends of grain, ENA and glass bottles, which remain volatile.

Due to strong financial discipline and working capital management, the Company has been able to reduce the net debt on quarter -on-quarter basis.

Overall, we have a strong financial position and comfortable liquidity. During these times, we are managing and taking all necessary steps to sustain our financial strength , maintain a robust business model, grow consistently competitively and profitably. With this, we now open the line for Q&A.
Moderator: We will now begin the question -and-answer session.

We have a first question from the line of Ab neesh Roy from Nuvama. Please go ahead.
Abneesh Roy: Thanks, and congrats on a very good set of numbers. I wanted to understand the P&A volume growth, so the market leader has been sounding out slowdown past two quarters and in fact this quarter, we saw less than mid-single digit volume growth in P&A which used to be much higher earlier . Your performance both in Q3 and nine months has been pretty strong at 20%, 22 %. So wanted to understand do you also see industry slowdown. I understand your performance is good, so could you tell in last three to five years, the new product which you have launched, what is the contribution in the P&A? Is that th

e reason
why you are able to grow much faster?
Dilip Banthiya: First of all, our P&A Category is growing across the geographies and across the brands. In P&A, the Magic Moment Vodka which is our flagship brand is growing by 22% - 23% , Morpheus Super Premium Brandy is g rowing in double digit, After Dark Blue Whisky, which has been there now rolled out to around 9 to 10 states is also growing in strong double digit, 8PM Premium Black is also growing in strong double digit, Royal Ranthambore has seen a big jump because started it two years back, now it is available in 19 states and we are seeing a good traction in that brand. Luxury brand is growing very fast, it is growing also on top line and the luxury portfolio Rampur Indian Single Malt is available in India and now it is available in 14 states . Jaisalmer Indian Craft Gin is available in 19 states . So, we are doing well and are growing the portfolio across. Our existing flagship brands are growing faster also a ided by the new launches which are being rolled out and the width of distribution is also taking place .
Amar Sinha: If you really see the last two years in fact just last year Magic Moment completed it 's 5 million cases. Morpheus did one million case, 1965 Premium Rum did one million case, 8PM Premium Black completed 3 million cases. Now all this put together has given Radico great strength across the retail and on -trade business over the last two years and we are getting the benefit of this on the luxury portfolio also that we have launched and that is the reason why Royal Ranthambore, Jaisalmer all of them continue to do well and we see a similar trend moving forward.
Abhnish Roy: One follow -up, so in terms of the last three years or five years whatever number you are comfortable to give, out of the Rs. 519

Crores , what would be the contribution of new products launch in either three years or five years out of this?
Dilip Banthiya: To summarize for three years or five years at this point of time, we were in our volume terms around 35% P&A now we stand 50% almost in volume, so it is a consistent growth in our existing flagship brands and then new brand s. But new brand s are still very, nascent like , these have been launched two to three years back only and there is lot of things to do for maturing these brands in many states. Both put together, it is a combination of our existing flagship brand as well as new launches.
Abhnish Roy: Last follow -up question, you said mostly the flagship brands are also growing very strongly, any particular states where these are stronger performance because why I am asking this is one when I see Pernod

and UNSP both growth rates are much slower in terms of their P&A volume growth. Second , of course is there is a general consumption slowdown across almost every FMCG, apparel, paint, FMCG generally everything is slow only. Against that context, your flagship brand growing so strongly is a very good performance, could you give more color to it in terms of state wise anything there or why the market share gains are happening because clearly it seems market share gains rather t han the industry growth rate being there?
Dilip Banthiya : I say that in general we are finding that P&A category and premium brands we are not seeing that slowdown particularly in our brand portfolio; however, the regular brands is slowing down and a strategic call also , there is some pressure which we have seen in last three quarters. In the coming quarter also, there will be some single digit decline in Y-o-Y basis last year. From next year onward , when course is correction done and we get the price increases also in certain states in the popular category, then we expect to grow in the range of 3% to 5%. I say that it is not one particular state or some of the states . Our presence is across

India and P&A category, we are seeing the growth happening everywhere.
Abhnish Roy: Sure. Understood. Thanks a lot. That is all from my side.
Moderator: The next question is from the line of Harit Kapoor from Investec. Please go ahead.
Harit Kapoor: Good evening. If you look at the nine months in P&A, you have a 10% growth in reali sation 9.5%, 10% . I just wanted to understand how much

of this would be price and how much of this would be mix in your estimate?
Dilip Banthiya : In P&A, our delta is around 11%, 11.5% out of which 190 basis point is out of the price increase s and rest is because of the product mix and premiumization.
Harit Kapoor: This high single digit kind of mix is sustainab le?
Dilip Banthiya : It is a normalized state of affair because i n these quarters you see that there is a decline in the popular category and there is a jump of 18%, 20% in the P&A category. In a normalized state of affair, 6% to 8% is comfortable; it should be the delta because of the product premiumization.
Harit Kapoor: I was just asking even in within P&A it is like a 10% growth and if I assume 2% is pricing that is about 700, 800 -basis points, you think the 700, 800 -basis points Dilip Ji is a sustainable one given that the last two, three years we actually all the product launches that we are doing are dramatically higher on a realization per case as compared to our average. Is that the correct way to think about it?
Dilip Banthiya : Yes, it is correct to think about it because now with most of the products which are launched is in the range of 2000 plus, so we see the traction that the delta is improving, realization per case is improving.
Harit Kapoor: Got it and on the popular side just one question, do you expect the bases would start to normalize more so from the second half of next year or you will start to see some of that flattening out of growth coming in from the early part of FY202 5 as well?
Dilip Banthiya : In the Regular category , there is an industry issue and inflation -related issue where the margins are just squeezed out . This is also done conscious ly as a strategic decision . We have done away with certain sales , but we see that some price increase have happened , like defense has given some price increase in the popular category . Some of the market will further consider it and on a normalized state 3% to 5% kind of growth in popular category from next year onward, we can expect .
Harit Kapoor: Last thing was on the Royalty brand. This Royalty portfolio now should be fairly consistent right, because you have seen it now in terms of a Y-o-Y basis, the volumes are fairly similar to what they were in base quarters, so these are the exp ected numbers going forward. I assume

that unless we have a major deflation where you want to take back

some of these until then this should be a fairly consistent number to go with that?

Dilip Banthiya : Yes, of course the Royalty brands will continue to be in this base range of 0.8 to a million case per quarter and since it is a fixed remuneration we get, so it is a mix of that premium brands are around 50% to 55% and regular popular category brands are 40% to 45%, so this will continue to be in that range .

Harit Kapoor: Great. Those are my questions. Thank you so much and all the best.

Moderator: The next question is from the line of Parv Jain from Niveshaay Investment Advisory. Please go ahead.

Parv Jain: Congratulations on the good set of numbers, first question would be on the raw material inflation side. On a year -on-year basis as well as sequential basis, can you help me with some figures to understand how the inflations have been impacting us?

Dilip Banthiya : The inflation has been mainly on account of the broken rice which is our key ra

w material for making alcohol . The prices before the FCI discontinued the supply for ethanol manufacturers used to be in the range of Rs. 21,000 to 21,500 per tonne . Gradually, it has ramped from there to around Rs. 27,000 to 27,500 per tonne . However , governments have been taking proactive steps to contain these prices. Couple of weeks back maize has been allowed for the ethanol so some of the production capacity are going to be shifted from the broken rice to maize-based facilit y and another thing that the government has come out again to distribute the rice to the consumers by Bharat Rice scheme and export has also been contained. I see that the market forces will play and broken rice prices should correct from here so we could see some kind of correction by March end, but those actions definitely should bring something to softening the prices.

Parv Jain: We should see the prices topping out around the Q1 of FY2025 is that a fair assumption?

Dilip Banthiya : Topping out in Q4.

Parv Jain: Q4 this financial year?

Dilip Banthiya : Yes, RBI’s report has also said that for last three months consecutively , the rice is giving double digit inflation in their CPI , so these are cause of concern for government also.

Parv Jain: Okay that was helpful. My second question would be on the industry's broader outlook like we see the regular segment kind of facing a

slowdown. How do you view that going forward and how is that going to play out; will this luxurious segment , the Prestige & Above will continue to give higher growth while the regular segment will start to kind of get matured and slowdown? What is your broader outlook on the industry?

Dilip Banthiya : First of all, for us in the last 15 to 16 years whatever we have launched, almost all the products have been launched in the P&A and above category, so our focus is that. Secondly , looking into the inflation and other things we as a national player have a lot of choices to serve the consumer but there are regional players which are regionally playing in one to two states , so they are focused there and when we will have the price increases we will again come back on only those states where there is a comfortable margin . So for us this is not the capital allocation and is based on the amount we make per case basis . Otherwise, we see certain rural markets and we also hear from other FMCG industry that there are some pressures in the mass brand every industry , every FMCG industry is talking about it. But for us the main business model is P&A and above.

Parv Jain: Thank you so much.

Moderator: The next question is from the line of Dhiraj Mistry from Antique Stock Broking Limited. Please go ahead.
Dhiraj Mistry: Thank you and congrats on very good set of number s. My question is on non -IMFL business that we have seen significant jump, what kind of annual, quarterly run rate we can expect from this business, and also can you throw some light on what kind of gross margin and EBITDA margin we would be making on all n on-IMFL business?
Dilip Banthiya : Our non -IMFL business because we have this facility of Sitapur which is up and running and from this quarter . Like Q3, it has been running almost at full capacity, alcohol sale has been there, also our country liquor volume has increased by 31% in this quarter on Y -on-Y basis, so combination of the alcohol sales as well as the country liquor increase, this has been a non -IMFL increase . Couple of by-product which we sell out of the distillery that is also forming part of that . But to the run rate it will remain in the range of Rs. 430 Crores to Rs. 450 Crores quarterly basis, but in due course of time as we have our branded business growth and 15% to 20% in P&A and others also growing in single digit , we will continue to consume the grain spirit cap tively as we

said earlier
also that in the three to four years' time, the consumption of the grain

ENA captively , so till the time it is a filler that we sell or export the ENA or the alcohol in the domestic market.
Dhiraj Mistry: On margin profile, can you comment what kind of margin?
Dilip Banthiya : Margin has squeezed because earlier when this was in Rs.9 to Rs.10 per liter, but because of the grain prices going up, the margin squeezed to Rs. 3.5 to Rs. 4.0 a liter and percentage terms the gross margin is in the range of 7.5% to 8% and EBITDA margin is around 5.5% on blended basis on the non -IMFL business.
Dhiraj Mistry: Thank you and second, I am assuming when there would be the price hike which we had last year for the overall portfolio, when it would be in coming quarters?
Dilip Banthiya : Price increases is a natural course and continuous phenomen on in our IMFL business. We continue to represent all the states with the cost push we have seen and the new policies which are coming from Februar y - March, we are also optimist and hopeful some price increase may materialize in some of the states.
Dhiraj Mistry: Okay and last question. When do you expect that company would become a debt -free company that in this quarter we have already paid Rs.100 Crores of debt, what is your internal target to become debt -free company?
Dilip Banthiya : We are managing our working capital and capex very well . Almost most of the big capex have been done now and in two years' time, we will be almost on negligible debt with the kind of business model .
Dhiraj Mistry: Thank you. That is, it from my side.
Moderator: The next question is from the line of Karan Taurani from Elara Capital. Please go ahead.
Karan Taurani: Thanks for taking my question and congrats on a good quarter. The question was around the regular segment you mentioned that from next year onwards you will see growth and come back in certain markets because of a potential price hike, but a s of now we have not seen any markets specifically g iving any kind of price hike, so what is the confidence behind this come back in the regular volume?
Amar Sinha : If you look at the way prices have gone up, in the last one year you almost got 12 to 13 states which have been very receptive on price increase, and we also find that the states today are more receptive on the inflation that has happened in this business over the last few years. We see that our efforts on getting a price increase will pay back like it

has paid in the last one year in the near future as well and the next one year should see softening of most prices and regular should come out better in terms of margins.

Dilip Banthiya : Secondly, the base effect had already played out in this year, so base effect is also because of every quarter there has been some negative decline in this segment. So next year with the price increase and the base is now coming on the rational level. Secondly, defense has given price increase we started supplying there, so we will see that 3% to 5% kind of growth is achievable .

Karan Taurani: How much of regular volumes would come from UP State, any broader numbers there?

Dilip Banthiya : I can give you a broad understanding of what UP market for us. We have around 28% market share across the industry right, so we are present everywhere, we are present in regular, we are present in premium, our Magic Moment Vodka is the largest selling vodka in UP. Verve vodka and the flavors are gaining momentum and 1965 rum which is also a very strong brand in UP. I say that Royal Ranthambore, Jaisalmer, it is a mix of all but to have a 28% market share itself is that we present everywhere and growing.

Karan Taurani: Right and as a focus or a vision statement from the company standpoint, do you believe that yo

u can potentially reach towards two -
third volume contribution as far as P&A is concerned given the kind of growth difference we are seeing in terms of P&A versus regular and is that a focus area right now or you believe that regular also there is still lot of demand and in the future there could be a comeback or you believe that P&A will continue to perform and probably it could be more than 60% of v olume contribution going ahead?

Dilip Banthiya : P&A volume growth is systematic and consistently growing. This period we have seen a n increase because of the fact that popular is degrowing and P&A is growing 20%, however, as a normalized state if we see 15% to 20% growth in our P&A and 3% to 5% growth in our regular category . On this current basis, we can see 50% to 55% and in three to five years , it can be 60% even in volume terms, but the point is I can 't comment three to five years like that because how the regular category with grain prices, ENA prices correct and we get price increases, we can also have the strong single digit growth in that, but still 55% to 60% you can assume in three to five years' time , we will be achieving from the P&A category .

Karan Taurani: In that case possibly 80% of your revenues would come from P&A given the high reali sation in that segment, is that a fair assumption?

Dilip Banthiya : The value growth will be much higher, because basically the brands which are coming and growing faster including new launches are in much higher category.

Karan Taurani: Just one last thing on the whisk y category again right. There is a big gap between 8PM Black and Rampur that you have obviously the Royal Ranthambore is there, but any plans to launch something in that mid and upper Prestige segment which would probably compete with a Blenders Pride or Royal Stag category?

Amar Sinha : Let me say that Royal Ranthambore has really done well. This year we will do three times the volume we did last year. We have just launched 1999 Spirit of Victory Whisk y which is at a Rs.5,000 a bottle price above that we have Rampur Single Malt, all of them put together are doing extremely well and we hope the same response coming for Spirit of Victory 1999, however, to specifically to answer to your question, we are lo oking at filling all the available opportunities in different segments of P remium whiskies in the times ahead and so obviously that answers the question, yes.

Karan Taurani: Got it. Thank you. That is, it from my side.

Moderator: The next question is from the line of Himanshu Shah from Dolat Capital. Please go ahead.

Himanshu Shah: Thanks for the opportunity; just couple of questions. Can you provide some color on what would be our current margin range on popular

segment versus the P&A segment, some ballpark color within the IMFL space?
Dilip Banthiya : Our margin profile basically on the P&A which includes luxury also is a very different because it has a very wide range, so I can say the blended margin and IMFL business is between 15.5% to 16%.
Himanshu Shah: Wide range means would it be 800 -1000 basis point difference or it would be…
Dilip Banthiya : It is 50 to 100x.
Himanshu Shah: Okay.
Dilip Banthiya : Because lot of things are common in nature, the point is allocation of these expenditure cannot be done on popular category and the manpower and so many administrative costs are common in nature

so we cannot allocate that but as I said that we have a fairly good margin in our IMFL business .
Himanshu Shah: Yes, and secondly can you update few of the states have come up with their policies, so what kind of price increases those states have given if any and what kind of tax increases, we have seen in some of the states; few of the major states that have come out

with the policy; can you help us?
Dilip Banthiya : The states which have given the price increases are weighted average bases in the range of 180 -basis point to 185 -basis point. The state s include Telangana, Haryana, Assam, Maharashtra, Rajasthan, Delhi, Karnataka, Uttar Pradesh all these big states.
Himanshu Shah: This 185 -basis point price increase for the next financial year that is FY2025?
Dilip Banthiya : This is for this financial year, the impact on a weighted average basis on my IMFL business is 185 to 190 bps.
Himanshu Shah: Yes, and the policies for next financial year I believe UP, Rajasthan those are the states that have come up with their policies, so what kind of price increases we have got on those states, if any?
Amar Sinha : The excise policies are in the process of being decided and published, right now Rajasthan has given a very nominal increase but as we mentioned earlier the association is in discussion with the state governments considering the inflation that exists and the governments are taking a very pragmatic and receptive view of the same. They have done it in the last one year and we hope that the new fiscal will also be fruitful as far as our effort of price increase is concerned.
Himanshu Shah: Great. Thank. That is very helpful. That is, it from my side.
Moderator: That was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.
Dilip Banthiya : Thanks for joining us. We are confident of maintaining our long -term margin expansion given the premiumization of our portfoli o, recently received price increases both in IMFL and non -IMFL and backward integration .
We look forward to interacting with you on our next earning call. In the meanwhile, if you have any query or follow -up questions, please feel free to write to us.

Note: This transcript has been edited to improve readability.
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Call: May 2024

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RKL/SX/202 4-25/25
May 23, 2024

BSE Ltd.
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Dalal Street
Mumbai – 400 001

Scrip Code: 532497 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor , Plot no. C/1,
G Block , Bandra -Kurla Complex,
Bandra (E) , Mumbai – 400 051

Symbol : RADICO

Sub: Transcript of the Earnings C all conducted on May 15 , 2024

Dear Sir / Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015, please find enclosed transcript of the Earning s Call held on Wednesday, May 15, 2024 , for the A udited Financial Results of the Company for the q uarter and financial year ended March 31, 2024 .

The same is also uploaded on the website of the Company at www.radicokhaitan.com .

This is for your information and record s.

Thanking You,
Yours faithfully,
For Radico Khaitan Limited

(Dinesh Kumar Gupta)
Senior Vice President – Legal &
Company Secretary

Email Id : investor@radico.co.in

Encl.: As Above

Radico Khaitan Limited
(BSE: 532497; NSE: RADICO)

Fourth Quarter and Full Year FY202 4
Earnings Conference call
May 15, 202 4

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Amar Sinha, Chief Operating Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and gentlemen , good day and welcome to Radico Khaitan Q4 FY24 earnings conference call hosted by Dolat Capital.
As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Yash Visharia from Dolat Capital. Thank you and over to you sir.
Before we begin our presentation, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation f or the detailed disclaimer.
Yash Visharia: Thank you Steve. Good afternoon, everyone. On behalf of Dolat Capital, we welcome you all to Q4 FY24 earnings call of Radico Khaitan.
We would like to thank the Management for giving us the opportunity to host the call. On the call we have with us, Mr. Abhishek Khaitan – Managing Director, Mr. Amar Sinha – Chief Operating Officer, Mr. Dilip Banthiya – Chief Financial Officer and Mr. Sanj eev Banga – President, International Business.
I would now like to hand over the call to Mr. Abhishek Khaitan for his opening comments. Thank you and over to you sir.
Abhishek Khaitan: Good afternoon, ladies and gentlemen. Thank you for joining us on our Q4 FY24 Results Conference Call.
FY2024 has been a year of consolidation for Radico Khaitan. During the year , we have continued to grow the Prestige & Above brands ahead of our expectations. We have strengthened our portfolio with more premium and luxury brands, and we have successfully completed and commissioned our Sitapur project which further strengthens our backward integration capab ilities.
Driven by the strength of our premium brands portfolio and focused marketing strategies, Radico Khaitan delivered another quarter of a resilient performance with Prestige & Above category brands growing by 14% year -on-year. Growth during FY24 was 20%.

All core brands continue to report strong momentum. Magic Moments Vodka recorded 6.3 million cases sales during the year and cross ed sales value of Rs. 1,000 crores. Morpheus Super Premium Brandy and 1965 Spirit of Victory premium rum crossed a million cases sale for the second consecutive year. The volume of Royal Ranthambore whisk y more than doubled. We have also signed an endorsement deal with Bollywood star Saif Ali Khan for Royal Ranthambore.
We remain committed to a focused product portfolio of premium brands where consumer aspirations drive brand choice. Right from ideation to b lend development, packaging, marketing, brand communication, distributi on and delivering value to consumers, we have a well -defined roadmap at each stage of the product life cycle.
We are confident that these strategies will continue to help us deliver balanced growth and value creation for all our stakeholders.
During the quarter, we expanded our luxury portfolio through the

launch of The Kohinoor Reserve Indian Dark Rum which is crafted through small batch distillation , using only fresh cane juice spirit during the north Indian winter season. It is then matured in American Oak Barrels previously used for maturing Indian Single Malt followed by further maturation in Cognac XO and Vermouth casks. Priced at about US$50 per bottle, it will be rolled out in coming months across global markets including the USA, UK, EU, Asia as well as Global Travel Retails.
During FY24 , Jaisalmer Gin achieved market share of 50% in the luxury gin space in India. With Jaisalmer , we are experiencing the

same
consumer traction as we had seen in the case of vodka albeit at a much higher price point.
We continue to expand the distribution of Rampur and Jaisalmer in India. In Q2 FY24 , we plan to introduce Jaisalmer Gold edition in the Indian markets to give a super luxury experience to the gin consumers. During this year , we also plan to launch Rampur Asava in domestic markets. Rampur is now available in 15 states and Jaisalmer in 22 states.
During FY2024 , while the prices of certain packaging material have been stable, cost of grain , ENA and glass has been volatile. This has led to significant pressure on our gross margins. However, with our product premium mix and price increases, we have been able to offset the pressure of raw material prices.

With the expectations of a normal monsoon and better crop yield, we are seeing early signs of softening of grain prices. We continue to cautiously monitor the industry trends. We believe that the worst of the input cost is behind us, and we expect the bene fit from any tailwinds in the raw material prices in FY25. We expect our operating margins to see improving trajectory in FY25.
With the rising affluence, low per capita consumption levels and a strong premiumization trend, I am confident of the mid to long term potential of the Indian AlcoBev sector. To continue serving the discerning consumers, Radico Khaitan is progressing well on its brand creation journey with innovation and consumer aspirations as its core which is backed by our integrated manufacturing facilities and distribution platform.
I would now like to hand over the call to our CFO for a detailed operational and financial review. Thank you and over to you Dilip.
Dilip Banthiya: Thank you, Abhishek. Thank you everyone for joining us on this call today.
During Q4 FY24, we reported a total IMFL volume of 7.16 million cases representing degrowth of 1.2% on year -on-year basis. Prestige & Above category volume grew by 14.2%. In value terms , the Prestige & Above category registered a 16.1% growth. Prestige brands have grown at a CAGR of 13% in volume terms and 20% in value terms since FY2019. We expect to continue to deliver 15% to 18% premium volume growth in F Y2025.
Prestige & Above category now account for 49.6% of IMFL volume compared to 40.2% in Q 4 FY23. The percentage of P&A is higher due to the significant degrowth in the regular category. Improvement in IMFL realization is due to the combination of price increases and continued premiumization. Regular category volumes were impacted due to strateg ic rationalization of portfolio and certain state specific excise policy changes , particularly in a large state where we have received price increase in the regular category.
Gross margin during the quarter was 41 .0% compared to 40.6% in Q 4 FY23. On a Y -o-Y basis, the grain price inflation had a negative impact of 490 basis points in Q4, which was more than compensated by IMFL price increases , product mix changes as well as the softening of other input costs. On year -on-year basis , there was a 285 b ps impact due to

price increase in Q 4 FY24 on our IMFL sales value . On a full -year basis the impact of price increase was 200 b ps.
Despite commodity inflation in ENA and grain prices , we have been able to sustain gross margin due to ongoing premiumization and price increases in the IMFL business.
Although the price of certain packing material has softened recently, we cautiously monitor the trend of grain, ENA , and glass bottle , where volatility persists.
Going forward our focus will be on improving profitability, along with cash flow generation and more efficient working capital management resulting in debt reduction. We reiterate our commitment to be debt free by FY26.
With this we now open the li

ne for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abneesh Roy from Nuvama.
Abneesh Roy : My first question is on the raw material scenario in FY25. So, you have highlighted that because good monsoons are expected, you would expect a gradual softening of the ENA grain prices. So will this be more of H2 both in terms of ENA and even glass in t erms of softening. So, first half could be a bit challenging just like in Q4 where around 150 bps compression has happened versus full year, there is 150 bps compression in gross margin. The first half looks challenging in terms of both the raw materials.
Dilip Banthiya: As we also see that there is a normal monsoon and good crop yield which is expected, we see early signs [of softening of] the grain prices and the maize prices . Also , because the ethanol has mostly been shifted on maize and therefore also having a little less pressure on the broken rice prices. So, we have seen the early signs of a decli ning trend but it's early. At the same time we have seen some press reports that the stock at the FCI is increasing continuously and around 1 8 million tons of rice is extra with the government versus the last year same period and government plans to dispose of it. So, we see that after the election s there will be some impact on the broken rice prices as well as the maize prices. So, some impact will be seen in this first quarter but I see that in Q2 onward we will have full impact .
Abneesh Roy : Second question is on the current development of the election. So, in a Lok Sabha election year there are disruptions for the liquor sector in

terms of excise officer availability, interstate transfer of raw material and finished products and of course the dry days also. So, could you tell us what kind of disruptions you expect in this time’s Lok Sabha elections in Q1?
Dilip Banthiya: Since the election is starting from April to June beginning and it is almost six weeks and there are number of dry days in those periods. So, there is some impact at the same time as you rightly said that the officers and other people, government officials are on official duty. So sometime s it impacts the primaries and the release of payment, etc. But this is a very temporary phenomenon. I think after 4th June these things will get set right.
Abneesh Roy : Last question will be on P&A growth. So, the market leader also has been highlighting slowdown for now two quarters. Their results are yet to come but we do expect a slowdown for them also. So generally, discretionary most of the segments say in terms of pizza or apparel, everything is slowing down. So, in that context how confident are you in terms of current trajectory of 16% sales growth which is much lower than full year growth of 29% in FY24 ? How confident are you of this kind of a run rate, given the slowdown seems to be more pronounced in Q4 versus the full year for you?

Dilip Banthiya: So, overall on annualized basis, we have grown our P&A category by 20% and one quarter impact of 14% . We have a bouquet of portfolio in the P&A category, and we are confident of delivering more than 15% growth in P&A category in FY25. I think Amar can elaborate that in much more detail.
Amar Sinha: So, gentlemen since I've been asked to elaborate, I would like to say that these quarterly variations are really not so significant today. I think we need to look at a much larger picture of the liquor business that we are in. So, I'll cite some numbers an d then come to the main point with regard to Radico. And I think a lot of questions that are about to come will also get answered with this. So, if you look at some published sources of data , the global spirits market is $72 billion. The Indian spirit market out of this is

$31 billion which means India contributes 40% to 43% of the global spirits market by revenue. Now the forecast, the forecast for the next 5 years is $200 billion which mean s from the current $31 billion of India it is likely to reach $90 billion which is 3X growth.
Now what we see is that this brings a big opportunity for Radico in the times ahead. There are great brands which are being seeded as of now

as we speak. Now who will capitalize upon this opportunity? Companies that have strong professional management , research and blending capabilities, distribution & production network, captive raw material s. They are the ones who will seize the opportunity. As you have seen we have done a lot of expansion in Rampur and Sitapur and this is all with regard to seizing the opportunities that are going to arise.
As you know that Bob Sternfels the CEO of McKinsey has said that this century belongs to India, and this couldn't be more true than in the AlcoBev space. So today Radico is already the largest Indian AlcoBev player. This is the first time if you see FY24 , the industry has crossed 404 million cases of spirits. Having said that we have in the last 7 years performed consistently on all parameters of financial performance. As I said quarterly variations are not so significant. We need to look at a much larger picture as far as Radico is concerned.
Now let me tell you the bouquet of brands that we right now work on because your question was how will we maintain the growth rate on P&A? So just to throw some light on that let's take Rampur Double Cask. It's in the super luxury segment priced at Rs. 7,5 00 – 8,000 a bottle available in 45 countries overseas, 15 states in India. You will be surprised , we have registered a 138% growth in FY24 at the top end of the luxury segment. It's an aspirational and status product making India proud all over the world. Then comes Rampur Asava which is already launched overseas and now we plan to bring it into India very shortly in Quarter 1, Quarter 2 priced at Rs. 10000 , which is higher than Rampur Double Cask.
Jaisalmer Gin is in the luxury segment priced at Rs. 4,000 average per bottle available in 30 countries and 22 states in India. Fast growing and evolving category, gin as you know . Proudly , we have 50% market share of the luxury segment in gin. Jaisalmer Gold is another brand which is a higher variant and will be launched in India again in Q1 -Q2 with a 50% higher consumer price, approximately Rs. 6,000 a bottle . Then in the luxury segment we have Royal Ranthambore which is priced approximately at Rs. 1800 , available now in 20 states. You will be surprised , we have registered more than 100% growth in this brand in such a short period of time in FY24. The brand has taken off, its buoyant and a brand to watch out for and brand for the future for Radico.

Another product that we recently launched was Magic Moments Pink. Very encouraging response from day one . Priced higher compared to Magic flavor. Very healthy brand contribution, launched in 10 states by now and Magic Moments itself as Mr. Abhishek Khaitan has pointed out crossed Rs. 1,000 crores sales mark with a volume of 6.3 million cases and a +60% market share.
Another one in the portfolio 8PM Premium Black , available now in 24 states. We've launched the convenience pack for our loyal customers and to recruit new customers, it's called the hipster pack. This will further push volumes. It's right now a +3 million case brand and growing very rapidly.
South India is a brandy market. Now, I am talking about the premium and super premium segment of the brandy segment where a bottle is priced at Rs. 1,000, Rs. 1,100 is Morpheus Black and Morpheus Blue at Rs. 1,400. We are available in 26 states. The vision was for the first time

which any company thought about to make brandy a national product and we have successfully achieved that goal. So, gentlemen we have achieved 1.3 million cases of brandy , selling nationally across the country and the only brand to be national. It's a very high contribution category again.
Very recently we launched Happiness in three variants. Happiness in a bottle. It's a gin . in the mid -price segment in the premium category. We have test marketed it in four states. It started picking up. We plan to launch it in 10 states during the year '24 -25.
And last but not the least we have launched 1965 Premium Rum. Rum is normally considered to be a cheap product in India, but we launched it at a premium price higher than the other large selling rum segment. And today we have 18% market share in Defen se and 14% market share in the domestic market. The brands are all organic.
Radico continues to launch premium brands in the times ahead. Overseas we have launched a product called Kohinoor Indian Dark Rum at USD$50 , the beauty of international market and we desire to bring in India as well in the times ahead depending upon allocation. Now there are many more , gentlemen , on the drawing board, ready to take on the world . Premiumization story that Radico has is going well on track. The market share in the P&A category is on the increase and I repeat faster than the industry. Next 3 years will surprise the tipplers across the world. Market leadership position as you see, has already

been obtained in India in the white spirits which is vodka and gin. And we are already leaders in the brandy segment in the premium and super premium category and of course rum as I said. So, vodka, gin, brandy and rum are taken care of. Whisky has started creating waves with brands like Royal Ranthambore, 8PM Black, Rampur Single Malt not only in India but also globally.
Gentlemen , the big growth drivers are the gin and vodka category as of now and Radico continues to grow at a much higher rate in the premium segments compared to the industry. The P&A industry has increased nationally for the industry and so has Radico. But the big story is that the P&A industry actually grew for the industry at an X rate and Radico grew at 2X rate.
The top end of the premium portfolio is growing faster. P&A brands have grown at a CAGR of 13% since 2019 and now 45.6% of total IMFL. There is a sustainable improvement in realization per case.
We are probably one of the larger companies which has 7 million aire brands in our portfolio. And our premium brands continue to show very healthy growth. So, gentlemen we are making India proud and the world proud of India as well. So, thank you very much.
Dilip Banthiya: Thank you, Amar, for giving such detailed elaborative brand related vision and aspirations.
Moderator: The next question is from the line of Dhiraj Mistry from Antique Stock Broking.

Dhiraj Mistry: My question on realization growth. If I see that P&A realization growth has now dropped and it is more or less anniversarized, how do we see that? What kind of product mix improvement would lead to the realization growth ? What kind of realization growth we can expect in FY25 for P&A?
Dilip Banthiya: So Dhiraj actually we can't see this on quarter -on-quarter basis but if you see on annualized basis, the growth in realization because of the product mix and the kind of brands which are being launched and taking spread , I think 600 basis point to 700 basis point , we can see as an impact on account of that in our P&A category between volume and value.
Dhiraj Mistry: So, if we are expecting like 15% volume growth and 6 percentage points of realization growth we can expect on annualized basis.

Dilip Banthiya: Yes, annualized basis 500 to 600 bas

is point on account of brand product mix.
Dhiraj Mistry: And just wanted to confirm that is there any one -off in P&A volume growth in this quarter? So earlier we were clocking more than almost 30% this value growth and with 20% plus volume growth and this quarter we have 14%. Is there any one off in this quarter?
Dilip Banthiya: So, this is not one -off but as a strategy some brand in one state has been given further on royalty. So those have come below the line over in royalty volume than it was earlier in P&A category. And it is depending on state route to the market, etc.
Dhiraj Mistry: And second and last question on this realization profitability of non -IMFL business that how we should look forward for that.
Dilip Banthiya: So, after the price increase , as last year we were in negative EBITDA margins, we are now making mid -single digit EBITDA margin on non -IMFL business. Some of the impact has also been seen there because of the grain prices. If this grain prices as w e see signs of some softening , we expect that margin on the non -IMFL also to stabilize at late single digits like 9% -10% will be the ideal situation.
Dhiraj Mistry: For FY25?
Dilip Banthiya: Yes, FY25.
Dhiraj Mistry: This would be on a for average for FY25 or exit of FY25?
Dilip Banthiya: No, I think average of FY25. Some you will see from Q2 onward.
Moderator: The next question is from the line of Karan Taurani from Elara Capital.
Karan Taurani: My first question was on the regular volume decline. So of course there are two parts to it. One is the price hike that you've taken and second is the deliberate attempt to supply to drive better profitability. So how should one foresee regu lar volumes in FY25 given the scenario right now?
Dilip Banthiya: So, Karan, first of all this year because of election there were certain excise policy which got delayed. And because of that there is a pipeline filling in certain states also which did not happen and in particular those state where the EDP of regular categor y was much higher than others . At the same time there is a large state in the South where the price increase has happened and when it happens then the MRP goes up and it takes some time to readjust this thing. So that will get adjusted in a couple of quarters. Another is Delhi which i s kind of

unstable market still because of obvious reason and in certain markets like Kerala we discontinued certain brands because of the lower contribution. But as we say, and Amar can further add, that we expect back the regular growth because we have seen these kinds of corrections and I think 3% -4% kind of growth in the regular category in FY25 is the one which we plan for.
Amar Sinha: So yes, I think the regular category is something that does not concern us so much right now. With the softening of raw material prices and

packaging prices we will probably recover volumes also. And the post - election, the election phenomena wi ll get over say by the end of Quarter 1.
Karan Taurani: And about profitability margins. So of course, you are mentioning that commodity prices are pulling off. You also start seeing positive impact of backward integration. So, any kind of aspirational EBITDA margin brand towards FY26 that you wo uld like to maintain, whether it's 14% - 16% or 15% to 17% any band on EBITDA margin?
Dilip Banthiya: As we have said in our opening remark, from here onward, we should continue to have an improved EBITDA margin quarter after quarter and in particular from Q2 onward you will see that trajectory. And I think our aspiration to bring this to m id-teens kind of margin remains because of product premiumization and some price increases . In 2 to 3 years, we will again 100 to 125 basis point of increase in FY26 further. So, 16% to 17% kind of margin is expected by ‘26.
Karan Taurani: And la

stly any potential price hikes expected post elections in any of the states?
Amar Sinha: We have received price increase in 15 states already in the recent past last year. So, I think right now it's too early to look for a price increase again. It's an ongoing process where we keep talking to the government based on cost inflation with which the process continues.
Moderator: The next question is from the lion of Pratik Patel from Nifty Millioner.
Pratik Patel: My question is regarding like I was reading about some Indri Indian Single Malt, and they have sold the 1 lakh cases in 2 years. So, does it affect our brands, existing brands like Rampur and all? So, I want to understand the scenario where t he market is expanding or whether we are losing the market share?
Abhishek Khaitan: Actually, Rampur Indian Single Malt is absolutely in a different category. It's a super luxury single malt. And compared to the competition it is priced double. So, the price point comparison is not

there with any of the Indian single malls. And Rampur itself as Amar was saying has shown a phenomenal growth of 138% in the last year and it continues to grow because it's on allocation.
Sanjeev Banga: Just to add what Abhishek has said, it's also important that more single malts coming into the Indian market is expanding the single malt category as a whole. So, which bodes very well for the category in the medium and long term and then in any case here the product, the quality, the packaging, everything plays a good part, and we are well positioned to encash on that growing category.
Pratik Patel: I was reading one report regarding this Indian like IMFL side, the global acceptance is increasing of Indian brands. So, what is your outlook regarding our brands on our export side or out of India?
Sanjeev Banga: There are two segments in terms of international market for Indian brands. One is the luxury category which has the Indian Single Malt, Indian Craft Gin. Now we've launched the World Malt Sangam, World Malt as well as soon to be released in the international market the Indian Dark Rum. And then there is the IMFL category over there. There is obviously a growing acceptance of the luxury portfolio across the world and people are looking at new innovative products. And Indian products are now be ing greatly appreciated not only by the Indian diaspora but even the mainstream consumers. The fact is that if you go to any fine dining Indian restaurant anywhere in the world, whether it is New York, whether it is London or Dubai. They are so proudly serving and displaying the Indian luxury products and that is giving a big boost. And mind you , most of the people who go to these fine Indian restaurants apart from the ethnized or the Indian diaspora are the mainstream consumers as well which get a taste of the Indian luxury products and helps the retail market as well. So, the growing acceptance of Indian products is a very heartening thing across the globe.
Pratik Patel: Can you define, if you can share it like what are the factors that is

driving this big change about Indian brands? Is it a quality or maybe
the taste or what?
Sanjeev Banga: There are a couple of things. One is the overall confidence imagery
that of India has improved in the global market. Now , India , the way
Indian economy is growing, the way Indians are traveling, the way
Indians are spending money as well. So, everyone is looking forward
to Indians being there. Most of the countries are not talking of either
a long -term visa or visa free entry for I ndia because they all realized

how much the Indian travelers are contributing to that. Second is the
passion that Indians outside have for products coming from India
because they are now competing with all the world class brands over
there. All

this is helping in creating a huge market for Indian Beverage
Alcohol products in the international market.
Moderator: The next question is from the line of Abhishek Agrwal from Nardi
Investment.
Abhishek Agrwal: In next 3 to 4 years , India market reached a 90% mark. So, what is our
capex plan for the next 3 to 4 year or we have enough capacity to take
opportunity from this market increase 32 billion to 90 billion?
Dilip Banthiya: As far as capex is concerned , we have done a large capex and there is
no further capex which is on an anvil. At the same time , the next 4 to
6 years, I think we will be living with our distillation capacity. We have
currently 29 million volume and we can cater to because outsourcing
availability of ENA from other sources for regular category. So don't
see significant capex and there will be a normal capex , maintenance
capex which has run rate of Rs. 60 to 70 crores per annum.
Abhishek Agrwal: And what is the Radico market share in India?
Dilip Banthiya: We have around 8% market share. However, our market share is
across board. But however, where price point where we are in, in case
of premium segment it is much more only those segments then it will
be around 13% -14%. But we are not available in the cheap or economy
segments . All these are part of the 400 million cases. So, we are not
present there. The market share on the board is 8%. But if we take out
only the places where we are doing much more.
Abhishek Agrwal: And the last if we do capex of Rs. 1, so what is our asset turnover?
Dilip Banthiya: Asset turnover, we don't count that way . Most of the capex , we did in
last 10 year other than these large capex of Sitapur on greenfield
project, we have done on our branded business. And branded
business capex doesn't have that one -on-one ratio. Otherwise at
present the Company's turnover is 4,000 crores and gross block is
2,000 crores and, in this business, there is a lot of outsourcing which
happens. So, outsourcing will leverage us for the volume growth.
Moderator: The next question is from the line of Shirish Pardeshi from Centrum
Broking.

Shirish Pardeshi: I have just two questions. Out of 11.3 million cases what we have
closed grown at 20% in FY24, what would be Rampur absolute number
and Royal Ranthambore? This would have been excess of 500,000.
Dilip Banthiya: As far as Jaisalmer is concerned, we have already said that we have
50% of the whole luxury gin segment. And this gin segment is more
than a lakh case . Rampur Indian Single Malt, we have had 140%
growth . Presently on top line side it is 6.5% of the IMFL branded
business. As we are growing, I think 10% double digit out of the luxury
segment is the aspiration for the 1 -1.5 year.
Shirish Pardeshi: I am just saying put together Rampur and Ranthambore would be
close to about 500,000 cases of 11.5?
Amar Sinha : We don't share numbers like this .
Shirish Pardeshi: Not asking exact numbers but it would be more than 500,000.
Dilip Banthiya: 500,000 will take some time actually. 500,000 for these luxury brand s

doesn't work like that frankly. And that to o at Rs. 8,000 and above level
in the case of Rampur and Rs. 4,000 for Craft Gin. But , definitely our
growth is showing us that there is good growth potential in these
brands.
Shirish Pardeshi: My second question is out of 11.3 million cases what we have closed
in FY24, what is the CSD and what is the international part in this?
Dilip Banthiya: So, CSD as an overall volume is around 9% and export is around
volume side is 4.5% percent. In value terms CSD is around 11.5% to
12% and export 8.5% to 9%.
Moderator: The next question is from the line of Jasdeep Walia from Clock Wine
Capital.
Jasdeep Walia: What percentage of your sales is the luxury, semi luxury and super
premium category taken altogether?
Dilip Banthiya: As we have

already in our presentation that volume side, the premium
category which we start from Prestige & Above is 49.6% of the overall
volume and value terms it is 73%.
Jasdeep Walia: But I am asking about only three categories luxury, semi luxury and
super premium, altogether what percentage of sales is it these three
categories by value?
Dilip Banthiya: This will be in value terms around 12% -13%.
Jasdeep Walia: How are you placed with respect to capacity for your luxury, semi
luxury and super premium brands like Rampur, Royal Ranthambore,

Jaisalmer Gin, do you have enough capacities to take care of growth in
the next 1 or 2 years?
Abhishek Khaitan: See as far as Jaisalmer goes, we have tripled our capacities, so I think
capacity won't be an issue. And as far as Royal Ranthambore also
capacity is not an issue for us. Rampur yes, is on allocation but we've
invested a lot into the maturation. And that's why if you see we've had
a growth of more than 100% in the current year and we expect in the
next 3 years the volume to double from here because we would have
sufficient malt to cater.
Moderator: The next question is from the line of Pankaj Kumar from Kotak
Securities.
Pankaj Kumar: One question is on the non -IMFL side of your business. This year we
have roughly reported some 1,300 crores sales revenue out of it. Can
you give us some outlook for next year, how do you see that going?
Dilip Banthiya: Non -IMFL has a quarterly run rate of around Rs. 400 to 415 crores and
next year with all capacity utilization being utilized for full year, it will
be Rs. 1,600 crores and the ratio of IMFL and non -IMFL branded is two -
third, one third.
Pankaj Kumar: And in FY24 what was the margin in this non -IMFL and how do you see
in FY25?
Dilip Banthiya: As I said it is mid -single digit margins in non -IMFL.
Pankaj Kumar: And next year you are saying 9% sort of margin.
Dilip Banthiya: Yes, we expect that to stabilize between 8% to 9%.
Moderator: We have the next question from the line of Narendra Porwal, an
individual investor.
Narendra Porwal: How much percentage do we have in Rampur Single Malt turnover in
this quarter, how much crores have we earned?
Dilip Banthiya: We can't say about brand specific, but we already answered you on
luxury and semi luxury which is in the range of 11% -12% of our top line
from branded business.
Narendra Porwal: But in our segment in the Indian brand the way it has succeeded, so
don't you think we should also take part in this as lot of competition
will be there in this price range. We should also launch some product
in this price range. The way I ndri has done 1 lakh cases, and it is
competing with the foreign brand also. I have seen the ground report
from mass population wherever we go everyone, and every

shopkeeper is asking for Indri Single Malt. So why are we not launching in that price range in that segment?
Amar Sinha: I will take your question. See, in any category in any country, there is always a high price segment and there is a mid -and low -price segment. Malt whiskies are also seeing a similar feature in India. It's an evolving category. As far as the luxury segment is concerned, Rampur has taken the lead and will continue to strengthen its portfolio in the times ahead and we don't s ee competition coming close to us, one. As far as the lower and mid segments of malt are concerned, we are preparing well for it. And soon in India we are going to introduce our Sangam World Malt and we are already close to launching it. So yes, to answer your question we are also gearing up to meet the requirements of that segment. 1999 Pure Malt Whisk y has already been launched; test marketed in UP. We have got a good response that will also be spread across 10 states in the next 6 months.
Narendra

Porwal: So, this single malt raw material are we making it or taking from the market?
Abhishek Khaitan: Single Malt, you cannot buy the material from outside, so it is all produced within house for the Single Malt.
Dilip Banthiya : Produced and matured.
Moderator: We have one last question from the line of Anurag Jain, an individual investor.
Anurag Jain: My question is on the export segment. How has been the performance of the export segment during full year FY24 versus FY23?
Sanjeev Banga: In terms of the export market , our luxury portfolio continues to grow and expand. We had to rationalize in terms of some of the IMFL brands because of the currency issues in couple of African markets. So, our focus is not so much on the volume, but it is more on value creation and expa nding our luxury portfolio. This year our focus is going to be more on expanding our luxury portfolio in Travel Retail, which is the duty -free channel across the world. And the response from all the customers an d operators has been very positive. So, we are very positive of continuing with export growth.
Amar Sinha : And just to add to that, we have registered a 10% increase in our export sales compared to last year and the saliency in our entire portfolio for exports has also increased.

Moderator: Thank you. Ladies and gentlemen , that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you sir.
Dilip Banthiya : We will continue to deliver a strong P&A volume growth driven by our diverse brand portfolio . A focused approach in sales & marketing , and consumer centric thought process coupled with an integrated business model which allow us to capitalize on the opportunities in the Indian AlcoBev industry.
We look forward to interacting with you in our next earning call. In the meanwhile, if you have any queries , please follow up and please feel free to write to us. Thank you.
Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note: This transcript has been edited to improve readability.
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August 14 , 2024

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 532497 National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor , Plot no. C/1,
G Block , Bandra -Kurla Complex,
Bandra (E) , Mumbai – 400 051

Symbol : RADICO

Sub: Transcript of the Earnings C all conducted on August 08 , 2024

Dear Sir / Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015, please find enclosed transcript of the Earning s Call held on Thursday , August 08 , 2024 , for the Unaudited Financial Results of the Company for the q uarter ended June 30 , 2024 .

The same is also uploaded on the website of the Company at www.radicokhaitan.com .

This is for your information and record s.

Thanking You,

Yours faithfully,
For Radico Khaitan Limited

(Dinesh Kumar Gupta)
Senior Vice President – Legal &
Company Secretary

Email Id : investor@radico.co.in

Encl.: As Above

Radico Khaitan Limited
(BSE: 532497; NSE: RADICO)

First Quarter FY202 5

Earnings Conference call
August 8, 202 4

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Amar Sinha, Chief Operating Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and gentlemen, good day, and welcome to Radico Khaitan Q1 FY '25 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conferen ce call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Himanshu Shah from Dolat Capital. Thank you, and over to you, sir.
Before we begin our presentation, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation f or the detailed disclaimer.
Himanshu Shah: Thank you, Yusuf. Good afternoon, everyone. At this moment, we would like to thank Radico Khaitan's management team for providing Dolat Capital with the opportunity to host the Q1 FY '25 Earnings Call. We have with us the senior leadership team from Radico Khaitan. Mr. Abhishek Khaitan – Managing Director , Mr. Amar Sinha - Chief Operating Officer , Mr. Dilip Banthiya - Chief Financial Officer and Mr. Sanjeev Banga - President, International Business .
I will now hand over the call to Mr. Abhishek Khaitan for his opening remarks. Over to you, sir.
Abhishek Khaitan: Thank you, Himanshu. Good afternoon, ladies and gentlemen. Thank you for joining us on our Q1 FY '25 results conference call.
The fiscal year started on a positive note as we continue d to deliver on our strategic road map. During Q1 FY '25, we achieved strong premium volume growth despite a challenging operating environment. External factors such as lower consumption growth , concerns about ongoing food grain inflation and volatile commodity prices did not deter us from delivering robust operating performance.
Our commitment remains to a focused portfolio of premium brands driven by consumer aspiration s. This is reflected in the strong Prestige & Above category volume growth of 14% year -on-year. P&A value growth was 19% during the same period.

During the quarter, we launched Rampur Asava, Sangam World Malt and Jaisalmer Gold Edition in India, enhancing the experience for connoisseurs of luxury brands. We will expand the distribution of these brands throughout the year, including the canteen stor e department.
Rampur Asava Single Malt is matured in American Bourbon barrels and then meticulously finish ed in Indian red wine casks which is the first time in the Single Malt history. Price starting at INR 10,000 a bottle , it is currently available in seven states.
Sangam World Malt Whisk y was launched in the international market s last year. After its success in the global market and duty -free retail channels, we have launched it in India in Q1. Sangam is derived from the Hindi word meaning "confluence ", which symbolises the seamless blend of Eastern tradition and Western whisk y-making expertise. Our

master blender travelled across the world to source premium malts from Europe and the new world to make this meticulous fusion. It will be priced between INR 4,000 to INR 7,500 a bottle depending on the state of launch. Currently, Sangam is available in four states.
Jaisalmer Gin currently holds a 50% market share in the luxury gin space in India. Building upon its success, we proudly launched a "Gold Edition" in India recently. This edition distinguishes itself with the inclusion of saffron, which is the world's most expensive spice. Of the total 18 botanicals used in this gin, 14 are sourced from the four corners of India. It will be priced between INR 4,000 to INR 7,000 a b

ottle and presently , it is available in three states.
We are very proud and honoured to be associated with the inaugural India House at the Paris 2024 Olympics, which has become a significant attraction for sports fans. We have been chosen as an exclusive alcoholic beverage partner. With this alliance, we aim to showcase the richness, culture and legacy of our nation and take India to the world.
Magic Moments Vodka continued its growth momentum and recorded 1.9 million cases sales in Q1 FY '25 and cross ed sales value of INR 300 crores for the current quarter. Today, it is the sixth largest Vodka brand globally. We have recently partnered with Saregama, India's leading music label to launch an innovative new music series titled 'Magic Moments Music Studio'. Comprising a total of 10 episodes, the series will be released weekly on Saregama Music YouTube channel. This

platform will allow emerging artist to perform alongside renowned musician s such as Shaan, Kumar Sanu, Sophie Choudry, Nikhita Gandhi, etc .
Moving forward, we will invest in strengthening our brand portfolio through targeted marketing and the introduction of select new brands in the luxury and premium space. We remain confident in the medium - to long -term potential of the Indian IMFL sector . With our strong luxury and premium brand s, execution expertise and extensive distribution network , Radico Khaitan is well positioned to capitalize on industry growth opportunities.
As the year progresses, we expect the broader raw material basket to remain stable. Coupled with ongoing premiumization, we anticipate staying on track with our margin expansion trajectory.
I would now like to hand over the call to our CFO for a detailed operational and financial review. Thank you and over to you, Dilip.
Dilip Banthiya: Thank you, Abhishek. Thank you, everyone, for joining us on this call today.
During the first quarter of FY '25, we reported an IMFL volume of 7.07 million cases, representing a degrowth of 4% on year -on-year basis. Prestige & Above category volume grew by 14.3%. In value terms, the Prestige & Above category r egistered 19.1% growth. Prestige & Above category accounts for 43.4% of IMFL volume compared to 36.5% in Q1 FY '24. The percentage of P&A is higher due to the significant degrowth in the regular category. Improvement in IMFL realization is due to the combination of price increases and continued premiumization.
Regular category volumes were impacted due to ongoing strategic rationalization of portfolio and certain state specific excise policy related issues.
Gross margin during the quarter was 41.5% compared to 43.6% in Q1 of FY '24 and 41 .0% in Q4 of FY '24.
Gross margin was impacted on year -on-year basis due to the significant foodgrain inflation. Grain price inflation had a negative impact of 335 basis points on a year -on-year basis on gross margin.
On quarter -on-quarter basis, we have been able to sustain gross margin due to the ongoing premiumization and price increase in the IMFL business. On Y -o-Y basis, there was 170 basis points impact due

to price increase in Q1 of FY '25 on our IMFL sales value. On quarter -on-quarter basis, impact of price increases was 55 basis points.
Although prices of certain packing material have softened recently, we cautiously monitor the trend of Grain and ENA where volatility persists. We expect glass prices to see some moderation from Q2 onwards.
The increase in net debt over March '24 is primarily due to the cyclical building up of inventory at the plant s and higher receivables in certain states.
Going forward, our focus will be on improving our profitability along with the cashflow generation and more efficient working capital management, resulting in debt reduction. We reiterate our co

mmitment to be almost debt -free by FY '26 and thereafter focus on returning cash to the shareholders.
With this, we will now open the line for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Abhijeet Kundu from Antique Stock Broking.
Abhijeet Kundu: Congratulations on a great set of numbers. Primarily our P&A has been growing extremely strong. My question was on the ad expenses, selling and distribution expenses, which has declined by about 8% during the quarter, which has in a way helped to aid your m argins. What has been the thought process behind this? This would be a quarterly phenomenon because one of your other competitors also have spe nt less on ad spends during the quarter 1 and which has aid into our margins. So how should we think about it? What has it happened during the quarter? My first question was on that.
Amar Sinha : First of all, the ad spend that we have always guided would be around 7% to 8% [of our IMFL revenue] annually. The first quarter this year is an aberration. One, primarily because the first quarter industry growth has been muted. There were various delays of excise policies and buying and stock sales were also low because of policy delays. So, elections are also there. So, we try and rationalize the expenses based on the volumes. But this will catch up in the quarters following the first.
Abhijeet Kundu: Understood. Sir, other thing was on the popular regular category. One part has been because of your own strategic intent that you have ,

there has been a moderation in the popular segment. But other than that, when do you see things improving in this segment because still it is a sizable part of our portfolio in terms of volume?
Dilip Banthiya: So regular, as we have guided earlier also , because we rationalized in certain states due to the low contribution and because of the input cost increase. Secondly, in this quarter, particularly, as Amar just mentioned, there has been delay in some state excise policies where there were elections. And in Telangana also, the pipeline inventory and the receivable s were checked. However, we see that we will be on a muted growth. And overall, we guided that 4% to 5% growth, which we aspire from the regular categor y.
Abhijeet Kundu: In Telengana what is the status of the receivables now? I mean, have they p aid major part of it or good part of it is still remaining? What is status because that also impacts volumes, right?
Amar Sinha : The payments in Telangana are coming on a slower pace. But payments are coming, that's most important. The government agrees that payments will be released to also build up their margins and their stock supply. So, I think we have been getting payments on a very frequent basis. And accordingly, we are supplying based on payments. This trend is likely to continue for some time.
Dilip Banthiya: Industry also is represented to the government on these aspects and there is a regular interaction between the industry and the

government and I think there will be improvement in future.
Moderator: Next question is from the line of Harit Kapoor from Investec.
Harit Kapoor: Congrats on good results. I just had two or three questions. One was already external issue with elections, certain state issues, delay in excise policy. In your best estimate, what would be the extent of volume that industry lost on account of this -- on account of these fluctuations in the quarter. Just trying to understand what could have been steady state growth I know had some of these things not happened?
Abhishek Khaitan : Yes. I think it would be , it is just an estimate, but I think it should be close to about 3% to 4%.
Harit Kapoor: The second thing was on pricing. You mentioned 175 basis points on pricing on a Y -o-Y

basis. Given that the policy this time a bit later in the year, later during the quarter also because of the elections, do you

expect the 175 bps to be higher as the quarter progress or to be in the same 1.5% to 2% kind of range for the year in your opinion?
Dilip Banthiya: So, on quarter -on-quarter basis, I said sequentially it was 55% but the impact of the price increase on annual basis. Y -o-Y basis on 170 basis points. And we expect the price increase for the whole year to remain between 150 basis points to 170 basis points.
Harit Kapoor: Any more states left for pricing in this year? Or do you think that's largely done with most of the policies through now?
Dilip Banthiya: Some are considering it and you will come to know soon. There are some certain big states which are going to get. Yes, we are hoping it will happen sooner than later.
Harit Kapoor: And lastly, on the capex side, obviously, the large capex is now done with. But if you could just give us a sense of now what the steady state from this year onwards? How are you looking at capex?
Dilip Banthiya: So, after the major capex or maintenance capex and some capex from brand etc. will be ranging between INR 70 to INR 80 crores annually.
Harit Kapoor: Which will be reflected in this year as well, right? That '25 should be...
Dilip Banthiya: This year, there will be left out capex of the major project, which will be INR 80 crores to INR 90 crores and then maintenance capex of INR 60 crores to INR 70 crores.
Harit Kapoor: So, INR 150 crores this year and then it goes to INR 70 crores, INR 80 crores something .
Moderator: Next question is from the line of Vishal Gutka from HDFC Securities.
Vishal Gutka: Congrats on a good set of numbers. Three questions from my side. First is on there was a news article stating that in the restricting surrogate advertising for liquor brand. So, in case you heard from industry , if you can elaborate more on this because since we are creating a lot of new brands, how it should impact us?
Amar Sinha : First of all, we must state that the government has not said that you cannot advertise. Actually they are talking about advertisement of surrogate brands, which the objective is to prevent misleading ads. However, the government is talking about brand extensions, which can be advertised with the same brand name and you must have a revenue model for it, which is quite justified and logical. So as far as

Radico is concerned, we feel that we will respect the law of the land. We are geared up to follow the guidelines that we are being sensitized with and we'll follow that.
Secondly, this will also result in companies that are bigger and organized to adopt more innovative and creative marketing on the ground. So, where the consumer interfaces and results in impulsive buying, we will be able to showcase some of our brands more creatively and I think it's fine with us. It will not impact us negatively. We will be able to handle it proactively.

Vishal Gutka: Got it. Question on non -IMFL. So, in the last call, you highlighted that annual sale will be around INR15 million to INR15.5 million in FY '25. Going forward in the coming years because we'll be captive using this the product coming out from here. So how we see sales in the coming years '26, '27 for non -IMFL segment?
Dilip Banthiya : So, the non -IMFL segment is basically, we are utilizing our Sitapur Greenfield Facility now for 90% . So, the non -IMFL segment growth, which has been there because of the growth effect and from Q3 onwards, growth will be in line with the industry. And where we see because of the base effect going out in the country liquor UPML 6% to 7% growth and otherwise in the alcohol. So, it will be in the range of 10%, 15%. Right now, it is 50% -50% because of the base impact.
Vishal Gutka: 10%, 15% growth will be there in the '26, '27 you're highlighting?
Dilip Banthiya : '26, '27.
Vishal Gutka: Yes, on non -IMFL segment.
Amar Sinha : See, I'll tell you what the state policy actually states that there should be a 7% to 8% growth in the lower segment. And I think we will grow in line with the excise policy structure, which is about 7% to 8%.
Vishal Gutka: Sir, last question is on , I think a lot of states have come out with budget -- states budget during this -- during the quarter maybe 2Q. So, any of the state you see drastic increase in taxation in any specific state and what is the action plan you are taking, where you ’re allowed to take price increase and certain things dependent upon the government. I just wanted your thoughts on this?
Dilip Banthiya : States are proactively looking at increasing the revenue .

Abhishek Khaitan: In fact, there are few other states, which are planning to rationalize the duty. So, if that happens, it is very good for the industry. So, I think if the governments are now quite proactive and they feel that if it's highly taxed, then it leads to less of sales, etc . So, in fact, they are talking of duty rationalization in states, which is a very good sign for the industry.
Vishal Gutka: Sir, just last question on the margin trends. I think last call, you highlighted you're targeting mid -teen margins by end of FY '26. So that holds right 15%, 16% margins by FY '26 margins?
Dilip Banthiya : Yes.
Vishal Gutka: Got it. Great sir. Wishing all the best for future quarters.
Moderator: Next question is from the line of Mr. Himanshu Shah from Dolat Capital.
Himanshu Shah: Just a couple of questions. One in past few quarters back, we had indicated that you will be looking for launching one more whisk y in the upper prestige segments. Are those plans still on? And by when do we expect to launch that particular whisk y?
Amar Sinha: So, first of all, Himanshu, as you are aware, we have launched four luxury products just in the last 30 days. And these products are what we are going to focus on in the near future. However, the new products that we have spoken about in the past are also on the growing trend . And sooner than later and when the time is appropriate, you will get to hear from us on them.
Himanshu Shah: Okay, sure. And that should largely fill the gap in the portfolio or we would have any further gaps in the portfolio from a positioning perspective, especially in the whisk y segment?
Amar Sinha : Yes. First of all, that will fill the current gap that there is. But if you look at the trend of Radico, now we have started creating segments by launching products in the luxury segment. So, we are the ones who are creating gaps for others. And there's a small one, which we will fill up in the times ahead.
Himanshu Shah: Secondly, sir, are we seeing any increased competitive intensity from regional or national players in the P&A segment and then even in the luxury segment because we are seeing a lot of new brands coming up in this space. So that creating any kind of headwi nds or that should be careful of?

Amar Sinha : See, I'll tell you there are two situations. One, regional players are introducing new brands in P&A and below, actually, not in P&A. P&A upwards only organized companies are creating brands and we are ahead of others. As far as the regional players creating brands in the luxury segment is concerned. today , it's a non issue right now and we are not too worried about it.
Himanshu Shah: Okay, sure. And last question, just on raw material basket. You had already provided color but some more granular color, if you can provide maybe on broken rice because that has seen significant inflation. And now the elections are over, I think the FCI is also sitting with significant rice. So, are we envisaging any kind of softening taking place? And why hasn't taken place till now in the broken rice prices?
Dilip Banthiya: So actually, Himanshu, th ese prices, which had risen up to INR28,000 or so the broken rice and have seen some softening in the April and middle of May. But after th at government has taken one decision of increasing the MSP, again, the sentiment went toward the little price increase . And since it is a non -season, government is also having stocks with FCI, which is much more than what they require even for distribution in PDS etc. But still, the decision on FCI rice is awaiting. If there is some allocation for the ethanol in the FCI rice, I think sentiment will come down. What we see with next crop being strong and the monsoon in the country is good . We still feel that these prices are the peak and what should be over, but let's hope we can't predict it.
Himanshu Shah: Okay. What would be the inflation in glass bottle prices or deflation, both on a Y -o-Y and Q -o-Q basis?
Dilip Banthiya: Last year, we had seen a steep inflation and it was to the tune of something around INR 9,000 to INR 10,000 per tonne . But after that, the gas price and the other input cost price have come down. So, some softening from Q2 onwards, we can see in this.
Himanshu Shah: Okay. And what kind of softening, sir, we are looking at?
Dilip Banthiya: Some corrections . There's some corrections that will take place in Q2 itself.
Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public Alternate.

Prolin Nandu: I have a slightly longer -term question . So we have come to an end to our very large capex plan of backward integration, both at Rampur and at Sitapur. When we started this capex plan, you had a certain IRR for this project in mind. As we stand today, how different is that IRR expectation going ahead? On those projects that we have incurred capex for. And also, we had a number of around INR 180 crores to INR 200-odd crores of savings due to backward integration over the period of time, when do we think we'll be able to achieve that number?
Dilip Banthiya: So, when we envisage d this project, it was for us a very, very strategic project. It was not for commodity. It was for our branded business. And since we are having a strong growth in our P&A category and we were almost at the neck -to-neck for utilization and distributing to our tie-up units .
So, keeping in view last 10 years, we did not do any capex on distillation. And keeping in mind the growth story of India and Prestige & Above and specially the premium luxury and semi -luxury, we wanted our own alcohol to be there. So, this decision was taken at that time. So, first of all, this is a long term for us, not for the IRR of the commodity, but for the strong backward integration for our main branded business.
Second point is that time, if we say that we thought that even in commodity since the time we fill up our own consumption and captive consumption by our brands in UPML and IMFL. We will fetch a revenue

and that will give us an IRR on 16% to 17% on capital. But right now, it is something around 7% to 8%.
I think these are aberrations , which has not been there for past many years. But for some time, we have to live with it and when the situation again come back to normalcy, I think 12% to 15% kind of IRR for the fill-up arrangement of the community will be fine, but the major objective of the capex was to carry stro ngly our branded business.
And as far as the other capex, which is also part of the large capex is the malt capacity increase. And there, it is very much our strategic priority that we want to go strong on malt because of success of Rampur and seven expressions for Rampur. Globally, in India, we are

also doing, last year also, we tripled our volume. And this year, again, we will see 25%, 30% jump in our last year volume on the R ampur . So, maturation capacity is also being increased that will give very strong bandwidth and bottom line to the company in the future. So, malt

maturation and malt production is another capex, which is for long - term growth strategy point of view.
Prolin Nandu: No, I appreciate that. I mean I understand that this was for long term in terms of sourcing our own ENA for our own P&A sales. But having said that, again, I mean I've been tracking this company for quite some time now. So, this might sound as if these are repetitive questions. But if we look at some of the larger players who have a very large shar e in P&A as well, they still depend on external ENA for their P&A alcohol as well. So, is it something very specific to the kind of alcohol that we make , kind of brands that we make, which requires a backward integration? And I mean some of our peers not wanting that backward integration. Anything on that, sir?
Dilip Banthiya: So, first of all, yes, you are right. But the point is it makes a lot of strategic sense for us to create our own alcohol. And you see our market share on the white spirit , which is based mainly on account of the quality of alcohol, extra neutral alcohol, which we use and throughout India, we use our own alcohol rather than taking from anybody else. And that is reflected in 60% plus market share in the whole vodka family .
Again, we have been able to create a craft gin. One of the reason s is, again, our own alcohol, which is superior quality. Third thing is that as far as competition is concerned, competition is also shown their intent that they want an integrated backward facility, two of the large competition have already announced that. And looking into the government ’s very aggressive plan on ethanol, biofuel , everybody wants their raw material security. And we are large player of 30 million volume and growing by 15% plus , we want our raw material security for the next 5 to 10 years.
Moderator: We have our next follow -up question from the line of Abhijeet Kundu from Antique Stock Broking.
Abhijeet Kundu: Yes. So, it is a follow -up of one of the questions asked earlier by one of the participants. When we look at your overall product portfolio, you have a very strong vodka portfolio, which spans across P&A and then the luxury segment as well. But in the whisk y segment, you have a very strong brand now in 8PM Black in the mid segment. But then there is this upper prestige which you had alluded to last time that you would come out with a product. Upper prestige and up to INR 2000, just below Royal Ranthambore. That segment in whisk y is remaining and

that has a good volumes, we believe because their competitors, the largest competitor has a very significant chunk of its their volumes coming from upper prestige segment and they are also very profitable. So is the work on that because your wor k in the luxury segment has

been excellent. Now that you have the experience of coming out with
very strong brands in the luxury segment for you coming out with a
high -quality upper prestige whisk y should not be a big task. So, what's
your thought process by when we can expect something in this
segment was the INR 1,000 to INR 2,000 in Maharashtra, so to say, that
is a segment which is hitting up amongst the competitors, the two
bigger MNCs.
Abhishek Khaitan: You are absolutely right. Like if you see the history of Radico in the last
25 years, we will be the only company which has been able to launch
20 brands organically out of the 7 brands are millionaire.
So, we have mapped out the entire industry. And as far as whiskey
gold, 8PM Black is there, which we

launched, which is doing very well.
Second, we also have another whiskey After Dark , which hopefully in
the current year will become a million -case brand. Then we attempted
Royal Ranthambore, which is the first Indian whisk y at a scotch price
and that brand also is growing by more than 50%. And is seeing lot of
traction. And in the luxury, Rampur is very well accepted with the
consumer. And it's about INR 8,500 a bottle. Now we've launched
Asava at INR 10,000. And as far as the segment, what you're talking, as
Amar also had told earlier, we have all the products there on the
drawing board . And at the right time, we'll get it to the market.
Abhijeet Kundu: Okay sir, understood. Timeline per se you have right? Over 2 years
whatever...
Abhishek Khaitan: Right now, after the success of Jaisalmer and Rampur, this is a quarter
where Radico has launched four luxury brands at one time into the
domestic market. So, our focus would be to consolidate that and grow
the distribution for Rampur Asava, Jaisalmer Gold, Sangam World Malt
and 1999 Spirit of Victory . So, I think we need to be justice to the luxury
at the moment.
Abhijeet Kundu: So just one thing. I mean, these are excellent products, but the
volumes and the market for upward prestige to the gap between the
upper prestige and the luxury but volume is also quite large. And the

way the upgrades are happening and the premiumization are
happening even in the middle to upper prestige is quite significant,
that's why I had asked that this is a segment where a lot of profit can
be made and a lot of profit pool and a lot of volume pool is also there?
Abhishek Khaitan: And as I said, you are absolutely right. It's on the drawing board and at
the right time, you'll know about the launch.
Moderator: Next question is from the line of Kushagra Kejriwal, an Individual
Investor.
Kushagra Kejriwal: Congratulations on the good set of numbers. So, I had to just get an
idea about the trajectory of food grain inflation and if it can affect the
margins further.
Abhishek Khaitan: I think the food grain inflation, I think the worst is over because the
government is sitting on a lot of stock of rice, which they ha ve to
dispose. So, I think as far as the industry goes, I think we've seen the
worst of the inflation. And I think now onwards, it will be the same or
it will soften.
Moderator: As there are no further questions, I would now like to hand the
conference over to the management for the closing comments.
Dilip Banthiya: So, moving forward, we will continue to deliver a strong Prestige &
Above volume growth driven by our diverse brand portfolio. Secondly,
we will further develop our luxury brand portfolio, which we see as a
major contributor to our profitability.
Furthermore, we are focused on ensuring that our investment
operates as efficiently as possible which will enable us to generate
cash, repay debt and return cash to the shareholders.
We look forward to interacting with you on our next earnings call.
Meanwhile, if you have any query or follow -up questions, please feel
free to write to us. Thank you.
Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference.

Thank you all for joining us and you may now disconnect your lines.

Note: This transcript has been edited to improve readability.
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Call: Nov 2024

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RKL/SX/202 4-25/101 October 30, 2024

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Scrip Code: 532497
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor , Plot no. C/1,
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Scrip code: RADICO

Subject: Transcript of Earnings Conference Call

Ref: Disclosure under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Dear Sir/Madam,

In continuation to our letter no. RKL/SX/2024 -25/94 dated October 18, 2024 and p ursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript for Quarter and Half year ended September 30, 2024 Earnings Conference Call for Analysts and Investors held on October 25, 2024.

The transcript is also being disseminated on the Company's website a t
http://www.radicokhaitan.com/investor -relations/

This is for your information and records.

Thanking You,
For Radico Khaitan Limited

Dinesh Kumar Gupta
Senior VP - Legal & Company Secretary
Email Id: investor@radico.co.in

Encl: A/a

Second Quarter and Half Year FY202 5
Earnings Conference call
October 25, 202 4

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Amar Sinha, Chief Operating Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and gentlemen, good day, and welcome to the Radico Khaitan Q2 FY 25 Earnings Conference Call hosted by Dolat Capital.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " *", then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Himanshu Shah from Dolat Capital. Thank you, and over to you, sir.
Before we begin our presentation, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation f or the detailed disclaimer.
Himanshu Shah: Thank you, Rutuja. Good afternoon, everyone. At this moment, we would like to thank the Radico Khaitan Management for providing Dolat Capital with the opportunity to host the Q2 FY 25 Earnings Call.
We have with us the senior leadership team from Radico Khaitan, Mr. Abhishek Khaitan – Managing Director , Mr. Amar Sinha – Chief Operating Officer , Mr. Dilip Banthiya – Chief Financial Officer , and Mr. Sanjeev Banga – President (International Business).
I will now hand over the call to Mr. Abhishek Khaitan for his opening remarks. Over to you, sir.
Abhishek Khaitan: Good afternoon, ladies and gentlemen. Thank you for joining us on our Q2 FY 25 results conference call. Q2 FY 25 marked a significant turnaround in our operational performance, highlighting the strength of our resilient business model.
While the consumer sector faced challenges due to a general slowdown, inflation concerns and volatile commodity prices, we are pleased with our robust performance. We achieved a 12.6% growth in the Prestige & Above category, along with a sequential improve ment in EBITDA margins.
Innovation remains a cornerstone of Radico's strategy. To further expand our luxury portfolio, we introduced Rampur Indian Single Malt,

Barrel Blush. This new expression , initially matured in American Bourbon barrel and finished in Australian Shiraz wine cask , is a testament to tradition and expert craftmanship. It will be a core expression along with Rampur Double Cask and Asava. With an international launch in the U.S., U.K. and Europe this year, we have plans to bring it to India next year.
Further extending the Rampur brand, we introduced Rampur Jugalbandi 5 and Jugalbandi 6, two new single malts in the Jugalbandi series at the Whiskey Show in London, retailing at GBP400 per bottle. These limited additions are crafted using high -quality Made ra and Tokai casks, retain ing the classic Rampur Single Malt whiskey profile at their core.
We launched a new campaign for Royal Ranthambore whiskey

featuring Saif Ali Khan earlier this month. His signature style and charisma perfectly aligned with the nobility and glamor that this Royal Ranthambore represents. This campaign marks a significant m oment in our journey to redefine luxury in the Indian spirits market through what we proudly call Indi -Lux.

Taking our packaging innovation further with consumer choice and preference at the core, we have recently introduced a trendy and convenient pocket pack in 180 ml SKU for Magic Moments. We expect this to support the strong brand growth momentum. This packa ging is not only 100% recyclable, but also more cost effective.

Regarding the recent development in the state of Andhra Pradesh, I would like to state that it is a very progressive government and as expected, the new policy is aimed at promoting stability and predictability in the regulatory environment.

Over the last 3 years, we

have faced inflationary challenges that impacted our margins. However, by focusing on innovation and strengthening our premium brands, we have managed to navigate these tough times. With input cost pressure easing, we are poised to deliver steady profitable growth moving forward.

I remain optimistic about the growth prospects in the Indian alcobev sector. We are progressing well on our strategic road map and are confident in delivering results in line with our goals.

I would now like to hand over the call to our CFO for a detailed operational and financial review. Thank you, and over to you, Dilip.

Dilip Banthiya: Thank you, Abhishek. Thank you, everyone, for joining us on this call today.

During Q2 FY25, we reported a total IMFL volume of 6.78 million cases, representing a degrowth of 2.5% on a year -on-year basis. Prestige & Above category volume grew by 12.6%. In value terms, Prestige & Above category registered 18% growth. IMFL realization increased by 9.7% on a year -on-year basis.

Prestige & Above category account for 53.2% of the IMFL volume compared to 47.1% in Q2 of last year. The percentage of P&A is higher due to the significant degrowth in regular category. Improvement in IMFL realization is due to a combination of price increases and continued premiumization. Regular category volume s were impacted due to certain state specific industry -related issues and ongoing strategic rationalization of our portfolio.

Gross margin during the quarter was 43.6% compared to 44.1% in Q2 FY24 and 41% in Q1 of current year. Gross margin was impacted on a year -on-year basis due to the significant foodgrain inflation offset by premiumization in the IMFL business. EBITDA margin expanded on Y -o-Y basis by 150 basis points due to economies of scale.

Gross margin improved 258 basis points on a quarter -on-quarter basis due to the ongoing premiumization, stable raw material and packaging material scenario. We cautiously monitor the trend of grain and ENA, where volatility persists and expect the trend to improve from Q3 of current year.

Increas e in net debt over March ‘24 is primarily due to the cyclical buildup of the inventory and higher receivables in certain states.

Going forward, our focus will be on improving profitability along with cash flow generation and a more efficient working capital management resulting into debt reduction.

With this, we now open the line for Q&A. Thank you.

Question & Answer :

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Harit Kapoor from Investec. Please go ahead.
Harit Kapoor: I just had a few questions. First one is on the Royalty Brands. We have seen a little bit of dip on the volumes in the Royalty Brand. Just wanted to know whether it's because the Andhra policy is just coming in place and there would have been some lower primaries on account of that or anything else to kind of read into that?
Amar Sinh a: Yes. So, it's primarily because of that and nothing beyond that.
Harit Kapoor: And given, as you mentioned, it's an extremely progressive policy. I just wanted to get your thought process on how you kind of plan to take advantage of it. It's also fairly material in the popular market as well. So, is the mode of being in the state going to be similar to what it has been over the last few years or is there a thought process of rethinking that?
Amar Sinha : So, as far as AP is concerned, we have always maintained that the new government is very progressive in its outlook to alcobev space. The biggest advantage that comes to us is that now our cash flows will improve because earlier, we were getting our payments only when tertiaries, which means sales from retail used to happen. Now we will re

ceive payments as soon as the government depots invoice to the retail outlets. So, that's one, faster cash flow turnaround.
Second. I think because the retail is private, there will be free choice available to consumer s for premium brands. And AP is seeing a lot of traction in that area now, because of surrounding states. Plus , they are rationalizing the prices also in the times ahead, because they've set up a pricing committee. So, I think, in overall, if you see, Andhra is going to be the sunshine market for this space in the times ahead.
Harit Kapoor: And your mode of operating there, is there a thought process there yet or is this kind of wait and watch on that?
Abhishek Khaitan: See, right now, in Andhra Pradesh, we have been operating on Royalty. And we are assessing the situation. So, starting from Q4 we might get away from Royalty and get into our own brands.

Harit Kapoor: The second part was on profitability. So, we have seen a very strong improvement in the gross margin sequentially. I just wanted to get your sense on the cost environment currently. I mean, mix continues to improve materially. Your non -IMFL business kind of is in the base now fr om Q3 onwards as well. And cost inflation is manageable in my understanding. So, is this likely to be an expanding kind of gross margin trajectory going forward? Do we continue to see gradual sequential improvement on GM? Is that something we should expect?
Dilip Banthiya: So, Harit, you are absolutely right that quarter -on-quarter, we have improved on our gross margin by 250 basis points and the reason is that, one, the premiumization is ongoing for us and the premium brands and semi -luxury brands are taking spread across pan -India. The product mix has improved. The Luxury segment and Semi -Luxury segment is doing very well. It is more than double digit now on top line side. This quarter the export also has done well on the Luxury segment of the market. And the raw material and packing material scenario being benign, so we have improved because of various factors, so that has reflected in the gross margin. And I think yes, the margin improvement trajector y will continue.
Moderator: The next question is from the line of Vishal Gutka from HDFC Securities. Please go ahead.
Vishal Gutka: Congrats on excellent set of numbers. Before I question, I would like to extend season greetings. Wishing you all Happy Diwali in advance.
Two, three questions from my side. Sir, how do you view Karnataka market post the recent changes in the excise duty slab because one of your competitors highlighted that despite reduction in the excise duty, still, the taxes are much higher than the neighboring state s.
Second question is on the brand, specifically, you launched, I think, 5,

6 brands over a period of last 18, 24 months. Just wanted to check with you, how would you ensure that you put equal focus on each brand? Do we have a setup similar to an FMCG company where a brand manager is appointed, and equal focus is given out over there? And the third question is on Luxury and Semi -luxury, although you highlighted that you are seeing a substantial uptick. Given the malt facilities are coming online now and festive season is approaching, then 3Q, 4Q, we should see a very, very sharp jump in the revenue segment for the subsegments? That's it from my side.

Amar Sinha : Okay. So, to answer your first question . In our scheme of things, we see Karnataka totally different ly. You see, for many years, the taxes in Karnataka have been high and the consumer price, which is the MRP has been the highest over the country. Now a beginning has been made with comfort being given on the premium end of the prices. And we have, as a comp any, started seeing results. Our volume and margins are showing an increase .

So, that's one. As far as Karnataka is concerned, we are banking on it in the times ahead for premium brands.
Now, let me tell you, it is true that Radico has been championing the launch of Premium brands in this country, because our moto is very simple, to make India proud. And I think today, we are in that position that we can take on any international brand, wh ich we have shown from our track record. Now with a vast portfolio that we have made, every brand has an exclusive , committed brand marketing manager. So, as we are giving due attention to each of these brands, separate strategies are being made, separate review forums have been created. And that is why you will see an uptick on the Premium & Above brand sales, both in terms of volume and value.
As far as the festivities are concerned, I think, starting October to March end, I think it's a great time for Premium brands, because there's a lot of traction, people are moving up, and that's why you see sales of Premium brands going up as well. So, we see that these brands are going to bring us a lot more joy, because we started the game , and the future looks bright .
Vishal Gutka: Sir, last question on Telangana market. So, I think the dues were pending from the state government. So, how are things moving now? If you can broadly highlight on Telangana market, what is happening out over there?
Amar Sinha : So, the point is that it's still not as good as the other states. But yes, we have been receiving payments for the last 2 months. And I think the situation will improve further ecause they have also realized that they need to compete with Andhra, and they will be able to do so, only if they get stocks and push them.
Moderator: The next question is from the line of Darshika Khemka from AV Fincorp. Please go ahead.

Darshika Khemka: I have a couple of questions. Firstly, in the opening remarks, you mentioned that in the Regular & Below category, the volumes were affected due to certain specific states. Can you give us more details on this?
Dilip Banthiya: Yes. So, I'll say that a couple of states like the Karnataka increased the price of the Regular category, which has led to more than 40% reduction in the volume in the industry and we also suffered there. One or two more states have increased prices like Uttarakhand . UP has been impacted due to quota . So, in this quarter, the quota remained a little lower and because of that the volumes suffered . At the same time, Andhra Pradesh, which was in election mode and now because of the pipeline getting, inventory getting cleared , because of

that the sales were low. But now onwards, you will see in Regular category also, we will see that continued demand, and we will have a mid-single -digit kind of growth from here onwards.
Amar Sinh a: So, as far as regular segment is concerned, just to add to what Dilip said, we have rationalized volumes even in Kerala. As a company goal that we have, we moderate our policies of sales depending upon the contribution in the prevailing time, depending u pon raw material and packaging material costs. So, right now, wherever we are selling regular brands, it's only there where we make little money. Otherwise, we don't.
Darshika Khemka: That was really helpful, sir. Secondly, could you give us some details on the kind of volumes that you're currently doing in the Luxury and Semi -luxury category of products? And what is the average realization like for the company? So, the reason why I ask this question is that we don't make significant volumes in this category right now. But as the volumes increase, our EBITDA margins could also increase. So, what I'm trying to hint is, once you're making substantial volumes, our margins could substantially increase, right? So, considering this scenario, what could be our target EBITDA margin?
Dilip Banthiya:

So, on the Luxury side and Semi -luxury side, we're seeing a very strong traction. And in the first half itself, [the growth] is more than 25% to 28% on the top line side. At the same time, the premiumization is happening, and we will continue to grow our P&A category volume by 15% -plus in next 2 quarters also and in 1 to 2 years further. So, we are very confident about it, and t hat will reflect into the EBITDA margins .

And as we said that we will continue to improve our EBITDA margin quarter -after -quarter.
Darshika Khemka: Do we have any targets? Could you quantify a target for us?
Dilip Banthiya: As we have been guiding in earlier calls also that we will improve our margin every year by 150 basis points or so. So, over the last year, we will be doing much better than that . And thereafter, also for the next 3 years, we will continue to improve our margin by 100 to 125 basis and that's how we will reach to the late teens margin in 3 years' time.
Moderator: The next question is from the line of Amansingh from ProfitGate Capital. Please go ahead.
Amansingh : Congrats on good set of numbers. So, the growth in P&A segment has been good for the company. So, can you break down the growth maybe which states are experiencing good growth and which brands are experiencing better traction in the segment?
Abhishek Khaitan: Out of all our brands, in the P&A category, we are seeing good growth in our Vodka segment, that is Magic Moments Vodka. Then we are seeing a lot of growth in Royal Ranthambore which is in the Semi - luxury space. We're seeing a lot of traction in After Dark Premium Whiskey. The Luxury segment is also growing. So, overall, all the brands are doing well in the P&A category. And it is doing well across states like UP, it is doing well, in West, it is doing well. Actually, the growth in P&A is broad -based.
Amansingh : So, there is no specific geographies, which is doing well for the P&A segment?
Dilip Banthiya: So, across North, West, South, everywhere.
Abhishek Khaitan: And also, what we are seeing the White Spirit category is growing extremely fast, since it is only 4% of the market and globally, it is 28%. Earlier the vodka was 3%, which has come up to 4%. So, there, we are seeing a huge traction.
Amansingh : Also, is there any competitive intensity increase in the industry, maybe in P&A segment from the local players also and from the international players also which are being brought in by the domestic players with partnerships or distribution network? So, is there any increase in competitive intensity?

Abhishek Khaitan: I think, the competition intensity for the last 5, 7 years has been quite high. So, I think, it's the same.
Moderator: The next question is from the line of Harit Kapoor from Investec. Please go ahead.
Harit Kapoor: So, last 6 months, again, a lot of super premium launches, a lot of variant launches in Magic also have been done in the last 12 months. Obviously, you're investing again behind Royal Ranthambore as well rightfully so. Just wanted to know, in the run -up to the festive, which is there now, is that broadly what the launch pipeline should look like for the balance part of the year? I mean, have you seen most of it given that we are almost into the festive or second half should also have something in store as well?
Abhishek Khaitan: See, there is one brand which is in store, we are working on it, which is in the super premium segment. So, hopefully, maybe this fiscal year, you should see it or maybe beginning of next fiscal year, for sure.
Harit Kapoor: And just a clarification, I think, Dilip ji mentioned that the popular business, I think, should start to see some level of growth from now. Is that largely on account of the fact that some of the state

-led
disruptions as even one of the larg er player was talking about, is now largely done with and maybe apart from maybe one state here and there, your state level disruptions are not there?
Abhishek Khaitan: Absolutely, you're right.
Moderator: The next question is from the line of Vishal Gutka from HDFC Securities. Please go ahead.
Vishal Gutka: I just wanted to check on ENA. So, one of the peers has highlighted that they expect ENA inflation to be around 11%, 12%, given that government's mandate of blending ethanol has been increasing. Although we understand you have a backward inte grated facility and commodity costs, especially the rice cost is expected to come out with excess production, so how are you viewing, because the competitor has highlighted that they expect the inflation sustained. I just wanted your views on ENA and follo wed by glass, because we are seeing some deflationary trend. So, that should hold on at the current level or should further accelerate from here onwards?
Dilip Banthiya: So, as far as the commodity is concerned, we don't actually see this 10%, 11% kind of inflation from here onward. One, there is a good

monsoon and crop yields are very good . However, there has been an aggressive bidding on the ethanol side. So, the prices have already moved up in the non -season period. As the season is starting from November onwards, we should see some softening of the prices of grain, maize, rice, et cetera. At the same time, the government has built up a lot of buffer stocks. Even the buffer stock, they don't have space to keep, store and all that. And the new rice miller processing is starting. So, we can't say, but if there is any support to the ethanol producer from some alloca tion on the SCI side , that will further improve pricing . So, this is our take that we see a benign kind of environment on the ENA as well as the grain price. As far as the glass is concerned, we have seen the worst. One correction has taken place, which is 4% to 5%. And I think, looking into the current scenar io of the commodity and fuel prices, et cetera, and all that, we don't see that there is a room for further increase in glass prices even.
Amar Sinha : Yes. It looks like it will remain stable.
Vishal Gutka: One more question on the Magic Moments Vodka front. I think, in 1Q '25, we had seen 25% -plus volume growth in Magic Moments Vodka, if I recollect the numbers right. How is the performance for the current quarter? Is it similar to those lines or if you can broadly highlight for the specific brand?
Dilip Banthiya: The Magic has been going very well. As a Magic family, we are growing in every segment, like in Magic, the flavors, the Verve flavors, et cetera.

And Magic we see as Abhishek has said in his opening remarks that
still nascent, it’s still below 4% as the volume of the total industry. And
the consuming class is the youngsters and the women. And we are the
leader with 60% market share across all price categor ies. So, I think we
see a great growth, and we continue to see strong double -digit growth
in years to come.
Moderator: Ladies and gentlemen, as there are no further questions, I would now
like to hand the conference over to the management for closing
comments.
Dilip Banthiya : So, thank you for joining us on this call. We will continue to deliver a
strong Prestige & Above volume growth driven by our diverse brand
portfolio. Secondly, we will further develop our Luxury brand portfolio,
which will be a major contributor to our profitability. Furthermore, we
are focused on ensuring that our investment operates as efficient as

possi ble. This will enable us to generate cash, repay debt and return
cash to the shareholders.
We look forward to interacting with you on our next earnings call. In
the meanwhile, i

f you have any query, please feel free to write to us.
Thank you.
Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited to improve readability.
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Call: Feb 2025

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RKL/SX/202 4-25/124 February 04, 202 5

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Scrip code: RADICO

Subject: Transcript of Earnings Conference Call

Ref: Disclosure under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Dear Sir/Madam,

In continuation to our letter no. RKL/SX/2024 -25/117 dated January 2 1, 2025 and p ursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Earnings Conference Call for Analysts and Investors held on January 30, 2025 for Quarter and nine months ended December 31, 2024.

The transcript is also being disseminated on the Company's website a t http://www.radicokhaitan.com/investor -relations/

This is for your information and records.

Thanking You,
For Radico Khaitan Limited

Dinesh Kumar Gupta
Senior VP - Legal & Company Secretary

Email Id: investor@radico.co.in

Encl: A/a

Radico Khaitan Limited
(BSE: 532497; NSE: RADICO)

Third Quarter and Nine Month FY202 5

Earnings Conference call
January 30, 202 5

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Amar Sinha, Chief Operating Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and gentlemen, good day, and welcome to the Radico Khaitan Q3 FY 25 Earnings Conference Call, hosted by Dolat Capital Markets Private Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ' *' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Himanshu Shah from Dolat Capital Markets Private Limited. Thank you, and over to you, sir.
Before we begin our presentation, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation f or the detailed disclaimer.
Himanshu Shah: Thank you, Lizen. Good afternoon, everyone. At this moment, we would like to thank Radico Khaitan Management for providing Dolat Capital with the opportunity to host the Q3 FY 25 Earnings Call. We have with us the senior Leadership Team from Radico Khaitan, represented by Mr. Abhishek Khaitan – MD and CEO , Mr. Amar Sinha – Chief Operating Officer , Mr. Dilip Banthiya – Chief Financial Officer , and Mr. Sanjeev Banga – President, International Business.
I will now hand over the call to Mr. Abhishek Khaitan for his "Opening Remarks". Over to you, sir.
Abhishek Khaitan: Good afternoon, ladies and gentlemen. Thank you for joining us on our Q3 FY 25 Results Conference Call.
Building on the strong momentum from the first half, Radico Khaitan achieved industry -leading IMFL volume growth of 15.3% year -on-year in Q3 FY 25. We anticipate this strong growth momentum to continue in the near term. The Prestige & Above category volume saw a 17.7% increase.
Our Luxury Portfolio, including Rampur Indian Single Malt Whisky, Sangam World Malt, and Jaisalmer Indian Craft Gin continues to deliver strong growth as we focus on increasing distribution, both off trade

and on trade. After the launch of Rampur Indian Single Malt Asava, Sangam World Malt and Jaisalmer Gold Gin earlier this year, we continue to expand the rollout in mo re states. Asava is now available in 10 states, Sangam in 8 states, and Jaisalmer Gold in 6 states.
We have seen Luxury & Semi -Luxury brands cross net sales value of Rs. 100 crores in Q3 FY 25 and Rs. 250 crores in the 9 months FY 25. Given the exceptional demand in the domestic as well as international market, we expect this to cross Rs. 500 crores net sales mark in FY 26.
Royal Ranthambore Whisky recorded a strong 55% growth during Q3. We recently launched a celebrity campaign with a Bollywood star, Saif Ali Khan, which resonated well with the brand ethos and connected with the consumers. Royal Ranthambore has seen unpreced ented success in civil markets and the volume run rate is increasing month - on-month across geography. We are very happy to report that in Q4

FY25, it will be introduced to the CSD channel, which is a very large market. We believe it will drive further growth.
All other core brands continue to report strong momentum, such as Magic Moments vodka, After Dark Blue whisky and 1965 Spirit of Victory Premium Rum. Magic Moments vodka recorded 1.8 million cases sales during the quarter. We launched a Limited -Edition Celebration pack for Magic Moments vodka, blending premium quality with festive vibrance. During the 9 months of FY 25, vodka industry has grown more than 15%, where we have a strong 60% market share. With that continued innovation, we remain confident of driving the industry growth.
During quarter 3, After Dark Whisky became the eighth brand to join the mil

lionaires' club . Launched in 2011, this brand story took an exciting turn in 2022 with the launch of After Dark Blue Whisky, designed to captivate the younger generation. In the first 9 months of FY25, After Dark achieved 1.34 million cases sales volume, representing over 100% growth compared to 9 months of FY24. It is positioned very strongly in the largest segment of the premium whisky industry.
Going forward, I remain optimistic about the growth prospects in the Indian alcoholic beverage sector. We are progressing well on our strategic road map and are confident in delivering results in line with our goals.

Our new product development pipeline remains robust, and we are committed to delivering superior performance across our portfolio. Our strategic priorities remain focused on brand building, sustained profitable growth and long -term value creation for our s takeholders. I would now like to hand over the call to our CFO for a detailed operational and financial review. Thank you, and over to Dilip.
Dilip Banthiya: Thank you, Abhishek. Thank you, everyone, for joining us on this call today. During Quarter 3 of FY 25, we reported a total IMFL volume of 8.4 million cases, representing a growth of 15.3% on a year -on-year basis. The Prestige & Above category volume grew by 18%. In value - terms, the Prestige & Above category registered 24.7% growth. IMFL realization increased by 5.5% on a year -on-year basis.
Prestige & Above category accounts for 51% of the IMFL volume, compared to 50% in Quarter 3 of last year. Regular category volume, which were impacted due to certain state specific industry -related issues, and ongoing strategic rationalization of portfolio , have now returned to a sharp growth trajectory. This was due to the lower base coupled with the normalization of state -specific industry issues.
The change in the route -to-market in Andhra Pradesh contributed 800 basis points to our overall volume growth. As regards the P&A segment, excluding Andhra Pradesh, the growth has been higher.
The recent RTM change in Andhra Pradesh has progressed well, promoting stability, predictability and regulatory environment. As a result, we have seen strong growth traction for our brand portfolio and gained market share from 10% in the first half to over 15% in Quarter 3. We quickly adapted to the changing environment and created capacities to capitalize on industry opportunity.
Gross margin during the quarter was 43% as compared to 41.8% in quarter 3 of FY 24, and 43.6% in sequential quarter 2. Gross margin was improved on a year -on-year basis due to the ongoing premiumization in the IMFL business, coupled with a relatively stable raw material scenario. Gross margin declined by 60 basis points on quarter -on- quarter basis due to foodgrain inflation. While we are optimistic about the inflationary scenario for ENA and grain to improve going forward, we continue to cautiously monitor the trends.

Employee benefit expenditure were higher sequentially due to the annual appraisal and incentive payment s during the quarter.
Interest costs increased sequentially due to higher working capital utilization during the quarter, primarily led by cyclical building of the grain inventory and higher receivable in certain states. This is temporary phenomen on, and inventor ies will be liquidated by March end.
Going forward , our focus will be driving profitable growth along with cash flow generation and more efficient working capital management, resulting in debt reduction.
With this, we now open the line for Q&A. Thank you.
Question & Answer:
Moderator: Thank you. Ladies and gentlemen, we will now begin with the question -and-answer session. Anyone wishing to ask a question, may please press “*” and 1 on your touchtone tele

phone. If you wish to remove yourself from the question queue, you may pr ess “*” and 2.
Participants are requested to use handsets while asking a question.
Ladies and gentlemen, we will wait for a moment while the question queue assembles. Participants, if you wish to ask a question, you may please press “*”and 1.
The first question is from the line of Abneesh Roy from Nuvama.
Please go ahead.
Abneesh Roy: Yes. Thanks. My first question is about the Andhra market. So, you have done well , and you have gained market share. Even the national players have gained market share. So, if you could tell us are the local players now all largely out of the market?
And second is in the previous cycle, when a similar regime, similar government was there, then what was your market share? And as a percentage of pan -India, when do you see full normalization and what will be that number in terms of Andhra contribution to your sales?
Amar Sinha : So, as far as the Andhra market is concerned, it's a 30 lakh cases market right now. It's a growing market. As the regulatory environment stabilizes and the policies become more stable, the market is continuing to show buoyancy. We have a 15% to 17% mark et

share in that state. Most of our brands that we have introduced are showing traction. The route -to-market changed on 16th of October 2024. Since then, there is a balance between secondary and tertiary sales. So, as far as Radico is concerned, the movement for all our brands introduced in Andhra is sound and shows good signs.
As far as the local players are concerned, they still exist, and they are largely operating in the lower -price segments, which I think will continue for some time , till the national brands gain attraction. This has also started to happen. Most national companies are now getting good volumes, and it will benefit orgainsed players like us.
Abneesh Roy: So, my second and last question is on the demand side. You also sounded positive and pan -India and national side is also positive. So, my question is in terms of the marriage demand, how much is the benefit coming from there? And ex of Andhra, what will be your expectation of growth because Andhra clearly is helping . And would you see Q4 Andhra contribution being a bit lower because first quarter, generally, the inventory pileup is there, which helps in a larger number. So, would you say that Q4, the contribution to sales from Andhra, that could be a bit lower and then it starts going up again?
Amar Sinha : No, I think as I told you, there is a balance between secondary and tertiary sales for all our brands. So, as far as we are concerned, we see that the momentum will continue, and we will continue to perform equally well in quarter 4 and there after.
Abneesh Roy: And in terms of the pan -India demand, what is driving the optimism? Because almost every other form of consumption, they are clearly saying there is a slowdown in the urban segment . I do understand

some of the base is a bit favorable for the industry, may not be for you but marriage demand clearly is there for the next 2 quarters also. So, would you say marriage demand is what is helping in terms of optimism versus say, other forms of the FMCG consumption or, say, any other discretionary consumption also QSR? Everything is weak. In terms of apparel also, it is weak. So, what is the difference for the liquor industry versus other forms of consumption in the urban segment currently?
Amar Sinha : So, let me say first that as you see in Q3, the growth has been across significant categories. The regular segment has also recovered, and the Prestige & Other segment has also shown great traction, strong double -digit growth.

We have seen traction across our brands. And that's why you see this number of P&A, g

rowing by 17% in volume. And as far as overall volume is concerned, it stretches across premium and regular brands, and that's how you get 15%. This phenomenon is visible clearly in the liquor industry and it is not because of weddings and festivities. The industry itself is buoyant. And that's why we feel that the next quarter and thereafter, demand will be encouraging.
One more point that we want to stress here is that 3 years back, the entire market segments for brands above the inter segment was only 25% of the IMFL industry. Today, it has reached 42%, which means the brands in the premium segment are gaining traction and Radico is driving this growth as well as part of an industry player.
We today have market leadership positions in gin, rum, brandy and vodka. And now we are growing steadily in the whisky segment as well. All brands that we have launched in the past 2 years have done exceedingly well and are positioned well in all the markets across geographies.
Abneesh Roy: Sure. Thanks, sir. I’m done sir. Thanks a lot. All the best.
Moderator: Thank you. A reminder to the participants, anyone wishing to ask a question, may please press “*” and 1. The next question is from the line of Harik Kapoor from Investec. Please go ahead.
Harik Kapoor: Good evening. So, I just had 2 questions. One was on you mentioned that you expect that your Luxury & Semi -Luxury portfolio to cross Rs. 500 crores. Could you just give us a sense of what will drive growth next year? Do you think it's more getting into markets where you weren't present? Or it's just strong market share gain or just throughput growth that you are seeing? And within this, if you could just give e ven a qualitative flavor of what's growing faster, etc. I know the portfolio, but if you could just give a sense of what's going faster, what's driving this growth? So, just a little bit more comments on this portfolio, which will be Rs. 500 crore Business for you next year.
Amar Sinha : As Mr. Abhishek Khaitan had also mentioned in his opening remarks, our Luxury & Semi -Luxury sales was approximately Rs. 100 crores, and shown a growth in value terms of 45%. As far as volume is concerned, we have shown equally strong volume by growing at 54%.

As far as the ratio of sales of Luxury & Semi -Luxury brands are concerned, we have grown to a level of 12% in Q3 as against 9% in the previous year. Now having said that, I must tell you that all the brands that we have launched today have shown great attr action and acceptance at the consumer level and Radico has always pioneered the price positioning of all brands in different categories and segments. Our prices are well accepted, and people see by virtue of a higher price position that we not only of fer in stature, but we are also giving an equal ly good quality commensurate to the price that we offer.

Now today, these brands, despite the attraction and sales growth, we feel are still at a nascent stage, and there is a good way to go in terms of creating market shares. And that's the reason we feel that the coming years will show a much better result.
Not only that, we will also expand across geography. Radico has a national presence. We are one of the strongest distribution companies in the country today. We are the largest player in the I MFL segment from India. And we are in the process of expanding our distribution of Luxury & Semi -Luxury products, and that will also give us expansion in volumes and profitability both.
Harik Kapoor: Got it. So, just on this, would a significant portion of this, say Rs. 500 crores next year or whatever of the Rs. 250 crores for the 9 months, be export? Or maybe it what would that ratio look like?
Dilip Banthiya : Yes, the exports in volume terms si approximately 5.5%. In the domestic market, the luxury and semi -luxury growth rate is bet

ter than
export.
Amar Sinha : It will continue to be so at least for the next 3 years, because the market is huge. It is growing very fast. So, we need to exploit that situation .
Abhishek Khaitan: Also, if you see the single malt industry in the domestic market has overtaken the international malts also. So, I think the investments of what we had done in our malt capacity about 4 -5 years back, so the next 3 years, our malt availability should double in the next 3 years. Royal Ranthambore has entered the Armed Forces, C SD which is one of the largest markets. So, I think, overall, the entire space is quite buoyant.

Harik Kapoor: Got it, sir. The second part was on the cost side. So, you've seen on one side, you have the possibility of some increase likely in ethanol at some point in terms of government pricing. But on the other side, you also have the grain prices, which seem to now be coming into a more favorable trajectory over the next 1 or 2 quarters and going forward. So, if you could just help us understand how do we see this kind of confluence of factors playing out in ENA pricing over the n ext say, 3, 6, 9 months, if one had to guess? Yes, that's my question. Thanks.
Abhishek Khaitan : Actually, if you see our industry the kind of headwinds that we have faced as the grain prices from Rs. 17,000 / Ton , touched about Rs. 28,000. The primary reason was the ethanol supply and the stoppage of the FCI rice which happened about 1.5 years back. Only now for the first time the government , which we were expecting long back, because huge pile of about 500 lakh tonnes of grains lying in the FCI godown, so they have just announced where ethanol can be produced from FCI. So, that [FCI Rice] is at Rs. 2250 0 / tonne . So, I think it all depends on the government policy, but if it continues, surely there will be easing of the raw material.
Harik Kapoor: Got it, sir. That's all from me. Thanks and all the best.
Moderator: Thank you. The next question is from the line of Dhiraj Mistry from Antique Stockbroking. Please go ahead.
Dhiraj Mistry: Thank you for the opportunity. And congratulations on the good set of numbers. Sir , my question is first on demand where one of the Company said that there is a slowdown in the premium and luxury end of the segment, whereas you have been saying that your growth has been very much far superior. What gives you confidence that this kind of mid-teens kind of volume growth can be continued in P&A segment? And also, the regular segment, after, let's say, 12 to 13 quarters afterwards, we are s eeing positive volume growth . And what can we expect in terms of volume growth in regular segment going ahead?
Amar Sinha: So, let me answer the regular segment first. See, it's true that it is quite some time later that the market has started responding as far as the regular segment is concerned. There are a couple of reasons for it. But we have, in our earlier conferences, a lso stated that we have rationalized our regular volume, because of cost escalation , raw

material pressures and contribution loss. So, wherever we thought it was economical and profitable, we used to sell regular, and not rationalize the volumes.

Having said that, as far as the current growth rate in the regular segment that we have seen of 13.4% and a value growth of 1 5%, that's primarily because of 2 reasons. One, Andhra has offered an opportunity to sell brands below the P&A segment at a lucrative price, and the contributions are healthy. That's what we are doing. And going forward, we also feel this trend could continue because Kerala, which is a huge market of more than 20 lakh cases a month, has given a 6% to 7% price increase. And therefore, we see that this will also benefit the industry, including Radico. So, we are optimis

tic about the regular segment recovery in the months ahead.

Dhiraj Mistry: Yes. So, just on regular segment.

Amar Sinha: And the growth will also be maintained in the mid -single -digit rate.

Dhiraj Mistry: Okay. But if I want to strip out Andhra Pradesh from the regular segment, what would have been growth excluding Andhra Pradesh then in this quarter?

Dilip Banthiya: See as I said in my opening remark ex -Andhra, our overall growth is 7%, 7.5% ex-Andhra. And in the P&A category it is higher or better than the Compa ny average. So, the point is that excluding Andhra, as Amar said, there are certain improvement s in the state regulatory environment, the Defence has given the price increases last year which has brought back the volume. In export also, there is some improvement in the volumes of the regular segment. So, in fact, as we already said, that mid -single -digit improvement on that for next year, we can very well achieve that.

Dhiraj Mistry: Got it. And sir, your comments on P&A segment volume growth?

Amar Sinha : We don't want to comment on what others feel about the slowdown or the fast pace, but as far as Radico is concerned, all our brands are buoyant. They are responding very well. We have great plans, marketing plans going ahead and other growth momentum of giving a P&A growth of 15% plus in the times ahead will continue.

Dhiraj Mistry: Got it. And sir, the second question is related to our debt. There after our CAPEX, we have not seen any decline or let's say, a reduction in debt. Part of this is also attributed to the Telangana Government not paying the dues. Where are we standing in terms of, due from Telangana government, and when can we expect or, l et's say, by what year we can become a debt -free Company?

Dilip Banthiya: So, as we have said that in a couple of months the issue with Telangana which will get sorted out soon, the interaction with the industry is on. Secondly, we build grain inventory in the season. That will also be partly liquidated by the year -end and from Q4 onwards, you will see a declining trend in our debt scenario, and as we guided, by '26, '27, middle , our debt will be negligible . With the kind of cash flow coming from internal accrual , we are very confident of achieving the debt -free kind of situation by '26, '27.

Amar Sinha : I want to add one very important point that Radico's old dues in Telangana are not very high. And subsequently now, Radico is being paid with other companies in 45 days as per the policy. So, that's not so much of a deterrent. But yes, the dues whatever our overdue will get cleared in Q4.

Dhiraj Mistry: And sir, lastly, on margin front. You clearly highlighted that Luxury segment has been growing very fast. So, sir, can you comment a bit on in terms of profitability of Luxury segment versus other P&A segment versus regular segment for us?

Dilip Banthiya: So, we talk about our margin. And actually, in the last several quarters,

we have been guiding about, that we have improved on our margin by
less 150 basis points year -on-year. This year over the last year, we have
improved 140 basis points to 9 months, and we will continue to do
that. With the kind of product profiling and portfolio and the luxury
growing much faster, we expect our margins to grow 100 to 125 basis
points every year for the next 3 years, thereby growing on the 15% kind
of margin in next year. So, we expect that the business model that
should be achievable.
Dhiraj Mistry: Okay. That's helpful. Thank you very much.
Dilip Banthiya: Thank you.
Moderator: The next question is from the line of Rohit Kumar from Niveshaay.
Please go ahead.
Rohit Kumar: How much margins do you make in per ml pack, from 90 ml pack to
750 per ml packs? So, for example, from 90 ml pack to 750 ml pack,
how much margins do you make? In EBITDA -w

ise, in terms of EBITDA?
Dilip Banthiya: Again, if you can repeat your question.

Rohit Kumar: How much margin do you make from 90 ml pack to 750 ml pack? Is the
margin similar in terms of EBITDA -wise?
Dilip Banthiya: The question actually, it is the margins are at the price point. And
basically, whether it is 90 ml or 180 ml or 750 ml, depending on the
price point of that segment and the margin, EBITDA the cost decision
has been made.
Rohit Kumar: So, each segment has different margin side. So, can you give us the
margins on the blended wise? How much blended margin do you
make in the 90 ml pack or 180 ml pack or 750 ml pack?
Dilip Banthiya: As I said, Rohit, it is actually not 90, 180 ml. We say in our SKUs. When
we launch any products or we market any product, the price segment,
where we are offering all the segments 180, 750, 375, this is a
composite basket of margin we're seeing on the contribution level . So,
we can't distinguish between 90 ml margin versus 750 ml margin.
Rohit Kumar: Okay, sir. Thank you, sir. That's from my side.
Moderator: The next question is from the line of Pankaj Kumar from Kotak
Securities. Please go ahead.
Pankaj Kumar: Thanks for taking my question. Most of the questions are answered.
Just wanted to have 1 clarification that ex AP and the P&A category,
what was the growth in this quarter?
Dilip Banthiya : In P&A category?
Pankaj Kumar: Ex-Andhra Pradesh.
Abhishek Khaitan : See our P&A category has grown by 17.7% in the quarter . And as far as
P&A category goes, excluding Andhra also our growth has been higher
than 17.7 %.
Amar Sinha: Because our growth is broad base, across geographies.
Pankaj Kumar: And sir, you have guided for Rs. 500 crores from Semi -Luxury & Luxury
segment. So, what kind of margins that this category can generate, any
estimate you can give?
Abhishek Khaitan : We do not quantify what margin is in the segments, but definitely, in
the Luxury and Semi -Luxury segment, that's Royal Ranthambore and
Above, the margin is much, much higher than the P&A category.

Pankaj Kumar: So, like you are saying, to get to 125 bps, the margin improvement that
you are looking at every year. So, what portion would be driven by your
mix changes versus your raw material advantage?
Abhishek Khaitan : See, raw material advantage, the grain prices had gone up in October,
December quarter, I think it was the highest. So, we are at a
disadvantage, so this all margin is contributed because of the product
mix and optimization.
Pankaj Kumar: And sir, CAPEX, what kind of CAPEX that we are looking this year and
the next year?

Dilip Banthiya: We have done with all our major CAPEXs and our CAPEX run rate will be Rs. 100 crores to Rs. 125 crores every year for the next 2 to 3 years. This is after both our large projects are over.
Pankaj Kumar: Okay, sir. Thank you.
Moderator: A reminder to the participants, anyone wishing to ask a question, may please press "*" and 1. The next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.
Rohan Patel Hello. Am I audible?
Dilip Banthiya: Yes.
Rohan Patel Yes. Yes, thanks for this opportunity. I have a question regarding our Country Liquor business and non -IMFL business. Seeing your financials for FY 24, we did somewhere around Rs. 1,300 crores in non - IMFL segment, and roughly 50% of that comes from Country Liquor. But when we look at our margins in non -IMFL segment, they are near to mid -single digit. And when we see some of our peers in Country Liquor in UP market, they are currently doing a healthy double -digit margin of 14% to 17%. So, can you explain the difference in this? Like why are margins so low? And in '23, we were negative EBITDA.
Dilip Banthiya: So, the question is that our Countr

y Liquor business is only in one state , it is in the Utter Pradesh . As far as the other players, they might be doing in 2-3 more states. So, we are talking about only UP, where the margin in the Country Liquor are in the mid -single digits. And as you say, the rest of the Non -IMFL business is the alcohol sales, where also the margin has been squeezed, because of the high infla tion in grain prices. There also the margin has squeezed to a mid -single -digit kind of number . So, seeing what we have feel that FCI has opened up

and all that, it's all a question of how the market behaves and declining trends, then we can see some improvement in that segment also.
Rohan Patel Okay, but seeing your close competitor who operates Country Liquor in 1 state and that too in UP who is having a market share of say, 25% to 27% and does 200 million -liter in Country Liquor in UP, so they have fairly healthy EBITDA compared to us, mostly twice than ours. So, is it due to geographies that you cater to within a state district -wise?
Dilip Banthiya: I think we are talking about Uttar Pradesh, and somebody doing it. So, Uttar Pradesh we have a mix of grain -based Country Liquor as well as molasses -based Country Liquor. I'm giving you the mid -single -digit margin mix of UPML and Country Liquor being sold.
Amar Sinha : Let me explain this to you. There are 2 large players in UP, including us. The margins for Country Liquor remain more or less the same. There is no difference, because the SKUs that both the compan ies sell are the same. The strengths that the other player sell is also the same. So, the EBITDA margins cannot be different unless you include some other businesses in it.
Rohan Patel Okay. And what we have seen is that this is towards the IMFL business and in P&A segment, what we have observed is that lot of competition is coming in, a lot of brands are coming in. But we are seeing that Millionaires' portfolio of companies that are doing over 1 million cases have been coming from well -established legacy brands like Radico, USL or Allied. So, what advantage does a company like Radico has over a new entrant or new brands that are coming up, celebrity brands, which are coming u p lately?
Dilip Banthiya: Actually, the industry is surrogate and there is a complete blackout of the brand being position ed and brand not being shown , so definitely incumbent has better chances .
Amar Sinha: National players like Radico have had the benefit of distribution and marketing strength. And with this scale of operation, there is a definite advantage for new brands produced by national companies as against smaller players. It's very difficult for new entrants to sustain today, because the cost of entry and the cost of sustenance is very, very high.
Rohan Patel: Okay. That fairly answers my questions. Thank you for this opportunity.

Moderator: Thank you. A reminder to the participants, anyone wishing to ask a question, may please press “*” and 1. Participants, if you wish to ask a question, you may please press “*” and 1. As there are no further questions, I now hand the conference ov er to the Management for the closing comments.

Dilip Banthiya : Yes. So, moving forward, we will continue to deliver a strong Prestige and Above volume growth, driven by our diverse brand portfolio. Secondl y, we will further develop our luxury brand portfolio which w e see a major contributor to our profitability. Furthermore, we are focused on ensuring that our investment operates as efficiently as possible. This will enable us to generate cash, repay debt and return cash to the shareholders.

We look forward to interacting with you in all our next earnings call. In the meanwhile, if you have any queries or follow -up, please feel free to write to us. Thanks

a lot.

Moderator: Thank you, members of the Management team.

Ladies and gentlemen, on behalf of Dolat Capital Markets Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: This transcript has been edited to improve readability.

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Call: May 2025

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RKL/SX/202 5-26/16 May 13, 202 5

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Scrip code: RADICO

Subject: Transcript of Earnings Conference Call

Ref: Disclosure under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Dear Sir/Madam,

In continuation to our letter no. RKL/SX/2025 -26/05 dated April 25 , 2025 and p ursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Earnings Conference Call for Analysts and Investors held on May 7, 2025 for Quarter and financial year ended March 31, 2025 .

The transcript is also being disseminated on the Company's website a t
http://www.radicokhaitan.com/investor -relations/

This is for your information and records.

Thanking You,
For Radico Khaitan Limited

Dinesh Kumar Gupta
Senior VP - Legal & Company Secretary
Email Id: investor@radico.co.in

Encl: A/a

Radico Khaitan Limited
(BSE: 532497; NSE: RADICO)

Fourth Quarter and Full Year FY202 5
Earnings Conference call
May 7, 202 5

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Amar Sinha, Chief Operating Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and gentlemen, good day and welcome to Radico Khaitan Q4 FY25 Result Conference Call, hosted by Dolat Capital Markets Private Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " *" then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Himanshu Shah from Dolat Capital Markets Private Limited. Thank you and over to you, sir.
Before we begin our presentation, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation f or the detailed disclaimer.
Himanshu Shah: Thank you, Navya. Good afternoon, everyone. At this moment, we would like to thank Radico Khaitan Management Team for providing Dolat Capital with the opportunity to host the Q4 FY 25 Earnings Call.
We have with us the senior leadership team from the Radico Khaitan, Mr. Abhishek Khaitan – Managing Director, Mr. Amar Sinha – Chief Operating Officer , Mr. Dilip Banthiya – Chief Financial Officer and Mr. Sanjeev Banga – President (International Business).
I will now hand over the call to Mr. Abhishek Khaitan – MD for his opening remarks. Over to you, sir.
Abhishek Khaitan: Good afternoon, ladies and gentlemen. Thank you for joining us on our Q4 FY 25 Results Conference Call.
There has been a major development regarding the much -anticipated UK Free Trade Agreement last evening. While we await the final print , I would like to provide a broader perspective before diving into the details of our Q4 results.
Given the strong growth of our whisky portfolio, including Sangam, Royal Ranthambore, After Dark and 8PM Premium Black whisky, we are among the largest importers of bulk scotch for blending purposes. Our scotch imports in FY 26 are projected to exceed INR 250 crores in

landed price, inclusive of import duties. Any reduction in these duties will translate into meaningful cost saving for us.
Luxury spirits are a lifestyle category , and pricing plays a crucial role in shaping consumer aspirations. We do not anticipate altering our pricing strategy as our brands hold a perceived value that resonates with consumers. Positioned at a premium compared to most incumbent brands, our products compete not only with global brands in India, but also internationally. Over the years, each of our luxury brands has carved out a distinct identity. This development is a welcome move and will significantly contribute to our premiumization journey as we continue to focus on creating more luxury brands.
The first quarter of FY 26 marks an exciting milestone as we prepare to introduce two luxury brands - projects that have been under development for two years. These launches represent a major leap in Radico Khaitan's premiumization journey, reinforcing our confidence that the best is yet to come.

Now moving on to the quarterly performance: Building on the strong momentum from the third quarter, Radico Khaitan delivered an impressive 28% volume growth in Q 4 FY 25, our highest quarterly growth in the past 3 years.
FY25 has been the best year in our history on all key -financial metrics, with highest ever turnover of INR 4,851 crores, EBITDA of INR 668 crores and PAT of INR 341 crores.
FY25 was truly a year of transformation for Radico Khaitan, fue led by our commitment to expanded backward integration, enhanced distribution capabilities including on -trade, a robust innovation pipeline and impactful consumer engagement.
Our flagsh

ip premium brand Magic Moments Vodka has crossed the milestone of 7 million cases during the financial year, a true testament to its growing popularity. Adding to this momentum, we are thrilled to welcome Kriti Sanon as our brand ambassador. With her charisma , style and widespread appeal, this partnership is set to elevate Magic Moments to unprecedented heights, redefining the benchmark for premium vodka in India.
Continuing our commitment to innovation , we unveiled 8PM Premium Black in a bold new look design to elevate brand imagery while

showcasing its distinctive product story, crafted around the harmony of eight select notes.
Furthermore, within the first half of the year, we will also enter the super -premium whisky segment, strengthening our presence in high - growth categor ies and setting new benchmarks in excellence.
While innovation remains the cornerstone of our strategy, our immediate priorities center on strengthening our existing portfolio, making targeted marketing investments and expanding our distribution network.
Looking ahead, we are poised for a strong double -digit growth in the Prestige & Above category, enhanced profitability and a persistent focus on cash flow generation, all driving long -term value creation for our shareholders.
With this, I would now like to hand over the call to our CFO for detailed operation and financial review. Thank you and over to you, Dilip.
Dilip Banthiya: Thank you, Abhishek. Thank you everyone for joining us on this call today.
During Q 4 FY25, we reported a total IMFL volume of 9.15 million cases, representing a growth of 28% on a year -on-year basis. This is the highest -ever volume recorded by Radico Khaitan in a quarter.
Prestige & Above category volume grew by 17%. In value -terms, the Prestige & Above category registered 22% growth. IMFL realization increased by 4.6% on year -on-year basis. The regular category volume which was impacted due to certain state -specific industry -related issues and ongoing strategic rationalization of the portfolio have now returned to a sharp growth trajectory. This was due to a lower base coupled with normalization of state -specific industry issues.
Changes in route to the market in Andhra Pradesh contributed 1,500 basis point s to our overall volume growth. It is important to highlight that the Prestige & Above segment, excluding Andhra, the growth has been higher during the quarter .
The recent RTM changes in Andhra Pradesh have progressed well, promoting stability and predictability in the regulatory environment.
As a result, we have seen strong traction for our brand portfolio and gained market share from 10% in the first half to over 17% in Q 3 and

now 23% in Q4 FY25 , which is highest in the industry. We quickly adapted to the changing environment and created capacit ies to

capitalize on th e industry opportunity.
Gross margin during the quarter was 43.5% compared to 41% in Q 4 of last year, and 43% in Q 3 FY25. Gross margin improved both year -on-year basis and quarter -on-quarter basis due to the ongoing premiumization in IMFL business, coupled with relatively stable raw material scenario. We are optimistic that the pricing scenario for ENA and grains will remain stable going forward durin g FY26.
Ad-spend will be within our targeted range of 7% to 8%. It has been higher during the quarter due to new celebrity engagement and other new brand -related spend .
Interest costs increased sequentially due to higher working capital utilization during the quarter. However, we have seen significant liquidation of inventory in Q 4. Furthermore, we have also reali sed significant debtors towards the end of the quarter, resulting in a debt reduction of INR 114 crores over last year.
Going forward, our focus will be on

driving profitable growth along with cash flow generation, and more efficient working capital management, resulting in debt reduction.
With this, now we open the house for Q&A. Thank you.
Moderator: Thank you. The first question is from the line of Abneesh from Nuvama. Please go ahead.
Abneesh Roy: Yes, congratulations on very good volume growth. My first question is on your first statement on FTA. So, wanted to understand this, it is a competitive market. For example, in Karnataka, where the state Government has cut taxes in the premium spirit, obviously, most of the players have passed it to end customers. So, when the raw material of cost becomes cheaper, 2 scenarios can be there.
One, because it is competitive, the players could cut prices, so that it becomes affordable and because they have higher gross margins, they will be able to cut. I note your comment that you do not think pricing cut will happen, given it's a premium brand. But I just wanted to take on that. And the second is, could some state Governments in compensation, because they suddenly see that prices have reduced in many states, then can they increase taxes on their own, because state

Governments need more revenue and this is one of the ways to achieve that? That is my first question.
Amar Sinha : Thank you for your question. So, first of all, I must say that the FTA with UK has been a very progressive and favorable step that the Government of India has taken and the Government needs to be congratulated for the same.
As far as the AlcoBev sector is concerned, custom duty reduction will result in a 6% to 8% consumer price o r MRP reduction. Now, in the premium and luxury segment, most international brands of repute are already present in the country. It is very unlikely that reputed foreign brands will reduce their price for this small benefit of 6% to 8% to their ultimate con sumer. This would also, in fact, dilute the imagery of the premium brands. The companies are likely to mop up this saving and save on their co sts rather. That is our understanding of the situation.
There is a chance that there might be some smaller companies with smaller scotch whisk y brands that may come in. But as far as the premium and luxury segment consumer is concerned, there is really no market attraction for cheap scotches. So, cheap scotch whiskeys are no competition to us.
Now, with regard to Radico's perspective on business:
Radico has always, if you see our track record, in the last few years, we have believed in pricing all our products above the market leader in every category, irrespective of what the price position is for international brands or any other brands in India. The example is very clear. If you see the pricing of Jaisalmer, Royal Ranthambore, Rampur, we are priced much ahead of the competitors.
Actually we are creating a portfolio of the best Indian brands and

therefore we do not anticipate any change in our pricing strategy or price positioning. So, truly speaking, we see FTA as a big win for India and companies like Radico, which are making India proud and taking it to the world.
Radico as, Mr. Abhishek Khaitan mentioned a little while ago, that we plan to import Blended Malt Scotch to the extent of INR 250 crores in FY26 for blending with our products, and that reduction, which is likely to happen, will give us substantial cost advantages and a margin uptake. So, hence, it is a net positive for Radico.

Your second question was whether state excise departments will raise duties. See, if state excise departments have the autonomy to make price changes to their local taxes, because liquor is a state subject matter, but then we need to see because every state Government today is looking for increasing sales and collecting more. It has been seen in the pa

st that whenever you raise prices beyond a point, it affects the brands adversely. So, it is very difficult to comment as of now. Let's wait and watch.
Abneesh Roy: Sir, one quick follow -up on this. When is the earliest date when your raw material becomes cheaper in terms of scotch? Any clarity on that?
Abhishek Khaitan : It depends when the notification will come out. So, that only the Government knows. As of now, there is no clarity.
Abneesh Roy: No, my question was not only from a notification date, but that was also there. Do you have some forward contracts or inventory which could delay that by and how much?
Dilip Banthiya: The inventory in pipeline is normal inventory, and as and when it is made applicable, after which the imports will attract lesser duty, the cost will come down based on that.
Amar Sinha: So, just to be very precise, we are not holding huge stock at all.
Abneesh Roy: Last question. In Andhra, if you could tell us in terms of the overall industry scale -up post the new reform, anything you want to highlight there? And how do you see FY 26 in Andhra?
Amar Sinha : So, let me tell you, Andhra, as we have just mentioned, has progressed very well with the new excise policy and route to market change . What is happening now is that the market has started to stabilize. It is picking up. And even in the previous year, in fact, 60% of the business was with local players. But in the current regime right now, 60% of the business is with national players and organized players. So, it is actually progressing very well.
And we hope that the market will not only stabilize, but from here onwards, it will continue to grow. New brands are likely to be introduced with the tender that is going to open sometime shortly. And we hope to do well in that. Secondly, the most important point is as far as Radico is concerned, we have a market share which earlier in H1 was 10%, in Q3 it went up to 17% and now it is 23% in Q4.

We are the largest player, and this actually supports the point that the consumer there was looking for national and organized players to come in. So, that is benefiting us as a company. Our overall volume growth is 28% , and substantial growth is also being contributed by AP for all organized brands.
Abneesh Roy: Sure. Thanks. That's all from myside. Thank you.
Moderator: Thank you. Next question is from the line of Anil Shah from Insightful Investments. Please go ahead.
Anil Shah: So, just wanted to get a sense on your raw materials scenario, has the broken rice from the Government, Food Corporation of India started ?
And generally , how the raw material situation is in terms of pricing and availability is concerned?
And the second question is on the Delhi opening up, if you could throw

some light in terms of how that state is shaping up? Thank you.
Dilip Banthiya: So, as far as the raw material scenario is concerned, after the Government announced the Food Corporation rice available for ethanol , to that extent the demand from the market has gone to the Government, FCI godown. And that has resulted into the softening of the prices which were in the range of around INR 27,500 to INR 28,000 has come down to around INR 25,000 per ton now. So, it is a good development and at this stage, this has also impacted the other key raw material like maize, et c. So, that has also seen a correction of INR 2,000 approximately per ton.
Amar Sinha : So, let me tell you the Delhi policy is right now the way it was last year. And the existing policy has been extended for another 3 months. Hopefully, in July, we will see the new policy. As a company, we feel that the policy will benefit all national and organized brands.
Anil Shah: Okay. Thank you.
Moderator: Next question is from the line of Harit Kapoor from Investec India. Please go ahead.
Harit Kapoor: Good eve

ning. So, just had 3 questions. In light of the recent developments yesterday, you had a FY 26 target of INR 500 crores for the luxury and semi luxury portfolio. Do you believe that it is wait -and- watch whether that can be achieved, given that you might see some changes in the competitive environment in the next 12 months? Or do

you believe that that is something that you are still very confident of hitting?
Abhishek Khaitan : See, in FY25 , we have achieved INR 340 crores and we have grown by 32%. And in our luxury portfolio, like the way Royal Ranthambore is growing month -on-month. And also, how Jaisalmer and Rampur and specially with the 2 new introductions, we are very confident that we'll surpass INR 500 crores.
Harit Kapoor: Fantastic. The second point was on the debt side. So, we are up to about close INR 600 crores of net debt. Just wanted to get your sense of, I know that in two years ’ time , it is going to almost zero. In FY 26, is there a target that you'll half this number or anything that you can give a sense on?
Dilip Banthiya: So, as the debt is coming down now, we expect to be almost debt -free by FY27 . For FY26, it will come down by around 35% to 40% and after that, we will be almost debt-free.
Harit Kapoor: Got it. And last thing was on the commodity environment. In the current context, did you see, bulk scotch has obviously become cheaper. And grain has also become cheaper. So, on ENA and glass, both of those elements, do you see a stable environment for the next 6 to 12 months, at least from where we are right now? Is that the right way to think about it?
Dilip Banthiya: So, ENA till now has been stable, but grain has definitely given this head wind and our main input in alcohol. We have a large grain alcohol capacity also. So, the re the advantage of the costs coming down will come. So, when the grain price ha d gone up, ENA had also not gone too high as compared to what the grain price had gone. So, let us see the demand and supply scenario, but we don't foresee any pressure or inflation on that, in FY26.
Glass has seen some correction and correction has been twice in the last year. It was about 3% to 4% correction in glass prices and now the scenario looks like it is also stable.
Harit Kapoor: Great. Great. Thanks . All the best.
Moderator: Thank you. Next question is from the line of Vishal Gutka from ASK Investment Managers. Please go ahead.

Vishal Gutka: Hi Team. Congrats on a good set of numbers. 2 questions from my

side. I think on Andhra Pradesh; you have achieved 23% market share. So, any further opportunities where to improve the market share from here onwards, because 23% is a very high number?
And ancillary question is that any states, we are expecting route to market changes? Like maybe in Bihar, the elections are there. There is a change in Delhi, definitely that you have highlighted. Any other state where you are expecting any changes in rout e to market or policy changes?
Amar Sinha : So, as far as Andhra is concerned, see we are becoming stronger with our whiskeys like After Dark, which is the deluxe segment, which obviously means that we are getting a stronger distribution base.
Now, as Mr. Abhishek Khaitan mentioned that we have 2 luxury whiskeys, one super premium whiskey on the cart over the next 6 months, and 2 luxury products in the 1st Quarter. I think with new products coming in, existing whiskeys becoming stronger, there i s a strong chance that our market share may further improve.
Dilip Banthiya: And as far as your question of regulatory changes, we see Delhi being in near future, as and when that happens .
Abhishek Khaitan: If Bihar like the prohi bition goes away with the election results being favorable, then maybe prohibition goes away which is very good.
Vis

hal Gutka: And just ancillary question of UP market, so UP market has go ne on a policy change in last quarter and I think the new policy is coming. If you can just broadly highlight what has happened in the new policy? How is the performance in the month of April, if you can broadly highlight for UP market?
Amar Sinha : The best thing that has happened in UP with the new excise policy is that you have got composite shops, which have come up which have expanded the universe of outlets by almost 40%.
Another big advantage that has accrued to the industry is that in IMFL, the wholesalers are now paying the excise duty, which means that the industry is lowering its working capital requirement , which is a big plus.
This also means that any established player like Radico will reap huge benefits because the traction for fast -moving brands will be much more, because wholesaler would like to take cash and rotate it faster.
So, that's a very big plus which has happened.

I think with the increase in the universe, Radico certainly is very optimistic that the market share will also improve. So, that's a big win.
And in Q4 itself, Radico has seen a 37% growth in P&A segment and the market share actually has improved to 29% in Q4, from 26% to 29%.
Vishal Gutka: So, that's a very big number, sir. Wishing you all the best for future quarters. Thank you.
Moderator: Thank you. Next question is from the line of Akhilesh Bhattar from Ikigai Asset Management.
Akhilesh Bhattar: Congratulations on a good set. I just had a question on the margin side. So, when do you expect to catch up to your previous peak margin levels that we had seen in FY 20, FY 21? And with the headwind that we have right now in terms of the UK FTA deal and other headwinds ? What are the tailwinds that you foresee? And what is the timeline that you are foreseeing as to catch up for margins? Thank you.
Dilip Banthiya: We have improved the EBITDA margin as well as gross margin in FY25 versus FY 24. The EBITDA margin is almost improved by 150 basis points and with the growth in our brand portfolio and P&A guidance of 15% growth in FY 26 and onward also , we see a continuous improvement in our EBITDA margin. I think 100 basis points EBITDA margin improvement will be there, and after that we will have to see how much we will get benefit through reduction in duties . So, our business model is tuned to improve the margin continuous ly for 3 years.
Moderator: Next question is from the line of Bhavdeep Vora from Franklin Templeton Asset Management India. Please go ahead.

Bhavdeep Vora: Thank you for the opportunity. I just wanted to understand that this reduction in the import duty for the imported scotch. So, from the perspective of the state Government, so in terms of the collection of revenues, so whether the revenue collection per bottle is higher in this BIO, BI I stuff or it would be more like say, the Indian on the Prestige side say the P&A, the Prestige & Above segment? So, how do both this compare? So, just trying to understand that in terms of what does this do to the competitiveness of the premium Indian IMFL basically compared to an imported spirit? So, maybe your perspective on that would be helpful.

Amar Sinha : So, right now see the BIO sector is not very large in the country, in an industry of 400 million cases . Basically, 5 million cases is the BII and BIO market. So, it is a small niche segment, which is growing of course, but really if you ask me any tax changes, it does not impact and it is not comparable with what one gets from the semi -premium and premium segment s. In fact, the premium segment in India, it sells in 18 million cases, and the deluxe segment is approximately 70 million cases. So, the tax collection is obviously huge.
Bhavdeep

Vora: Sure. That's fine. But from an incremental perspective, right? So, if basically BIO becomes more competitive, right? So, maybe now reaching probably INR 2,000 or even below price points in some of the states. So, does consumer shift from say the top line of India's premium to some of this imported stuff? And is more attractive to Government or how does it matter? So how does it work on revenues?
Amar Sinha : I just mentioned to you a little while ago that see this duty reduction at the current rate from 150% to 75% will only give relief by 6% to 8% on the consumer price side. So, that is not a very big reduction actually. If you calculate and we do not fores ee the foreign brands reducing the price of premium brands for this 7% to 8%, because it dilutes the image of such premium brands.
Bhavdeep Vora: Okay. But it also and of course, bringing the duty down to 40% over 10 years.
Amar Sinha : So, we cross the bridge as it comes, because by then Indian brands are now reaching out to the world, and in the next 10 years, Indian Single Malts would be forced to reckon with globally, which has already started happening. And if you see last year, Indian single malt sold more than all the international malt whiskeys in the country.
Bhavdeep Vora: Okay. Thanks. That's it from my side.
Moderator: Thank you. Participants who wish to ask who wish to ask questions may please press “*” and one at this time. I repeat, participants interested in asking questions may please press “*” and one at this time.
Next question is from the line of Abhijeet Kundu from Antique Stock Broking. Please go ahead.
Abhijeet Kundu: Hi. Congratulations on a very strong set of numbers. Thanks for the opportunity. So, my first question is about the backward integration

that you had done for raw material. With the broken rice prices now correcting about 10%, maize prices also lowered. There was an expectation that you would save about INR 12 to INR 13 per litre on your raw material. So, where are we now and what could be the savings that can happen in FY 26?
Dilip Banthiya: So, your question is regarding make versus buy, the delta was around INR 12 to INR 13 per litre , 3 years back. After that it has reduced to INR 3 to INR 4, and now it is stabilizing between INR 7 to INR 8. And we see that this will remain stable .
Abhijeet Kundu: Okay. This would be the stable scenario.
And you are planning to repay your debt in 2 years' time, by the cash

flow generation, right? I just wanted the clarification , in FY 26, you would reduce your current debt by about 30%, 40%, and the rest of it you would reduce in FY 27. Is that right or it would take about 3 years?
Dilip Banthiya: That's correct.
Abhijeet Kundu: So, you would be debt free in 2 years' time, right?
Dilip Banthiya: Yes, of course.
Abhijeet Kundu: Another, you are launching 2 new products in luxury segment. What happens in the upper -Prestige segment? Because the re was an expectation that you would target to launch something in the upper - Prestige segment, where the Antiquity, Blender's Pride, Signature are there. So, any plans on that?
Amar Sinha : So, I think we just mentioned that before the end of H1, we are already ready to launch the super -premium segment actually, which is on the cards. And it is a huge segment of 18 million cases, which we are targeting, growing at double digit rate.
Abhijeet Kundu: Okay. No, I had heard that, but I misinterpreted it. I thought that super - premium would be like in the leagues of Blenders Pride or for that matter, Royal Ranthambore. So, that is basically upper -Prestige segment, which you are talking about.
Amar Sinha : Yes, that's correct.
Abhijeet Kundu : Okay. That's it from my side.

Moderator: Thank you. Next question is from the line of Panka

j Kumar from Kotak Securities. Please go ahead.
Pankaj Kumar: Thanks for taking my question and congrats on good set of numbers. Question pertains to on the new launches that we are looking at. So, which are the categories where we believe would be the potential or maybe the future opportunity to launch new categories? 18 million cases, one where you talked about.
Amar Sinha : So, we are currently launching in the whisky segment, which is the super -premium whisky that we are talking about and that's a 18 million cases market which comes before the end of H1. And then we are launching 2 luxury products in Q1 itself.
Pankaj Kumar: Okay. So, with these launches, do you believe we would be done with the new launches or just expect to continue in future?
Dilip Banthiya: So, with these new launches, which will be 2 in 1st Quarter and 1 in first half, I think we, for the time being, are done with. However, the pipeline always continues to be there. But we have to see the justice to the brand launch and width of distribution.
Amar Singa: So, let me clarify this question of yours. See, Radico in the last one decade has always been working on innovations, market research, coming out with new products, filling the gaps. And this practice will continue. We are always doing research in the market and trying to build on new luxury products. But here on, anything that we do in the years ahead will only be upscale . We will keep upscaling our price and category as well.
Pankaj Kumar: The question is on the Telangana, the outstanding amount that we had from the Telangana state. So, any update on that?
Amar Sinha : So, first of all, the positive side is that the Telangana Government, for all the current supplies has been paying us regularly . So, there is nothing to worry on the receivable side, for all currently supply. We had some old outstanding dues that have started being released since last month. So, that is also positive side.
Pankaj Kumar: So, what would be the current outstanding, including the dues that you had?
Dilip Banthiya: So, the overdue of past period is below INR 100 crores. We are the lowest in the industry.

Pankaj Kumar: Okay. Sir, my last question is on the regular category. So, of course, we have seen in this quarter, we have seen very strong growth due to the RTM in AP market. How do you see FY 26 in terms of growth guidance for regular category? That is my last question.

Abhishek Khaitan: See, what he has said that our concentration is more on the P&A category, which we are confident that it will be 15% plus. And regular volumes are back so I think regular also should grow by 12% to 13%.

Pankaj Kumar: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Sanjay Manyal from DAM Capital. Please go ahead.

Sanjay Manyal: Hi sir. Congratulations on good set of numbers. Just one question I have. Largely, the way your volumes have been growing, you think that you would require to take another round of CAPEX for the further sort of increasing capacity for ENA.

Abhishek Khaitan : See, about last 2 years back, we had put up our Sitapur unit, which is one of the largest in Asia. And with this, I think we are quite self - sufficient for the next 3 to 4 years.

Sanjay Manyal: Okay. Perfect. And just on the FTA, though most of the questions have been asked on that, but which brand specifically would be in the price range where most of the foreign brands are, where you will be competing with most of the foreign bra nds of BIO category or BI I category?

Amar Sinha : So, we have Royal Ranthambore, which has been priced INR 100 higher than the largest selling Scotch whiskey brand, and we are growing by 50%. And this brand is the brand of the future , and we see great potential.

Sanjay Manyal: Okay. Perfect. That's all from my side.

Moderator: Thank you

. Next question is from the line of Anurag Jain, an individual investor. Please go ahead.

Anurag Jain: Good afternoon, sir. So, the previous participant's question on Telangana, there was an echo when management was speaking. So, it was not clear. I will just repeat the question. Like how are we placed in Telangana in terms of sales and outstanding receivables?

Amar Sinha : So, as far as Telangana is concerned, outstanding today is not so much of an issue. Whatever we are supplying, we are getting paid within the specified credit period. As far as old outstandings are concerned, we have the lowest overdue old outstanding, w hich is below INR 100 crores. And since last month, the Government has started paying us that as well. We are hoping that Telangana as a state will perform better now, because people are getting paid on time. So, the industry will g row. We are anyway growing in that state.

Anurag Jain: All right, thank you. I have one more question on the export segment. How has been the export performance of the company for FY 25 versus FY24?

Sanjeev Banga : See, FY 24, we had reached a record level. That was the highest ever. Fortunately, we exceeded that in FY 25 and we further grew , current export in terms of volume is about 5% of the total business, and in terms of value is about 9%, and it continues to grow.

Anurag Jain: All right sir. Thank you. Sir, the Australian FTA was signed about 3 years ago. How has been Radico's experience in terms of getting market access to Australia? Has the FTA really helped or is it still something work -in progress?

Sanjeev Banga : See, in terms of FTA, it was primarily on the wine. In terms of our exports to Australia, we do export our luxury portfolio, which is our Single Malt and Jaisalmer Gin. In terms of our rest of the whisky or the rum portfolio, Australia also has certain non -tariff barriers in terms of aging and maturation and the Indian whisky do not qualify for that. So, we have been in discussion with them on remov ing these non -tariff barriers.

Anurag Jain: All right sir. Thank you.

Moderator: Thank you. Next question is from the line of Vishal Gutka from ASK Investment Managers. Please go ahead.

Vishal Gutka: Yes. I think 2 questions. First is a regular segment. I think we have seen a bumper growth during the quarter. So, what shall be our expectation for FY 26, given that Andhra policy changes have helped? Shall we expect 20% -plus growth in the regular segment?
And second question is on Indian Single Malt Association, I think Radico is also a part of it. So, just want to check from you what measures as an association, we are taking so that there is no

manipulation done by other new entrants who are entering this space? Thank you.
Amar Sinha : So, I will take the Regular question. So, first of all, we must say that after 9 quarters of a bad period for the regular segment, from Q3 of last year, the regular segment has started bouncing back. Right now, since the previous year first two quarters were bad, though there is a low base , so the growth in the next 2 quarters would be healthy. And there were many issues, relating to specific states , with regard to the industry, that is also normalizing.
RTM change in AP has brought the sales back, which we see stabilizing in the year ahead. So, as we guided earlier, some time back, we hope to see the regular industry growing at about 10% to 12% in the times ahead for Radico.
Sanjeev Banga : In terms of the Indian Malt Whisky Association, Indian Single Malt is still a very nascent category. So, the 4 founding members who are the pioneers and who have been promoting and working hard in creating this category, felt there is a need to set certain standards and norms to protect the authenticity and the goodwill of Indian Single Mal

t. So,
that's what the main objective is of this. And as we go along, we are in discussion with various Government authorities to set certain specifications and standards for Indian Single Malts, so that everyone conforms to that, and we do not dilute the equity and the brand image of Indian Single Malts in the global market.
Vishal Gutka: Okay. Thank you, sir.
Moderator: Thank you. Next question is from the line of Palak from MIV Investment Management. Please go ahead.
Palak Bhanushali: Hi. Thank you for the opportunity. So, my question is again on the UK FTA. So, I completely understand your point that there's not going to be any pricing pressure. My question is that if there's a welcome move for other players to enter the Indian market, considering this ha s a very huge potential. I was listening to your morning interview in which you mentioned that you consider marketing and distribution as a very big strength of Radico. So, can the player enter the market by collaborating with a national pan -India player? And there is going to be much more choices for the customers, so we might see an increase in the competitor intensity in the segment? I just want to know your thoughts on this.

Amar Sinha : So, if I understand you correctly, you are asking can the foreign brands, the smaller brands, take up national distribution with Indian players.
Is that right?
Palak Bhanushali: Yes, in partnership with the national players.
Amar Sinha : No. So, let me tell you, today, as far as the national players are concerned, Radico is the largest, and there are 1 or 2 other players, but today, I think the possibility of any smaller company coming and taking up with them seems to be remote. So, we d on't see that as much of a threat, and they will not be brands which are of significant value, because they would not be among the largest -selling brands which are already present in India.
Palak Bhanushali: Okay. Got it. Thank you.
Moderator: Thank you. As we have no more questions, we close the call and hand

over to the management for closing comments.
Dilip Banthiya: So, moving forward, we will continue to deliver a strong P&A volume growth, driven by our diverse brand portfolio. Secondly, we will further develop our luxury brand s portfolio. This will be a major contributor to our profitability. Furthermore, we are focused on ensuring that the capacities operate a s efficient as possible. This will enable us to generate cash, repay debt, and return cash to the shareholder s.
We look forward to interacting with you on our next earning s call. In the meanwhile, if you have any queries, please follow up with us.
Please feel free to write to us. Thank you.
Moderator: On behalf of Dolat Capital Markets Private Limited that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited to improve readability.
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Call: Aug 2025

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RKL/SX/202 5-26/43 August 7, 202 5

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Symbol : RADICO

Subject: Transcript of Earnings Conference Call

Ref: Disclosure under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Dear Sir/Madam,

In continuation to our letter no. RKL/SX/2025 -26/36 dated July 24, 2025 and pursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Earnings Conference Call for Analysts and Investors held on August 1 , 202 5 for the Quarter ended June 30, 202 5

The transcript is also being disseminated on the Company's website at http://www.radicokhaitan.com/investor -relations/

This is for your information and records.

Thanking You,
For Radico Khaitan Limited

Dinesh Kumar Gupta
Senior Vice President - Legal & Company Secretary

Email Id: investor@radico.co.in

Encl: A/a

(BSE: 532497; NSE: RADICO)

First Quarter FY202 6
Earnings Conference call
August 1, 202 5

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Amar Sinha, Chief Operating Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and gentlemen, good day and welcome to Radico Khaitan Limited Q1 FY26 Earnings Conference Call, hosted by DAM Capital Advisor Limited.
As a reminder, all participants' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressi ng "*", then "0" on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjay Manyal from DAM Capital Advisor Limited. Thank you and over to you, sir.
Before we begin our presentation, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation f or the detailed disclaimer.
Sanjay Manyal: Thank you. Good afternoon, everyone. We would like to thank Radico Khaitan Management Team for providing DAM Capital with the opportunity to host Q1 FY 26 Earnings Call.
We have with us the Senior Leadership Team from Radico Khaitan, Mr. Abhishek Khaitan – Managing Director, Mr. Amar Sinha – Chief Operating Officer, Mr. Dilip Banthiya – Chief Financial Officer and Mr. Sanjeev Banga – President , International Business .
I hand over the call to Mr. Abhishek Khaitan for his opening remarks. Over to you, sir.
Abhishek Khaitan: Good afternoon, ladies and gentlemen. Thank you for joining us on our Q1 FY 26 Results Conference Call.
Before we begin discussions on Q1 FY 26 results, I would like to provide a brief update on the UK -India FTA . The negotiations between the two governments have been finalized and a Comprehensive Economic and Trade Agreement has been signed. In line with expectations, duty on bulk scotch has been reduced from 150% to 75%. We have estimated our Scotch requirements valued at over Rs . 250 crores in FY 26 and we expect significant cost advantages from this development. Thereafter, the duty will be reduced in nine equal installments to settle at 40% in

the 10th year. In three years, we expect the import of scotch of Radico to cross Rs . 400 crores.
Moving on to the Quarter Performance . The first quarter of FY 26 has set a strong and encouraging tone for the year ahead. Building on the momentum from the second half of last year, we have seen sustained strength in our performance. Our strategic focus on brand premiumization continues to resonate with consumers across markets. In Q1, we delivered our highest -ever quarterly volumes, net sales and profitability. IMFL volumes grew by an impressive 37.5%, led by strong demand for our premium portfolio. A stable raw material environment and a favorable product mix supported healthy y ear-on-

year margin expansion.
We entered FY 26 with important brand milestones that further strengthen our premium portfolio. One of the key highlights was the launch of Morpheus Super Premium Whisky, which marks our foray into the fast -growing super premium whisky segment. This is a high -margin category where we were not present. With this launch, we are not only leveraging the equity of the Morpheus brand but also broade ning our presence in the upper end of the whisky category. Initial response has been very positive, with growing tertiary offtake and strong consumer feedback on both the product and its packaging. We are planning to launch in 10 states in the second half, which covers 70% of this industry.
Another notable launch is The Spirit of Kashmyr , a luxury vodka that builds on our leadership in the vodka space. It addresses a clear gap in the market by introducing a premium Indian offering in a segment traditionally dominated by imported brands. Distilled wi

th exceptional
purity and backed by a co mpelling brand story, The Spirit of Kashmyr aspires to scale globally and position India on the world luxury vodka map. This launch reflects our continued ambition to build world -class homegrown brands with international appeal.
Our broader premium portfolio continues to deliver strong results. Royal Ranthambore, operating in the Bottled in India Scotch category, has delivered an exceptional 90% growth this quarter. The brand continues to gain strong consumer acceptance, with disc erning whisky enthusiasts increasingly choosing it for its craftsmanship, rich blend profile, and premium packaging.

Magic Moments, our flagship vodka brand which crossed 7 million cases last year, posted another solid quarter with 20% volume growth.
After Dark Whisky entered a dynamic new phase in 2022 with the introduction of After Dark Blue, designed to resonate with a younger, contemporary audience. Since then, the brand has maintained its strong upward trajectory. This brand sold 1.9 million cases last year and is on track to double that volume in this fiscal.
Our luxury and semi -luxury brands delivered nearly 50% year -on-year value growth during the quarter. We are on track to achieve our guidance of Rs . 500 crores revenue from luxury and semi -luxury brands in FY 26.
These results are a testament to the strength of our strategy and the disciplined execution by our team. We remain sharply focused on driving profitable, sustainable growth through continued premiumization, deeper market penetration, innovation -led approac h, and operational efficiency.
The Indian AlcoBev industry is undergoing a structural shift from traditional consumption patterns to a more lifestyle -driven category. With rising affluence, evolving preference, and increasing demand for elevated experiences, we see substantial long -term opportunity in the premium and luxury segments. At Radico Khaitan, we are well -positioned to capitalize on this transformation.
Given the strong growth momentum, we are poised to deliver 20% plus overall volume growth in FY 26 with robust contribution from the prestige and above category. This coupled with enhanced profitability and a persistent focus on cash flow generation will drive long -term value creation for our shareholders.
With this, I would now like to hand over the call to our CFO for a detailed operational and financial review. Thank you everyone and over to you, Dilip.
Dilip Banthiya: Thank you, Abhishek. Thank you everyone for joining us on this call today.
During Q1 FY26, we reported total IMFL volume of 9.72 million cases, representing a growth of 38% on year -on-year basis. This is the highest ever volume recorded by Radico Khaitan in a quarter. Prestige and

above category volume grew by 41%. In value -terms, the prestige and

above category registered 43% growth. Non -IMFL revenue grew by 12% on year -on-year basis.

Regular category volumes which were impacted due to certain state - specific industry -related issues and ongoing strategic rationalization of the portfolio have now returned to a sharp growth trajectory from Q3 of last year. This momentum is expected to sust ain in next quarters also.

We continue to see strong traction for our brand portfolio in Andhra Pradesh and have gained market share from 10% in the first half of FY25 to over 28% in Q1 of current financial year, which is highest in the industry.

Gross margin during the quarter was 43% as compared to 41% in Q1 of last year and 43.5% in Q4 of last year. Gross margin improved on year -on-year basis due to the ongoing premiumization in the IMFL business, coupled with relatively stable raw material scenario. Gross margin remain ed broadly stable on quarter -on-quarter basis due to higher bulk alcoh ol sale in this quarter.

EBITDA margin expanded from 13 .0% in Q1 LY to 15.3% of this quarter. Despite higher marketing spend , we have seen economies of scale benefits. We are optimistic that the pricing scenario for E NA and grain will remain stable going forward during FY 26. We are on track to achieve our margin expansion guidance.

Net debt reduced by Rs. 164 crores since March ‘25, mainly on account of profitability and working capital reduction. With limited Capex going forward, we expect to be almost debt -free by FY 27.

Going forward, our focus will remain on driving profitable growth, enhancing cash flow generation, and improving working capital efficiency, all of which will contribute to continued debt reduction.

With this, we will now open the lines for Q&A.

Moderator: Thank you very much. We will now begin with the question -and- answer session. The first question comes from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Good evening and thanks for the opportunity. Sir, two questions from me. Firstly, in terms of the marketing spend, you indicated that marketing spend has gone up, which is to be expected when you are

launching premium brands. But can you give us a sense of where these marketing spends are being spent in terms of obviously in -store marketing, any social media activi ty, or anything of that sort?

And then secondly, could you elaborate if there's any sort of stocking up before the Maharashtra duty change or anything of that sort in this quarter's numbers? And just a broader question on that, if you can quantify the impact or potential impact from Maharashtra on your numbers. Thanks.

Abhishek Khaitan: See, as far as the marketing spend goes, we have always maintained that our marketing spend is in the range of about 7% to 8% of our IMFL revenue . And that we have seen in the last couple of years also, so I think we will be maintaining that. And as the marketing spend goes, our main focus on marketing is more on digital space. Second is on the shop visibility, on trade, and also , on events. So, basically, these are our basic marketing spend where we concentrate in terms of priority. So, digital, on trade, events, these are our marketing spends.

The second question about Maharashtra, the s tate contributes only 4% to 5% of our volumes. And there has been no stocking in this quarter, as far as our volume growth goes, so there is no effect on the stocking part. With this , we do not expect much of effect on our profitability going forward.

Aditya Soman: Understand, very clear. And if I may just follow up on the marketing spends. So, is there any sort of shift in marketing now that you are, as you mentioned, as you are focusing more on digital, is that a marked shift? And is that a big competitive advanta ge for you on shifting or using more digital platforms? Or do you see all the other marketers use that as well?
Abhishek Khaitan: See, it all depends. See, marketing is all relative. Sometimes if you want to market, you market in IPL, etc. So, in Radico, like last seven years we have out performed the industry. Like right now we have done a huge promotion across eight airports where we have taken positions for our luxury brands, where for months we have taken like dedicated spaces showcasing India's luxury brands, like especially going on Bombay, Delhi right now. So, I think every company follows a different marke ting strategy. But our thing is, we think global, act local. So, our lot of marketing spend goes state specific, because each culture, each state in India is different. South India is different, North is different. So, we go as per the regions.

Aditya Soman: Understand. Very clear. I will come back in the queue for more questions. Thank you.
Moderator: Thank you. The next question co

mes from the line of Dhiraj Mistry from ICICI Securities. Please go ahead.
Dhiraj Mistry: First of all, congratulations on a very good set of numbers. Sir, my first question is regarding volume growth , that we have seen very 40% plus volume growth. If we adjust for let's say reopening of Andhra Pradesh or let's say North of India, what would be a normalized volume growth during the quarter?
Dilip Banthiya: So, if we adjust apple -to-apple Andhra Pradesh, then the volume growth in P&A category is higher . And overall volume growth is around 12%.
Dhiraj Mistry: Got it. And I think this low base would continue till December quarter, if I am not mistaken, right?
Dilip Banthiya: Yes, this base effect will be Q2 and Q3 partly.
Dhiraj Mistry: Partly Q3 also ? Sir, thank you very much. And second question is in terms of margin that, now that non -IMFL business has been doing very well, what kind of margin we are witnessing in non -IMFL business right now? And is there any further scope of improvement of margin in that business?
Dilip Banthiya: Yes. So, the point is, in the quarter the non -IMFL business as a total kitty is around 7.5% to 8%. And IMFL margins are upward of 18%. Going forward, with the grain and other commodities showing some softening trend, we expect improve ment in non-IMFL margins as well.
Abhishek Khaitan: If you see, last year our margins were 13.8%, for the quarter and now, it is 15.3%. So, I think for the next three years , we expect , unless something very drastically happens on the commodity side, a margin expansion of 125 to 150 basis points year -on-year for the next three years. So, we come to the late teens.
Dhiraj Mistry: Okay. So, sir, your earlier guidance was somewhere around 100 basis points of margin expansion, now you are increasing that to 125 to 150 basis points. Is that correct?
Abhishek Khaitan: Yes, that is correct. Because our premium brands are doing exceptionally well. Plus, you have seen with the volume growth and

with everything, the operating leverage comes into play because you do not need to increase so much of manpower , other fixed costs. And we are seeing superb traction. And what is happening, like even if you see, we control 60% of the vodka market in the country. And globally, vodka is 28%. Whereas in India, it will be only about 3.5% to 4%. So, we are seeing a gradual shift happening to vodka, where Radico is in the biggest advantage space. And vodka always gives you a higher margin than any other product. So, I think if God willing everything goes well, and we do not experience any major [raw material] shortages which happened last to last year, we feel that 125 to 150 basis points is possible.

Dhiraj Mistry: Got it. And last question is on Morpheus volume that we have launched. So, as per my thinking is that this category is very profitable in a way. Also , in a way it can drive very good volume growth. So, what's the internal aspiration for this Morpheus whisk y? What kind of volume growth do you envisage in next two to three years period of time? Which would be the key focus states for that brand?

Amar Sinha : So, first of all, I must tell you that the segment itself, as of today this is a 17 million cases plus segment. The growth rate is approximately 15%, a strong double digit growth rate of this segment. All the key states, like say, for example, Karnataka, Maharashtra, Rajasthan, Haryana, Delhi, these are all big states, UP. These are all very big states for the segment.

Having said this, like we said, we have launched it technically in the super premium whisky segment, but here we were always unrepresented. This was the only [whisky] segment we were unrepresented. And this is the first launch in this segment that we have done starting from UP. The response that we have seen in terms of primary sales, the response that

we have seen at the tertiary level,
whichever outlet we have gone to say about 1,000 -plus outlets, every shop has shown strong tertiary demand by the consumer. So, the first feedback is extremely positive. And we are very optimistic that we will see the same response across India.

Now, having said this, we must also reiterate that this has been launched as the most expensive super premium whisky in terms of price positioning or consumer price. It is Rs. 150 more than the most expensive competitive brand in this segment. With this launch, Radico has made a foray into the largest contribution pool of the IMFL

segment. The blend is unique. It's a mix of imported scotch malts, the finest Indian grain spirits and is aged in bourbon barrels. We hope that this is a complete winner in the segment. And we are very optimistic that we will carve out a dominant position in the next couple of years for this brand.

You would also know that Royal Ranthambore launched three years back at a price higher than the largest selling scotch whisky . Today, it is growing at a rate between 90% to 100% year -after -year. And it's become a brand that is being demanded by the consumer in practically every corner of this country. Demand is flowing in from overseas as well.

So, Ranthambore is a sure shot winner that we see. Morpheus Whisky is something that shows great traction. And Abhishek talked about The Spirit of Kashmyr , I think that's a brand to look out for in the luxury vodka segment, which was long dominated by international brands. This is a matter of pride for India to launch a product in this segment. And we have ambitions to take this brand global.

Dhiraj Mistry: Very well said . Sir, just last question on this part, that we do not have any capacity constraint in the luxury segment, we have enough capacity to cater the demand.

Abhishek Khaitan: See, as far as the single malt goes, we have spent a lot of money, we have tripled our capacity a few year s ago . I think as the liquid flows, we would be able to cater to the demand. And if the demand is more we will keep investing in single malt space . As far as the other brand goes, we do not have any capacity constraint because we have done our Capex of Sitapur, which is the largest plant of Asia. So, I think capacity would not be a constraint for us.

Dhiraj Mistry: Got it. Once again, congratulations on a good set of numbers. Just one thing, what would be the due from Telangana market? And that would

be my last question. Thank you.
Amar Sinha : So, let me tell you, in Telangana our over due is roughly Rs. 90 crores and we are the lowest in the industry. There has been slow progress. But the good thing about Telangana is that whatever supplies we are making now in the recent times, we are getting our money on time. And I am sure that Telangana government will very soon clear the balance as well.

Dhiraj Mistry: Thank you. That's it from my side.
Moderator: Thank you. The next question comes from the line of Harit Kapoor from Investec. Please go ahead.
Harit Kapoor: Good evening. So, my first question is on After Dark. I remember this being a fairly old brand in your portfolio now, while you had launched this along with another brand called Regal Talons and you were kind of doing the regional play here. But in the last two to three years, this brand seems to have really exploded in terms of growth. Could you just take us through as to what have been the variables to have driven this significant growth in this brand over the last, say, two and a half years? That'd be very helpful. That's my first question.
Amar Sinha : So, good question. We were expecting this to come. See, in fact, After Dark was a sleeping giant in our stable. And a couple of years back we were always eyeing the semi -lu

xury, luxury segments, the premium segments. So, we were working very hard on those segments because we wanted to earn profit for our shareholders. But what we have seen of late is that this has emerged as the largest segment of the Indian IMFL industry. Its 70 million cases, industry growing at about 15% to 16%. And we feel that there is a big opportunity because we are practically represented with our range of products, with Morpheus Whisky now being launched, we are now represented in almost every category and segment of the IMFL industry.
So, one fine day while we were looking at promoting the luxury and semi -luxury, we thought we should not overlook this because we already had a brand. We repositioned it with excellent packaging, a change in the look and feel with upgradation in the blend. And ever since then the brand has not looked back.
In the first year itself, we did 9 lakhs. In the second year, we grew by more than 100% to 1.9 million. And in the current year, FY 26, we hope to double our volumes very easily. The brand is showing great traction. It is in the segment which is currently held by brands like IB and McDowell's. And I think it is emerging as a competitive force in this segment. We are very optimistic tha t we will be a good player in this industry with this brand.
Harit Kapoor: Just to follow up, is the aspiration now national for After Dark? Is it across markets? I just wanted to get an update on that.

Amar Sinha : So, as far as we are concerned, After Dark is already available in 14 states. And now we are going to take it across 24 states in the next six months. We are going to launch it national .
Abhishek Khaitan : I want to add on the After Dark is when we repositioned it, repackaged it, reblended it, we started with selective states. But whichever state it has gone, the response is so good that now in this current fiscal , we will take it all India. So, the brand is showing a very fast movement.
Harit Kapoor: Second question was on the state -wise regulation. So, we have seen Maharashtra being negative for the industry. Andhra Pradesh, Uttar Pradesh over the last six, eight months actually positive. Just wanted to get a sense check on, are there any other state s where the regulatory environment has been this side or that side over the last say quarter or so that might have kind of missed us because really all the news has been taken up by Maharashtra and UP and Andhra?

Amar Sinha: See, first of all, it's very important to state that UP and Andhra today are faring well with their excise policies. It's giving every player operating in this country an opportunity to be present in every segment and category. So, the excise policies are extremely good and favorable to the industry, whether Indian or foreign players.
Having said that, as far as Maharashtra is concerned, yes, we see that there is going to be an increase in the consumer price for the brands. But then we have always seen in the past that like what we saw in Karnataka, they experienced that the consumer p rice of their brands in Karnataka were the highest in the country. And then when they started seeing growth in adjoining states, then they realized that they need to rework on them, which they did.
Now, in Karnataka, premium brands have started growing and doing pretty well. We used to be only 4% of our premium portfolio in Karnataka last year. Today, our premium portfolio, the saliency is 15%. So, as far as Maharashtra is concerned, we feel that it is too early to comment on what the outcome will be . But in this business, water finds its level. I think every state government does not want today to lose on revenue . So, I am sure if it does not work, they will relook at the entire strategy or the policy. But we are hopeful that Radico will find a way to maneuver through the intricacies of this policy

.
Harit Kapoor: Couldn't agree more. The last question was on CAPEX. So, for this year, Dilip ji, what is the kind of number that we are looking at for FY 26?

Dilip Banthiya: So, now our Capex average run rate will be around Rs. 150 crores to Rs. 160 crores annually for next two years.
Harit Kapoor: And is this largely maintenance or there's some addition as well?
Dilip Banthiya: Yes, it is related to the brand and malt .
Harit Kapoor: Got it. Wish the team all the best. Thank you.
Moderator: Thank you. The next question comes from the line of Abhijeet Kundu from Anti que Stock Broking. Please go ahead.
Abhijeet Kundu: Congrats on a really great set of numbers. Very strong outperformance. My question was, one, what was the thought process behind your super premium whisky launch? I mean, the name of the whisky has been Morpheus. Morpheus was more about Morpheus brandy. So, what was the thought process behind naming whisky as Morpheus? One was that.
And secondly, in Maharashtra, we are not still very clear. At least, I am not still very clear about how the duty structure has been, because what we are made to know is that the tax increase has been higher in the entry level prestige and above and mid -level prestige and above. So, just some color on that I wanted to get from you. These two are my questions.
Amar Sinha: So, let me tell you what's happening, first I will answer the Maharashtra bit of the question. See, the fact is the changes have taken place which are drastic in terms of policy. But practically, most brands that sell in huge numbers are still thinking of pricing their products between Rs. 200 to Rs. 250 to the consumers. And this price band is not unique . It's been there at some point in time, either in Maharashtra or in Karnataka or in any part of the country.
So, as I said, that yes, the changes are drastic. But then we need to see it's too early to comment as to how the market will react. But we are hopeful that the Maharashtra market is very sensitive, because it's surrounded by states like say, for example, Daman, Madhya Pradesh, Rajasthan, Goa. So, if the policy does not work internally, the brands from other states are going to flow in, the government will lose revenue, and then they will take corrective action. So, as I said, you know, the water will find its level. But today, what we see that most large selling brands are trying to price them between Rs. 200 to Rs. 250 rupees a nip, which will work. Let's see what happens.

Coming back to your first question, which is Morpheus name. See, first of all, it's important to say that Morpheus brandy is the only product in the premium segment of brandy which enjoys a market share of over 60%. The brand equity for this category is extremely strong. In fact, five years back, we decided to make brandy a national product. So, we extended Morpheus to other parts of the country, to the north, west and east.
Today, we are the only national premium brandy in the IMFL category. For three successive years, we have sold more than 1.2 million cases. And the growth continues to be seen in our current year as well. So, that's the kind of equity with all marketing, all activation that we have done for the Morpheus brandy.
We were deeply inspired by the brand positioning ‘Dare to Dream ’. And that's what we wanted to extend to Gen Z and the younger generation, because that's a subject matter, which is dear to the heart of all youngsters today. And Morpheus whisky is positioned in that super premium segment, which is now almost becoming the entry segment of all affluent consumers. So, that was the inspiration we view.
With Morpheus Brandy we said ‘Dare to Dream ’. With Morpheus Whisk y we are saying ‘Be Your Dream ’. So, I think that's where it comes from. And that the

campaigns have worked out very effective ly for it.
The initial response, as I said, is very encouraging. We are very hopeful that this is a serious challenger in the IMFL premium whisk y segment in the times ahead.
Abhijeet Kundu: Understood. And another thing, I do not know whether you would be able to comment on this or not, but what would be the value contribution of your luxury segment, including Royal Ranthambore? I mean, across the board, all your whisky and vodka offerings taken together, what would be the value contribution?
Dilip Banthiya: As we have guided in Q4 of last year, from the luxury segment, the contribution to the IMFL business was around 10%, which is roughly Rs. 350 crores . And this year, we are going to cross more than Rs. 500 crores from luxury and semi -luxury.
Amar Sinha : And the value [growth] of semi -luxury and luxury is 50% right now in this quarter.

Abhijeet Kundu: And the gross profit margin would be substantially higher as compared to, obviously, I mean, the lower segments, the P&A segment?
Amar Sinha: Much higher. The important point here is that most of our luxury and semi -luxury brands are still at the nascent stage. So, the future seems to be very bright for these brands based on the traction that we are seeing.
Abhijeet Kundu: Yes, because this 50% growth could go on for like the next few years. I mean, the kind of underlying demand, which is there, and there is not much serious competition, so to say. I mean, there is, but you have carved out a very strong product offering there and have outperformed.
Abhishek Khaitan : Actually, I have always believed in one statement that to make the first million is tough, after that millions follow. So, same thing in alcohol, like say Royal Ranthambore if you are targeting next year half a million cases. So, when so many people are drinking it becomes a brand and people want to drink the same brand. Same thing has happened with Jaisalmer. Rampur has not touched the surface only. So, I think luxury and semi -luxu ry, which I am super confident is ‘The Spirit of Kashmyr’, and there are one or two more brands which are in the offering in the near term. So, I think the luxury, semi -luxury story has just begun.
Amar Sinha : And the innovation pipeline is very strong at Radico. So, a lot of products are being worked upon.
Abhijeet Kundu: Sir, that is great to hear. And what has been the response of Sangam?

Sangam, I believe, would be in the product offering of Monkey
Shoulders, is that right to say? I mean, because it is a confluence of
many mal ts, so would that be the product offering?
Abhishek Khaitan : Yes, you are right. The price of Sangam would be about Rs. 5,000 and
the response is fantastic. It is available in 13 states . It is showing great
traction. The response is very good from the consumer side. There is
quite a bit of repeat demand. So, we feel that the brand is poised to
grow in the years ahead.
Abhijeet Kundu: Great to hear. Thanks.
Moderator: Thank you. The next question comes from the line of Pankaj Kumar
from Kotak Securities. Please go ahead.

Pankaj Kumar: Yes, thanks for taking my question and congrats on a very good set of
numbers. Sir, the question is on the non -IMFL category. In this quarter,
we have seen this is more than Rs. 400 crores kind of contribution. So,
how do you see with 12% growth? And how do you see this as a
segment contributing in the coming quarters and year ahead?
Dilip Banthiya: So, at present, the run rate is around between Rs. 400 crores to 420
crores. In country liquor , we expect 4% to 5% growth. Other than that,
the bulk spirit which will get converted into the branded business
slowly and gradually in three to four years, so we expect a single digit
growth in the non -IMFL from 2026 onw

ards.
Pankaj Kumar: Sir, on this working capital that has basically improved in this quarter,
so what led to that change? Is it largely driven by UP? And what has
changed there?
Dilip Banthiya: Yes. So, working capital - one, it is cyclical. We build stocks during the
season which gradually get liquidated over the next six months .
Secondly, yes, you are right - in UP, the excise duty has now been
passed on to the wholesaler, so that is also gradually reducing the
working capital stakes there .
Amar Sinha: So, that's definitely resulted in the reduction of the working capital. But
in any case, across the country, we are exercising huge discipline while
the sales are growing.
Pankaj Kumar: And sir, my last question, as you stated that one or two more brands
which are there in the offering. So, which category you believe where
we are not into, and we need to add these? And what is the time frame
for these launches?
Sanjeev Banga: See, in terms of the new brands, we are now with Morpheus Brandy
as well available across on all segments. So, we are working on how
we can further strengthen our participation and offerings in whether
the brown spirit or white spirit. So, we are working on all of this. And
in fact, all our products have been internationally also very well
received. I will be happy to share that Rampur is the official partner of
Michelin Guide for Dubai and Abu Dhabi as well. So, it shows the kind
of recognit ion and acknowledgement that all the international players
are putting on Rampur Indian single malt.
Pankaj Kumar: Okay. Thank you. These were the questions.

Moderator: Thank you. The next question comes from the line of Anuj from
Antique Stock Broking. Please go ahead.
Anuj: Hi, team. Congratulations on the great set of numbers. Two questions
from myself. Earlier in the call you had mentioned optimism in the
vodka segment, has there been any specific market indicators which
has encouraged our expansion in the premium range with ‘The Spirit
of Kashmyr ’? Secondly, in the regular segment, in the previous
quarter, you had mentioned that we had achieved 23% market share
in Andhra Pradesh, how is that moved in this quarter? And how are we
seeing the trend , per case realization for the regular segment shaping
up in the coming quarters?

Abhishek Khaitan: See, to answer your first question, I think there would be no brand anywhere in the world which commands a market share of 58% to 60% in the vodka segment, which is Magic and now 'The Spirit of Kashmyr', as Amar was saying earlier, it is going to compete with the imported multinational brands. And I think once you see the packaging, and more than the packaging, if you taste the blend, which I always tell is the heart of any of the produ cts, I think this blend would be one of the best blends . And we are very confident that with the pricing what we have taken, it should make a big impact on the industry. Right now, we have started with the state of UP. And gradually, again, as we have done for Morpheus whisky, in the current year we will take it to 10 states.

As far as Andhra Pradesh is concerned , we are growing stronger and stronger. So, in the current quarter, our market share was 28% and the brands are doing exceptionally well. So, to have 28% is a big achievement anywhere. It's highest in the industry. We are clearly the number one. So, that is what we believe that hopefully Delhi, then the most awaited after the election is Bihar, they open up. Tamil Nadu opens up. So, I think like how Andhra has opened up, we ar e quite hopeful Bihar, if the government changes, it becomes wet. Delhi, definitely the policy has to change, where again it can be a very big moment for all the liquor companies, especially the national companies, especially for Radico. So, these three are the positives which can change the game like Andh

ra.

Anuj: Thank you. Great clarity. And good luck for the upcoming quarters.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Thank you and over to you.

Dilip Banthiya: So, thank you everyone for joining us. Moving forward, we will continue to deliver a strong prestige & above category volume growth, driven by our diverse brand portfolio. Secondly, we will further develop our luxury brand portfolio, which we see as a major contributor to our profitability. Furthermore, we are focused on ensuring that our capacities operate as efficiently as possible. This will enable us to generate cash, repay debt and return cash to the shareholders.

We look forward to interacting with you on our next earnings call. In the meanwhile, if you have any queries, please follow up or feel free to write to us. Thanks a lot.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Note: This transcript has been edited to improve readability.

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RKL/SX/202 5-26/70 November 6, 202 5

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Subject: Transcript of Earnings Conference Call

Ref: Disclosure under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Dear Sir/Madam,

In continuation to our letter no. RKL/SX/202 5-26/60 dated October 24 , 2025 and p ursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Earnings Conference Call for Analysts and Investors held on October 30 , 2025 for the Quarter and Half Year ended September 30, 2025 .

The transcript is also being disseminated on the Company's website a t http://www.radicokhaitan.com/investor -relations/

This is for your information and records.

Thanking You,
For Radico Khaitan Limited

Dinesh Kumar Gupta
Senior Vice President - Legal & Company Secretary

Email Id: investor@radico.co.in

Encl: A/a

Second Quarter and Half Year FY202 6
Earnings Conference call
October 30, 202 5

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Amar Sinha, Chief Operating Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and gentlemen, good day, and welcome to Radico Khaitan Limited Q2 FY 26 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjay Manyal. Thank you, and over to you, sir.
Before we begin our presentation, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation f or the detailed disclaimer.
Sanjay Manyal: Thank you. Good afternoon, everyone. We would like to thank Radico Khaitan's management team for providing DAM Capital with the opportunity to host Q2 FY 26 earnings call. We have with us senior leadership team from Radico Khaitan, Mr. Abhishek Khaitan - Managing Director , Mr. Amar Sinha - Chief Operating Officer , Mr. Dilip Banthiya - Chief Financial Officer , and Mr. Sanjeev Banga - President, International Business.
I hand over the call to Mr. Abhishek Khaitan for his opening remarks. Over to you, sir.
Abhishek Khaitan: Good afternoon, ladies and gentlemen. Thank you for joining us on our Q2 FY 26 results conference call.
Second quarter sustained the strong growth momentum we have seen over recent quarters, reaffirming the success of our premiumization strategy and disciplined execution. Building on a solid first quarter, our brands continue d to witness robust consumer traction across all markets, delivering an impressive 37.8% volume growth , with the Prestige & Above segment growing by 21.7%, recording highest ever quarterly P&A volume.
Magic Moments Vodka maintained its strong growth trajectory with nearly 20% volume growth, achieving sales of around 2 million cases during the quarter. Strengthening the Magic Moments portfolio, we

introduced Jamun SpicyMint under the flavors of India range. Following the overwhelming response to Alphonso Mango and Thand ai, this new variant further reinforces the brand's commitment to promoting India's vibrant spirit through bold , homegrown innovation.
After Dark Whisk y continued to deliver remarkable performance, recording 115% growth year -on-year in the first half. Last year, it delivered volume of 1.9 million cases and in the first half, it crossed 1.5 million cases. The brand has expanded its footprint to 18 states, reinforcing its national presence and bringing the brand closer to consumers across the country. With sustained marketing investments,

we expect this momentum to continue in the coming quarters.
Royal Ranthambore Whisk y also delivered an outstanding performance with 67% growth in Q2, driven by strong demand across both civil and CSD channels. The brand achieved a 10% market share in the CSD segment during September 2025, underscoring its growing acceptance and strong consumer resonance.
Morpheus Super Premium Whisk y is now available in 3 states and initial response to the brand has been very encouraging, though we have priced at higher than peer's brands in the same segment. We plan to take it to 10 states during FY 26.
Our new age luxury vodka, The Spirit of Kashmyr, India's first homegrown brand in this category , continues to gain traction. Designed to meet the rising demand for culturally rooted premium experiences, it is now available in 7 states, with early consumer feedback being extremely encouraging.
In the luxury segment, Rampur Indian Single Malt, Sangam World

Malt
and Jaisalmer Indian Craft Gin continues to deliver robust performances. This is supported by our focused efforts to expand presence across both off -trade and on -trade channels.
While the global trade environment presented short -term challenges for exports, our robust domestic portfolio continues to demonstrate the strength and agility of our business model. As Indian consumer aspirations evolve and regulatory reform advances, we are well positioned to capitalize on the opportunities ahead.

Our innovation -led approach, balanced portfolio and sharp focus on premiumization continue to lay the foundation for sustainable growth and value creation.
Looking ahead, we remain confident of delivering strong double -digit growth in the Prestige & Above category, enhanced profitability and a continuous focus on cash flow generation, all contributing to long -term value for our shareholders.
With that, I would now like to hand over the call to our CFO, Dilip Banthiya, for a detailed review of our operational and financial performance. Thank you. Over to you, Dilip.
Dilip Banthiya: Thank you, Abhishek. Thank you, everyone, for joining us on this call today.
During quarter 2 of FY 26, we delivered a strong all -around performance with total IMFL volume of 9.34 million cases reflecting a 38% year -on-year growth. This is clear validation of the strength and balance of our portfolio.
Prestige & Above category continued steady upward trajectory, recording 22% volume growth and 24% value growth , with reali sation improving by 2.1% on a year -on-year basis.
Our regular category volume grew sharply by 80% in the quarter. After 9 quarters of degrowth, this segment returned to a strong growth path starting from quarter 3 of last year and the momentum has continued in the first half of FY 26. The change in route to market in Andhra Pradesh was a key driver of this rebound, supported by our agile execution and strengthened brand availability.
Our performance in Andhra Pradesh has been particularly encouraging with our market share increasing from around 10% in first half of last year to over 30% in quarter 2 of FY26, making us the leading player in the state.
On the profitability front, gross margin stood at 43.6%, flat on Y -o-Y basis and up from 43% in quarter 1 of FY26. The stability in margin s reflect a benign raw material environment and our disciplined cost management even as the mix tilted towards the regular segment this quarter. We remain optimistic that ENA and grain prices will stay stable to favorable for the rest of FY26, providing continued margin support.

Our A&SP investment were at 6.1% of IMFL revenue compared to 5.6% in second quarter of FY 25. While quarterly variations are expected due to the campaign timing, we continue to guide for A&SP spending in the range of 6% to 8% to sustain strong brand visibility and growth.
EBITDA margin expanded by 126 basis points on a year -on-year basis to 15.8%, reflecting operating leverage benefits.
Turning to the balance sheet. Net debt reduced by Rs. 146 crore since March 2025, driven by improved profitability and tighter working capital management. The sequential increase versus June 2025 was mainly on account of dividend payout and acquisition of stake in D'YAVOL Spirits . Our balance sheet remains strong and w e are well on track to become debt -free by FY 27.
With this, we'll now open the lines for questions. Thank you.
Moderator: The first question is from the line of Harit Kapoor from Investec. Please proceed.
Harit Kapoor: Just a couple of questions from my end. So , on the P&A side, again, last couple of quarters, the trajectory has actually accelerated. So if you can just talk about in the first half this year, which are the brands have kind of

driven this 1H growth, because if you look at in absolute volumes also, you've seen a dramatic jump up, 40% and 22%. And Andhra is not a very large P&A market. So it's really happening from core markets, core brands. If you could just talk a little bit about which are the key brands that are driving this upward? That's my first question.
Amar Sinha: First of all, what is most important is that the P&A segment is largely being driven by brands like Magic Moments, which is seeing a huge growth. It's growing at about 20% and the best part about the Magic Moments family is that, in FY 24, we did 6 million cases . FY25, we did 7 million. And this year, the rate at which it is growing, we feel that we will be adding another 1 million. So, our vision is over the next 3 years to see Magic [Moments] come up to 10 million cases, one.
Two, Royal Ranthambore brand has grown by 67% plus in Q2, which is a huge growth. This brand, despite its premium positioning over the largest selling scotch whisk y, has gained traction and acceptance by the consumers in India and quite a few markets overseas as well. So Royal Ranthambore, Magic Moments and then , After Dark.

After Dark is a brand which like Abhishek mentioned, in FY 25, we did 1.9 million cases. And this year, we have already , in the first half done 1.5 million cases. This is a huge segment of 75 million cases, and our ambition to take this forward, get dominant market share continues.
So, these are 3 most important brands that are driving the growth.
Over and above all this, this is all going to be fueled by the fact that we've launched 6 new brands in Q2, which is Morpheus Whisky, the Spirit of Kashmyr 2 variants, Natural and Saffron and then flavors of India in the Magic Moments category, which is Mango, Thand ai and Jamun SpicyMint .
And coupled with all this, we have also launched 8 new SKUs in the Prestige upwards, semi -luxury and luxury, which are the small SKUs of Rampur Double Cask, Sangam World Malt, 1999 Spirit of Victory, Magic Moments Pink Vodka and After Dark Blue celebration pack and pocket pack. These are all small packs that are going to fuel the consumer drive of our Prestige & Above brands. And this is going to, therefore, reflect in the times ahead in terms of growth.
Harit Kapoor: Great. Fantastic. And the second question was on the luxury and semi - luxury portfolio. I think last year, you mentioned Rs. 340 crores number for the full year. And this year, you have had a target of Rs. 500 crores. So, I just wanted to know, obviously, H2 is typically higher for the business , overall, but you think you're on track to hit this Rs. 500 crores kind of target?

Abhishek Khaitan : As Amar said, our Royal Ranthambore, Rampur, Jaisalmer, Sangam, all brands are growing. We are well in target to achieve the Rs. 500 crores.
Harit Kapoor: Fantastic. Those were my two questions. I'll come back in a queue. Thank you.
Moderator: The next question is from the line of Anuj from Antique Stock Broking. Please proceed.
Anuj: Hi team, good afternoon. Congratulations on the great set of numbers. Just one question from my side. During 1Q, the management highlighted that there's been an improvement in working capital on account of UP's reforms. So, when I was looking at the 1H balance sheet that translates to roughly a 15 to 20 days improvement. So, we see further improvement of the working capital through 2H?

Dilip Banthiya: Working capital has improved, as in UP, we have unlocked value because of the duty being now funded by the wholesaler . But it's a cyclical thing, sometimes the stocking of raw material happens to take advantage of the cycle .
The debt reduction has been lower than it was in Q1 of this year, mainly on account of 2 large payments, one is investment

in D'YAVOL
Spirits and another is Dividend . We are very conscious about working capital management and we allocate resources as per the requirement of the business . We will continue to reduce our debt. In H2 , you will see further deceleration of our loans. So, we are confident about it.
Anuj: I was more specifically on the working capital, could you quantify the benefit that is coming from the UP's reform?
Dilip Banthiya: Benefit out of working capital is reflected in the interest cost. We can't talk quarter -on-quarter basis, but by next quarter and next year with this company will be debt -free with the free cash flow.
Anuj: Okay, thank you.
Moderator: The next question is from the line of Abneesh Roy from Nuvama. Please proceed.
Abneesh Roy: Congratulations on very good numbers. My first question is on Andhra. So firstly, ex of Andhra, how has been the growth? Second, other players are also talking very positively on the Andhra market and first year has been great. If you could talk about ind ustry growth rate in second year, do you expect again strong growth even in second year, given first year generally, it's opening up. So obviously, you are starting from almost negligible base. And a related question is, you said you have claim ed leadership position in Andhra. So specific things, what has helped in that market?
Amar Sinha: First of all, we have earlier also mentioned. A lot of states in India are contemplating following the UP -excise model. And what does it mean? It means retail should be free and left to the consumer to choose what he wants to buy. The great thing that has been done by t he Andhra government is that they've opened up the retail to private. They've made brands available at the shelf and the consumer is free to choose products at different price points.
Radico has obviously gained from this policy, like we are strong in UP, we have also become strong in Andhra Pradesh, primarily because of

availability, and as a national company, a lot of marketing activities. This growth that has happened in Andhra is likely to sustain in the year ahead as well because we are aware that the government is progressively looking at how to improve upon the existing policy. We feel that this growth will continue and our brands will continue to flourish , more so in the premium segments.
Abneesh Roy: Sure. Second is your growth has been extremely commendable. You have been extremely successful in new launches, new brands. Specific question is in terms of overall market, white spirits seems to be

growing faster. So is there any formal study that the yo uth and the
women, they are taking more towards the white spirits.
And within white spirits, I'm sure you must have gained share given
such a strong performance. And in the overall spirits also, if you could
discuss white spirits, how much is the gain in market share in the last
2 years?
Amar Sinha: Okay. This is a question that I would have loved somebody to ask. First
of all, it's very important for us to mention that white spirits is the
fastest growing segment and stil l is less only 4% of the IMFL industry .
Whereas globally it is in excess of 25% of the spirits industry .
Two, Magic Moments has achieved an incredible market share of 85%
[in the relevant price p oint segments] in the white spirits market. We
have continued to grow this market, continue d our marketing
initiatives . And the Gen Z, especially have now taken to Magic
Moments as an all -time drink and that means even the female clientele
is also joining this drink.
Magic Moments is the brand of the future in white spirits, and we
continue to dominate it with a formidable market share of 85%. We
will continue to upgrade the offerings in the Magic Moments series like
we have done with the flavors of India.
Abneesh Roy: Sure. Last quick question. Now co

ming to a difficult state for the
industry. So Maharashtra, what we have picked up and the beer
company confirmed this, that there is a double -digit volume de-growth
for the beer and similar mid -teens kind of a decline for the spirits
industry. So if you could talk about Maharashtra for the industry and
for you, how things have been? And any update on the Maharashtra
liquor, any policy development for that?

Amar Sinha: Maharashtra, you're right that the spirits industry has actually taken a
beating in the last 3, 4 months, primarily because the consumer price
of the brands have shifted upwards by Rs. 80 to Rs. 100 a bottle, the
small -size bottles.
Now having said that, whenever there is such a change in the
consumer price, the consumer takes its own time to settle with the
price and the choice of brands. It is too early for us to comment on the
fate of the Maharashtra alcohol space. I think we need at least 2 -3
months more for the policy to settle down and then the brand will find
its space.
Abhishek Khaitan: See, the industry in Maharashtra has declined by 25% and we've also
degrown in Maharashtra by about 20%.
Abneesh Roy: Understood. I had earlier asked except Andhra, what would be your
growth? Did you give that number?
Dilip Banthiya: It is double digit growth except Andhra.
Abneesh Roy: Okay, thanks. That's all from my side.
Moderator: The next question is from the line of Yash Sonthaliya from Edelweiss
Public Alt. Please proceed.
Yash Sonthaliya: First question is related to the glass bottling expense. So basically, like
we all know, it has grown a lot in 2025 because of the industry reasons.
But based on our understanding some of the capacities are coming
back in the industries and things are expected to normalize. So I
wanted your sense on the same?
Amar Sinha: See, the glass capacity in India is actually more than the demand as of
now but there are some of the larger players whose capacities were
not being used fully. Right now, the glass bottle prices have also
remained stable. And with more capacities coming into play, I think the
industry is going to see favorable position as far as price and demand
is concerned.
Yash Sonthaliya: So, are we expecting our cost to decline or remain maintained from
here on?
Dilip Banthiya: So, we are at this point of time, not taking this into consideration [in
our guidance]. However, as Amar said, it is a commodity. So, it is a
demand and supply game . So once the supply increases with the large

players increasing their capacity utilization should have an impact on
softer side.
Yash Sonthaliya: Understood. And just wanted clarity, like you were mentioning in AP, we used to have 10% market share. What is it right now? Sorry, I was not able to hear it clearly?
Dilip Banthiya : It's approximately 30% .
Yash Sonthaliya: Thank you, sir. And best of luck for upcoming quarters.
Moderator: The next question is from the line of from Rehan Syed from Trinetra Asset Managers. Please proceed.
Rehan Syed: So, like my majority of questions have been answered so I'm left with only one question regarding your Sitapur distillery utilization . So, what I mean, the Sitapur distillery now fully operational . So, what is the current utilization level and how has this facility contributing to our gross margin? Improvement or cost efficiency in the premium segment, we are expecting some margin improvement in coming quarters or coming year?
Dilip Banthiya : At the time of taking this decision of putting a greenfield project at Sitapur, we said that it is our strategic investment. Since we are growing 20% plus in our P&A portfolio, the alcohol being used is mostly the grain -based. And in most of our products in top end, we use our own grain -based ENA . So, this grain ENA require

ment for branded
business was the compelling reason for putting at Sitapur distillery.
And secondly, malt maturation is also part of it, which is our main focus area for future. Sitapur distillery is completely stabilized. We are operating the distillery at 95% of the capacity and it's running well.
Since, it is a backward integrated for our branded business, hence it is helping us to grow our branded business.
As you've seen in first half, our branded business has grown by 38%.
We continue to see an upward mo vement in our branded business.
So, in 3-4 years' time, we will be fully utilizing the Sitapur capacity for our own branded business. So , I think it is a very valuable and strategic investment by us.
Rehan Syed: Okay. Any margin guidance you have to given?

Abhishek Khaitan: We've already guided that in the current fiscal, we should see 150 basis point increase in the [EBITDA] margin. And in the next 2 years, we expect the margin to increase by 125 basis points year -on-year, thereby , we reach late teens after 2 years.
Rehan Syed: Okay. Fair enough.
Moderator: The next question is from the line of Sanjay Manyal from DAM Capital.
Please proceed.
Sanjay Manyal: Just a few questions, specifically on the ENA part. Given the fact such a high growth has been taking place in the volumes now, you think that we would require one more round of capex if we continue to maintain the entire ENA requirement captive? And if y es, then which major states you would see the ENA requirement will be higher, so you might set up capacity over there?
Dilip Banthiya: We did Sitapur greenfield capex on our distillation cap acity after over a decade. We don't require any more capex for our distillation for the next 5 to 7 years. It is not on drawing board.
Sanjay Manyal: Right, sir. And what kind of benefit we get from this capex versus a player who does not have the captive requirement. I believe now the availability of grains, whether it is broken rice or for that matter, maize and all that for ethanol specifically requirement is high. So, I'm sure the cost for broken rice and the other major raw material is quite low.
So, what's your outlook on both these things?
Abhishek Khaitan: See, as far as the advantage of capacity like the Sitapur , the most important objective of setting Sitapur is for our premium brands

because we source all the spirit of our premium brands from Rampur, Sitapur . So, that is why you see Radico's P&A growth is very high. So , I think, one of the most strategic advantage s for us. And definitely, like I think build versus own, it would be a margin of RS. 6 to Rs. 7 a liter.
Dilip Banthiya: And if grain prices softe n further, it can optimally be at Rs. 8 to Rs. 9.
Sanjay Manyal: Right, sir. And lastly, sir, on our luxury and semi luxury portfolio, you have guided earlier that we would be able to do Rs. 500 crore kind of revenue this year. The kind of growth we are witnessing, would you like to give some number for next year? Or for that matter, if you also can elaborate a bit, which are the major states where we are witnessing the very high growth in the luxury portfolio?

Abhishek Khaitan: First of all, we are quite confident that we should achieve the Rs. 500 crores figure in this year . So, once we achieve the Rs. 500 crores, then we'll think about our next target. So, our first aim was to touch Rs. 500 and actually the luxury portfolio is growing all over , starting Jaisalmer Indian Craft Gin is growing in every state . It's having a good growth. And even our Sangam World Malt has started growing from a small base and now we spread it across many geographies. Plus what we've done is we have taken out the smaller SKUs for Rampur, Sangam, and Jaisalmer, which is fueling their growth.
Royal Ranthambore

, I think is showing an exceptional growth trajectory and it is the only Indian whisky, which is priced even Rs. 100 higher than the bottled in India scotch, and that has seen a growth of 67% and that growth is coming from every states, so it is Pan -India.
Sanjay Manyal: Perfect. Thank you very much and all the best.
Moderator: The next question is from the line of Aditya Soman from CLSA. Please proceed.
Aditya Soman: Sir, 2 questions. Firstly, on the P&A brands, you indicated, obviously, Magic Moments, After Dark and Royal Ranthambore and Morpheus doing very well. Can you give us a sense of what the price index for each of these would be? So let's say, I'm assuming Ma gic Moments to be Rs. 100, how does that price index play out at a broad level or at a company realization level? I understand it will be different state by state.
And secondly, in terms of the revenue contribution of each of these brands or volume of each of these brands, if you can give sense last quarter, if I remember, you mentioned 250,000 cases for Royal Ranthambore doubling. So, can we again get a sense of the scale?
Dilip Banthiya: So as far as the price index is concerned, it starts with the After Dark, which is the deluxe category. If it's 100, then you see the luxuries are 50x to 100x. And Royal Ranthambore will be 25x, 30x of the contribution level. So basically, the price index may vary because state to state have different excise structures and systems . And what is the second question?
Aditya Soman: And the second question was just the revenue or volume salience, of these brands.

Dilip Banthiya: We have a bouquet of brands, where we disclose that the P&A category, which is the Deluxe & Above constitute around 44% of our volume and 68% of our value in the branded business. That has a composite of all Magic Moment, Morpheus, luxury, semi -luxury and all these portfolio.
Aditya Soman: Understand. And can you give us any sense of what the scale of, let's say, something like Royal Ranthambore would be given that, I mean, that while the absolute volume is obviously much smaller, it is a big contributor to revenue already?
Saket Somani : Luxury and Semi Luxury is close to 9% to 10% of our total [IMFL] revenue and Royal Ranthambore is a reasonable part of that and

continues to grow at a very, very fast pace.
Aditya Soman: All right. Very clear. Thank you. That's it for me.
Moderator: The next question is from the line of Kaustubh Pawaskar from ICICI Direct. Please proceed.
Kaustubh Pawaskar: Sir, most of my questions have been answered. I have one question on your regular category. So for last 3 quarters, we have been saying this category has been delivering around 5 million to 5.4 million cases kind of a volume and which has improved from aro und 2 million to 3 million cases, which were in the earlier quarters. So should we expect this particular segment volumes to stabilize at around 5 million cases. So quarter 3, most of the stabilization would happen. And from there, you should expect a regular kind of a growth in this segment of around 7% to 8% .
Dilip Banthiya: So yes, the impact of the Andhra Pradesh, which has come in the first half, but the momentum is continuing. As we guided that this year, we will be growing 20% plus in the H2 also on the P&A category and we are confident to deliver double -digit growth in the regular category as well. Overall growth has already been guided by us this year, we are going to grow 20% plus on the overall volume, including P&A and regular. So, I think the growth momentum continues .
Kaustubh Pawaskar: Yes. From the Andhra Pradesh point of view, just wanted to understand that whatever benefit because of the change in route -to-market strategy would be there in FY 26, from FY 27, it will be a normalized growth in category. Is it fair to ass

ume?

Saket Somani : Yes, you're right. Since the policy change happened in the second half of last year when we had 10% market share. Today, we have 30% market share. So , while in the second half , the base normalizes, we will still have the gain of the market share. And next year onwards, it will be a normal growth that we had earlier guided.
Kaustubh Pawaskar: Sure, sir. And sir, my second question is on the market share itself. So in Andhra Pradesh, this is exceptional mainly because of the fact that there was a change in the policy. But in some of the other states where you have a strong, you know, base how t he market share is shaping up in the states? Because since you have launched a lot of products in most of the categories or under the various segments, are this helping you to gain market share in the states where you already have a stron g foots?
Amar Sinha: So let me tell you, overall market share of Radico in the alcobev space is on the increase. We've grown by almost 200 basis points primarily because of our premiumization drive. And this growth is broad -based across states, geographies. So, I think as the premium brands and the luxury brands continue to strengthen, the market share will also see an improvement.
Kaustubh Pawaskar: Thank you, sir. Thanks for that.
Moderator: The next question is from the line of Pankaj Kumar from Kotak Securities. Please proceed.
Pankaj Kumar: Sir, just one question on this non -IMFL revenue we have seen traction in the last 2 quarters. And of course, there is a bulk alcohol sale. So, do we see this kind of trend continuing in the coming quarters?
Dilip Banthiya: Non -IMFL constitutes 2 major part s, one is the country liquor/UPML and another is bulk spirit sales. So sometimes because of the cyclicality and stocking of inventory , the sales of the bulk spi rit during the quarter may change. However, we have guided that our non -IMFL sales is going to be in a range of Rs. 400 crores to Rs. 425 crores per quarter. At the same time, in Country liquor also, our brands are having a good franchise, and industry is growing 5-6%, whereas we are growing 12% to 13%. So , if the industry grows to 8% to 9%, we will continue to have double -digit growth.
Pankaj Kumar: Sir, my second last question is that we have seen the RTM benefit from UP. So , going ahead do we see similar opportunity from any other

states where probably any change in RTM will have this kind of growth and normal growth? Any comment s on that?

Abhishek Khaitan: See, I think UP has shown the way to most of the states that how to increase revenues to make the policy very easy and accessible. So , I think the 2 major states which can see these changes would be Delhi for sure and Bihar, we are all hoping that it should open up after the election. So , I think these 2 would be game changing states for us and for the industries.

Pankaj Kumar: Okay. Thank you.

Moderator: The next question is from the line of Kunal Shah from Jefferies. Please proceed.

Kunal Shah: My first question is just wanted to get an industry context on Bihar, right? While there are expectations of things opening up possibly, can you give us a sense of how big the market used to be, let's say, 7, 8 years back from an IMFL standpoint? And what would have been your market share at that point in time? So just for us to size up the opportunity if that happens?

Abhishek Khaitan: See, I think 10 years back, I think Bihar would be about 6 million to 7 million cases market. It's a large market. And , also right now, like if you see Bihar emulates what is being done in Uttar Pradesh. So, I think it can be a very big opportunity once Bihar opens -up. Bihar traditionally has been a large consumer of vodka. So, I think once it opens up, it will be a very i

nteresting market.

Kunal Shah: Understood. And any sense which you can give of how big your business would have been back in the day, if possible?

Abhishek Khaitan: So, we were relatively large in Bihar. And that time, we did not have like all our premium portfolio, but Magic Moments and 8PM used to sell a lot.

Kunal Shah: Understood. That's very clear. The second question is, so one price point or let's say, segment within whisky, where I think there's a large opportunity is this entire Royal Stag, Royal Challenge, where you have 8PM Premium Black . That brand hasn't done much in the last few years in our understanding. So any thoughts on what you can do here or how do you plan to play this price point specifically?

Amar Sinha: So, the Royal Stag segment is pretty large. It's about 55 million, 60 million cases segment. In fact, 8PM Black was affected because of route to market and excise policy changes in a few states like Jharkhand, Assam and AP earlier. But now we see the brand growing once again. And we are very hopeful that this brand with the new packaging and new variants that are going to be launched in the same category will fuel the growth in the years ahead. We are very hopeful of this segment.

Kunal Shah: Understood. And the last question was on the luxury portfolio. So given that you had added quite a bit of capacity on the malt side 5 years ago, you'll have quite a bit of mature liquid, which will flow in the coming years. So any plans on, let's say, do you think Rampur would be enough to absorb all of it or how do you think of using that supply to ramp -up?

Abhishek Khaitan: So, we have a plan to address the malt, and Rampur definitely is growing, but there will be more offerings which will be coming very soon in the single malt category.

Kunal Shah: Understood. Yeah, I think that's all from my side. Thank you.

Moderator: The next question is from the line of Abhishek Gulati from HG Wealth. Please proceed.

Abhishek Gulati: So, my first question is, how is the ready -to-drink segment doing for us? And how much it accounts for our revenue? And overall, how this trend is shaping up in India?

Amar Sinha : So we test marketed the ready -to-drink segment with Magic Moments

Vodka Cocktail in about 2 to 3 states. We got a good response. But then what we observed was that the traction for Magic Moments vodka among the Gen Zs was so high that we felt there could have been a slip in the volumes with vodka cocktail and the vodka brand. So, we prefer to taper it off and lie dormant right now.

Abhishek Gulati: Okay. And overall, the demand of those are like a bit growing in India. So far, I have read the growth of that category. What's your view on it?

Abhishek Khaitan: See, as of now, what our views are very clear, hands are absolutely full with all our premium portfolio. And in the RT D, your margins are not high because you do not have that price elasticity. So, I think what we are addressing now the luxury segment, etc., our focus of Radico is there on those segments.

Abhishek Gulati: Understood. Are we revising our 20% volume guidance for the full year as we have seen superb growth in this quarter. So , are we considering to revise it?

Abhishek Khaitan: See, as we say, we don't want to revise the guidance, but we are very, very sure of surpassing 20%.

Abhishek Gulati: Okay. Just last question, if I can ask. Like in the PPT that you have mentioned the upcoming premium brands. So what are in the pipeline for like that would be margin accretive as well?

Abhishek Khaitan: See, we have plans of like, as I said, the single malt is there. Then also we'll be entering into the tequila in our joint venture. So , these are the things which are in the pipeline, plus also spreading the geographical thing of our luxury b

rands.

Abhishek Gulati: Understood. That's it from my end. Thank you.

Moderator: The next question is from the line of Anjali Bajaj from Naredi Investment. Please proceed.

Anjali Bajaj: Congratulations for good set of numbers. My first question is given the extraordinary surge in regular and other volume primarily attributed to shift in group to market in Andhra, how does management assess the sustainability of this high volume growth rate in the regular assessment segment for the second half of the financial year '26?

Saket Somani : So, we have just answered to one of the earlier participants that we had a 10% market share in Andhra last year and today, we have a 30%. So even though the base normalizes, we will continue to see the benefits of higher market share. So, the growth in regular will continue to be strong in second half, maybe not as much as we saw in first half, but it will be still very strong.

Anjali Bajaj: Okay. Thank you.

Moderator: Thank you. Due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments. Over to you, sir.

Dilip Banthiya: As we move forward, our focus remains on accelerating the premium and luxury growth while driving greater efficiency across operations with disciplined capital allocation and prudent financial management. We are well positioned to strengthen our profitabili ty, generate free cash flow and create enduring value for our shareholders.

Thanks for joining us on call today, and we look forward to connecting with you again next quarter. Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited to improve readability.

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RKL/SX/202 5-26/93 January 30, 2026

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Subject: Transcript of Earnings Conference Call

Ref: Disclosure under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Dear Sir/Madam,

In continuation to our letter no. RKL/SX/202 5-26/86 dated January 16, 2026 and p ursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Earnings Conference Call for Analysts and Investors held on January 23, 2026 for the Quarter and Nine months ended December 31, 2025 .

The transcript is also being disseminated on the Company's website a t http://www.radicokhaitan.com/investor -relations/

This is for your information and records.

Thanking You,
For Radico Khaitan Limited

Dinesh Kumar Gupta
Senior Vice President - Legal & Company Secretary

Email Id: investor@radico.co.in

Encl: A/a

Third Quarter and Nine Month FY202 6
Earnings Conference call
January 23, 202 6

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Sanjeev Banga, President – International Business

Presentation:
Moderator: Ladies and Gentlemen, Good Day and Welcome to the Radico Khaitan Limited Q3 FY26 Earnings Conference Call hosted by DAM Capital Advisors.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "* " then "0" on your touchtone phone. Please note that this conference is now being recorded.
I now hand the conference over to Mr. Sanjay Manyal from DAM Capital Advisors. Thank you and over to you, sir.
Before we begin our presentation, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation f or the detailed disclaimer.
Sanjay Manyal: Thank you. Good afternoon, everyone. We would like to thank Radico Khaitan's Management for providing DAM Capital with the opportunity to host Q3 FY26 Earnings Call.
We have with us Senior Leadership Team from Radico Khaitan, Mr. Abhishek Khaitan – Managing Director, Mr. Dilip Banthiya – CFO, and Mr. Sanjeev Banga – President, International Business.
I hand over the call to Mr. Abhishek Khaitan for his Opening Remarks. Over to you, sir.
Abhishek Khaitan: Good afternoon, ladies and gentlemen. First of all, Wishing Everyone a Very Happy New Year and thank you for joining us on Radico Khaitan's Q3 FY26 Earnings Conference Call.
The third quarter represents a defining phase of acceleration for Radico Khaitan , where strategic clarity, portfolio depth, and execution excellence have translated into tangible outcomes. The Indian spirits sector continues to build strong momentum led by premiumization and evolving consumer aspirations. We have converted the se structural tailwinds into our highest -ever quarterly performance with volumes of 9.75 million cases, net revenue of Rs. 1,547 crores, and EBITDA of Rs. 265 crores. These results reflect the strength and quality of our business model.

Our performance was led by a premium and luxury -focused portfolio supported by a benign raw material environment and strong operating leverage. This translated into meaningful margin expansion and a sharp improvement in return ratios, marking a clear infle ction point in the sustainability and predictability of our earnings.
On the brand front, our recent launches are seeing strong early traction, validating the depth of our consumer insights and disciplined innovation and approach. The launch of Rampur 1943 Virasat Indian Single Malt marks a defining milestone in our journey of building world - class luxury Indian spirits. The brand carries forward the soul of Rampur distillery, an institution with legacy since 1943, where tradition and innovation come together to create whiskies of dep th, warmth

and character. Rooted in heritage and craftsmanship and shaped by modern aspirations, it is positioned to set new benchmarks in the category.

Alongside this, our broader premium portfolio continues to scale steadily across key markets, supported by sharper execution and increasing consumer pull. Royal Ranthambore Whisky delivered an outstanding performance with over 50% growth in Q3, driven by strong demand across both civil and CSD channels.

Magic Moments Vodka continued its strong growth trajectory with 18% volume growth during Q3 and crossed Rs.1,050 crores of sales in the nine -month period. This performance was led by the recent flavor innovations.

After Dark Whisky continue d to deliver strong performance, recording 40% growth year -on-year in the quarter, crossing 2.4 million cases volume in the nine months.

8PM Premium Black Whisky ,

where we unveiled the new packaging earlier this year, has started gaining strong momentum. This brand will also be a key driver for our premium volumes going forward.

We are seeing broad -based strength across our premium brands, driven by strategic price positioning and sharper execution. This balanced performance across categories is enhancing brand equity while providing greater stability and consistency to our overall portfolio.

The on -trade channel continues to be a strategic priority for us. As consumption increasingly shifts towards experiences and brand -led

choices, we are deepening our partnership with key outlets and influencers. Strong brand advocacy in the on-trade is improving visibility, accelerating trials and strengthening long -term consumer franchise across premium segments.

I am also pleased to share that during the quarter Rampur Indian Single Malt became the only Indian spirits brand to be served on Air India First and Business Class international flights. This is a moment of pride for us as an Indian brand carrying Indian craftsmanship, heritage and excellence to global consumers and a strong validation of the growing stature of Indian spirits on the world stage.

Looking ahead, our confidence is supported by strong forward visibility, a robust balance sheet, a stable cost environment, improving mix and a pipeline of brands and extensions that align well with evolving consumer preferences. We remain focused on disciplined growth, capital efficiency and building brands that endure . With a differentiated portfolio, an execution -driven organization and a clear premiumization -led strategy , we are well-positioned to sustain momentum and deliver consistent, profitable growth in the next quarter and the year ahead.

With that, I would now like to hand over the call to our CFO, Dilip Banthiya, for a detailed review of our financial and operational performance . Thank you. Over to you, Dilip.

Dilip Banthiya: Thank you, Abhishek. Thank you, everyone, for joining us on this call today.

Q3 FY26 was a strong quarter with encouraging operating performance, translating into higher profitability and improved return ratios. The results reflect the combined impact of premiumization, scale benefits, input cost stability and disciplined financial management.

During the quarter, we delivered a strong all -round performance with the highest -ever total IMFL volume of 9.75 million cases, reflecting 16.7% year -on-year growth. Prestige & Above category, excluding the royalty brand s, continued its steady upward trajectory, recording 26% volume growth and 29% value growth, with reali zation s improving by 2.8% on year -on-year basis.

Our regular category volume grew by 33% in the quarter. The change in route to market in Andhra Pradesh was a key driver of this rebound ,

supported by agile execution, strengthened brand availability. Our performance in Andhra Pradesh has been encouraging with our market share increasing from over 15% in Q3 of last year to 26% in the quarter gone by, making us the leading player in the state.
On profitability front, Gross margin during the quarter was 46.9%, representing a 350 bps expansion on year -on-year basis, 290 bps expansion on quarter -on-quarter basis. Gross margin improved on YoY basis due to an improved raw material scenario, coupled with ongoing premiumization. Raw material accounted for 225 bps of gross margin expansion during the quarter as compared to last year Q3. We remain optimistic that E NA and grain prices will stay stable to favorable in the near -term, providing continued margin support.
Our A&SP investment were at 6.9% of IMFL revenue s, compared to 5.5% in Q3 FY25. While quarterly variations are expected due to the campaign timing, we continue to guide for

A&SP spending in the range
of 6-8% to sustain strong brand visibility and growth.
EBITDA margin expanded by 300 bps on year -on-year basis to 17.2%.
Turning to the balance sheet . Our net debt reduced by Rs. 209 crores since March 2025, driven by improved profitability. Our balance sheet remains strong , and we are on well track to become debt -free by FY27.
The Board of Directors has approved setting up a 100% wholly -owned subsidiary of the Company in Scotland. This is in line with our strategy of investing in our Malt capabilities. Radico Khaitan is one of the largest importers of vatted malt spirits, and this step is towards securing access to the matured malt supply chain for distillation and maturation in a cost -effective manner.
Capital allocation continues to be prudent and selective. Our ongoing capex is largely directed towards maintenance capex and essential capacity optimization.
Looking ahead, while we remain mindful of external volatility, the current cost environment, operating leverage benefits, and financial discipline provid e comfort on margin sustainability and cash flow generation. Our focus remains on improving profitability, strengthening the balance sheet, and enhancing returns.
With this, we will now open the line for Q&A. Thank you.

Moderator: We will now begin with the question -and-answer session. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: Congrats on great performance. My first question is apart from Andhra market, where you highlighted market share gains and very strong absolute performance, which other markets , either you have grown faster than the company average, and you have gained market share, either of these ?
Abhishek Khaitan: I think our growth has come from basically everywhere except Maharashtra, the major states where we have grown would be Andhra, Uttar Pradesh, Telangana, then Rajasthan, MP, Haryana. These would be the markets where we have grown faster.
Abneesh Roy: On the two specific states which you mentioned, in UP, if you could comment if in the country liquor, is there any increase in competition? And second, in Telangana, some of the other companies have mentioned that in Q3, there was some adverse impact of r oute -to-market change. So, what have you seen in these two markets?
Abhishek Khaitan: So, as far as UP, the country liquor segment goes, actually there is competition everywhere, but at Radico, we have got the highest volume and highest market share as far as the country liquor segment goes. And to the second question about Telangana, there was a lottery

which was done in the month of December. So, October, November, the sales were slow, but December, it was a bumper sale for everyone.

Abneesh Roy: Entire quarter, how was it in Telangana?

Abhishek Khaitan: Entire quarter, it was a mid-single digit growth, about 5% to 6%.

Abneesh Roy: Understood. Now, last question, we are seeing most of the liquor companies see good expansion in gross margins, which is a good development. But, in the past, if we see such good periods of gross margin expansion, have you seen some of the players become a bit more competitive, a bit more focused on market share? I understand ad spends, everyone will see an increase, that is not a problem. But from a pricing perspective, is there a risk that in some markets, some players might become more aggre ssive?

Abhishek Khaitan: We feel alcohol is more of a luxury / lifestyle product, it is more of a brand. So, by cutting prices, the brands are not built. And as far as Radico is concerned, we do not chase volumes. So, we prefer to build

brands, which always pays off in the longer run. So, we are not seeing any kind of such activities.

Abneesh Roy: Sure, thanks. That is all from my

side.

Abhishek Khaitan: Thank you.

Moderator: The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Hi, good evening and congratulations on excellent results again. So, I just had three questions. One was on 8PM [Premium] Black. So, this has been a brand that did extremely well for us and then we saw it slow down a little bit last year, seems to have kind of picked up in terms of growth again. So, if you could just highlight any changes that you made in the brand, in the packaging , blend, is it just increased distribution expansion and just an outlook, do you see increased market share gains in that price point segment now? You also have After Dark there. So, just some sense on 8PM Premium Black and its trajectory . That is my first question.

Abhishek Khaitan: 8PM Premium Black, we have gone for a packaging change. Gradually, we have extended to all the states now. And in fact, last quarter, the brand did extremely well; it grew by 40% and overall, we have been in plus this year. And now it is back into a growth trajectory. And as far as After Dark goes, it has grown very well; for the quarter, we have grown again at 40%, and for the entire year, it is up by 80%. So, I think both the brands are on the right trajectory right now.

Harit Kapoor: Got it. The second thing was on the Scotland subsidiary. So, could you just explain a little bit about how this helps in terms of your procurement and what benefits you get out of this as well as whether there is any investment required in this one?

Dilip Banthiya : As you know we are one of the largest importer s of the matured malt spirit s from Scotland. Our focus is on malt -based alcohol and malt -based whisk ies, so, this is the first step in that direction as we are procuring more and more matured malt spirits . There are various options available, buying of fresh malt there, maturing it there, exchanging the malt, and if need be, the re will be future investing in malt distillery .

Harit Kapoor: Will there be any initial investment required there or you are just going to figure this out as time progresses?

Dilip Banthiya : So, I think we are starting in a very small way, but in due course of time, as the value creations happen, we will look at using the 100% subsidiary. And in ODI route, we do not have any issue. But, as time progresses , we will come out with our investing strategy, what we want to do with that.

Harit Kapoor: Got it. And last question was you have seen a host of new initiatives in

P&A in the last six to 12 months. When we look at say next 12 to 15 months going forward, apart from the D'YAVOL investment and likely outcome of that over the next few quarters, whe never that happens, do we see that it is going to be more investment in what we have done so far over the last six to 12 months, you have done a lot and are trying to kind of expand distribution for these new initiatives, focus there or you th ink there is, at least in the next 12 to 15 months, there is more scope for filling white spaces, adding new variants and stuff like that? So, my short question is it kind of consolidation and distribution expansion for our recent new initiatives, is the way to look at kind of P&A over the next 12 to 15 months rather than a host of new things which we have done over the last six months?

Abhishek Khaitan: Harit, this is a very good question. Like, if you have seen the last two to three years, the kind of brands we have launched, starting from our latest two brands which are the [Rampur 1943] Virasat Indian Single Malt, our the Spirit of Kashmyr Vodka, then even Kohinoor Rum, Sangam, and the Morpheus Whiskey, I think these are very powerful brands and if I see them five years down the line, they will be really big brands hopefully. So, I think the time is where Radico with its

distribution , in the next two years, is going to take it to all India and concentrate on the building distribution of these brands. Because these all brands are apart from Morpheus, they are in the luxury space and we feel there is a huge potential which we can harness what we did with our Jaisalmer Indian Craft Gin which now commands more than 50% of market share in t he luxury gin space. So, I think what you have rightly said, this is the consolidation apart from the regular portfolio, we are going to spread and focus on our distribution on these.

Harit Kapoor: Fantastic. Wish you all the best . Thank you.

Abhishek Khaitan: Thank you, Harit.

Moderator: The next question is from the line of Karan from Choice Institutional Equities. Please go ahead.

Karan: Hello, sir. Congrats on a great set of numbers. So, I have seen Royal Ranthambore being available here in Gymkhana as an on -trade kind of exercise. Could you throw some more color on what we are doing as part of increasing our on -trade, and what is the current percentage of on -trade versus off -trade?

Abhishek Khaitan: If you see about a year and a half back we said that we have to really work hard on our on -trade part because now we have got the luxury brand s. So, in fact, in the last one and a half years, we have really beefed up our on -trade team. We have recruited from all the institutions, etc., We have been close to about 50 to 70 people on the on-trade side. And we have addressed bars, clubs, and everything. So, I think that is where the future of these luxury brands is there. And what we are seeing, there is a huge visibility which we have achieved. Like even in the airport, if you see 70% -80% of the outlets carry our brand s now. So, I th ink on -trade, we have worked very hard and we have got great results there. On -trade would be about close to 6% -7% of our total sales now.

Karan: Okay. 6% -7%. That is great. So, there were also offers. Do we plan on continuing with offers? And is these offers like buy -one-get-one included in our A& SP or is that above our revenue line?

Abhishek Khaitan: So, it is a part of our A& SP. So, on -trade has lot many activities. So, it is all a part of the A& SP.

Karan: Okay. Thank you so much. I will get back to you later.

Moderator: The next question is from the line of Het Raichura from Ananya Research. Please go ahead.

Het Raichura: Congratulations on the set of numbers, sir. I would like to know the update on the Tequila category. So, what kind of margins are we looking at and what kind of revenues can we expect in the coming quarters?

Abhishek Khaitan: As you know, Tequila is a high -margin business. But the volumes, it will take time because it is a growing category in India. So, margins will be quite healthy in that.
Het Raichura: Okay. Any numbers that you would like to put on?
Abhishek Khaitan: We would not like to comment on the margin number for the Tequila.
Het Raichura: Okay. Congratulations and thank you.

Moderator: The next question is from the line of Nilabja Dey from Ashmore Research. Please go ahead.
Nilabja Dey: First of all, congratulations on a great set of numbers. Sir, there is a news specifically in the leading newspapers, that alcohol companies are facing issues in collections in Telangana and also some operational challenges after this new excise policy. Obviously, the second one is not n ew in Maharashtra. But in Telangana, there is a collection issue and the government is not releasing money. Is there any improvement, can you just throw some light on how the things are panning out?
Abhishek Khaitan: The collection issue has been going on for the last two years. In fact, in the last one to two months, we have got payment out of the old outstanding, and hopefully, the ent

ire old outstanding should be cleared within a month. So, I think we are quite hop eful things should improve.
Nilabja Dey: Okay. And Maharashtra, sir, after this new excise thing, the country liquor is getting traction and the premium ones are getting some issues. So, is there any normalization of the stuff?
Abhishek Khaitan: What has happened in Maharashtra is they have introduced this Maharashtra Made Liquor, MML, which can be catered by only the local companies who have a Maharashtrian as a partner or an ownership origin. So, what has happened is the MRPs have been raised fr om the regular range to Rs. 200-plus for a nip bottle. So, the industry in Q3 has declined by close to about 20%. But the Maharashtra Made Liquor is slowly gaining pace. And I think the total market size of Maharashtra will be about 2.4 million cases p er month, which is down to about 1.8 million cases, and Maharashtra Made Liquor is now right now 4 to 5 lakh cases.
Nilabja Dey: Okay, sir. Thanks for the clarification. All the best.
Moderator: The next question is from the line of Nitin from Emkay. Please go ahead.
Nitin: Thanks for the opportunity. I would like to continue with the previous participant’s question. I just wanted to have some clarity around what the stance is with respect to the court allowing all the companies participate in MML, so, are we also looking to participate under our JV? That is the first question.

Abhishek Khaitan: Actually, in this month only, we are going to launch our MML through our joint venture that is RNV, and we should be in the market this month onwards.
Nitin: Okay. That is heartening to know. Second question pertains to like with respect to the raw material setting, first is around the scotch prices. Are they inflationary? How we are placed with the scotch price?
Abhishek Khaitan: I do not know about being inflationary because if you see all the news articles, it is saying that there is a sea of scotch which is available in Scotland, there is a glut. So, I think we are seeing a price decline in fact in the scotch prices. And there is enough of Scotch which is there. So, we are seeing softening of prices.
Nitin: So, this is good. And in terms of like just wanted to have some perspective around this banqueting market like where we have wedding parties, corporate events. So, how material is this segment for the overall AlcoBev sector? And how are we placed in this segment

since we have the full portfolio available with us now?
Abhishek Khaitan: This is one of our key focus areas now. And in the last one and a half years, we have really beefed up our team and we are addressing this part of the segment since we have our portfolio and we have got substantial gains from it. More important is that you must be seen in these banquets, these parties, etc., which create s a brand. So, I think this is one of the biggest focus areas of Radico right now.
Nitin: And how material would be the contribution for the industry?
Abhishek Khaitan: I would not say the contribution. As I said, on trade combining these banquets, etc., would be in the range of about 6-7%. So, more than the volumes, it is more the imagery and more being seen at these places and sampling.
Nitin: My last question pertains to this luxury portfolio. So, would you be able to quantify what the salience of revenue is for the nine months? Thank you.
Abhishek Khaitan: See, last year we got Rs. 340 crores and this year we should be close to about Rs. 500 crores in revenue terms.
Nitin: Okay, thanks a lot and all the very best.
Moderator: The next question is from the line of Abhijeet Kundu from Antique Stock Broking. Please go ahead.

Abhijeet Kundu: Congratulations, sir, on a very strong set of numbers. My first question was on Andhra. You have o

utperformed, increased your market share sequentially and which is, I believe, has been driven by brandy. So, getting into the next year, how do you see the overall scenario there, because the market share gains have been very consistent and has been goin g up, how do you see that market growing for you, in the sense that, because sustaining that kind of growth on this ki nd of base would be challenging, how do you see that?
Abhishek Khaitan: Yes, Andhra has been a very good market for us as of now. And what we have seen is the premium side of the portfolio has also started increasing in the last two, three months, which we feel should gain traction, which should be very good for Radico. And as far as the brandy goes, where we have a lion's share at the regular segment, I think going forward, we will be happy if we can maintain our market share and participate in how the industry grows there.
Abhijeet Kundu: Okay. And in case of your debt levels, those have been coming down consistently. Over what period do you plan to, I mean, repay majority of that?
Abhishek Khaitan: If you see, our debt is hardly anything which is left now. So, that is least of our concern. But I think the kind of cash flow the company is throwing, by next year, FY27, we will be debt -free.
Abhijeet Kundu: Great. The third question is, you have now created a subsidiary in Scotland. So, I mean, acquisition of Scottish breweries, distilleries, all of that would be a part of this, right, because there are a lot of Scottish breweries, distilleries there, which could be on the block, so, obviously, those would be your target, right?
Abhishek Khaitan: See, as Dilip was saying that we are one of the largest buyers of bulk Scotch, and our premium portfolio is growing, the need of Scotch is going to go up. And also we are seeing a decrease in the prices of Scotch, because there is an oversupply. A lot of distilleries are getting closed. So, that is why we created a subsidiary, so that we will be evaluating, but we are not in a hurry . But we have taken a enabling provision by making company, whether we mature malt out there, we buy directly, or if there is something which is available at a very, very good price, which has the inventory of Scotch, not brand. So, we can look at it, but as of now, nothing is on the cards.
Abhijeet Kundu: Okay, sir. Thanks. That is it from my side. Congrats again.

Moderator: The next question is from the line of Naveen Trivedi from Motilal Oswal. Please go ahead.
Naveen Trivedi: Yes, good evening, everyone, and congratulations on a very strong set of numbers. Sir, just a couple of things from my side. In terms of the P&A volume growth there has been consistent kind of a strong delivery despite we have seen other players have not kind of seen this sort of a growth rate. Any color about the market where we have seen ahead of what we kind of reporting the numbers, to get a sense about whic h of the markets we are kind of gaining share? So, that is the first question, and the second question is on the margin side.
Abhishek Khaitan: To answer your first question… already we have answered the same where we said that we have seen market share increases compared to competition in states like Uttar Pradesh, Rajasthan, MP, Haryana, Telangana, all these places.
Naveen Trivedi: Sir, my next question was on the margin side. So, this quarter we have seen both gross margin and EBITDA margin have seen plus 300 sort of a kind of expansion. So, what is the outlook on the gross margin side and EBITDA margin side for next year? And also in terms of margins, how mix is playing the role and how much RM cost is being supported this quarter, sir, if you have any break -up.
Dilip Banthiya: So, the gross margin in this quarter has improved by 350 basis points. It is a combination of softer raw material scenario wh

ere we have had an improvement in margin of around 225 basis points, and the premiumization and product mix has been 125 basis points margin improvement. On a sequential basis, product premiumization has played a key role where the margin has improved by more than 250 basis points. The 200 basis points are on account of the product premiumization, and 50 -60 basis points are on account of the raw material softening.
Naveen Trivedi: Sir, any comments on the outlook side?
Dilip Banthiya: We see the scenario of raw material to be stable to benign. And I think the upward trajectory , as we guided earlier , also that in the next two years, we are going to improve our margin based on our product profile and premiumization happening , by 125 basis points each for next two years, thereby going to late teen kind of margin.
Naveen Trivedi: Yes, sure sir. That is all for my side.

Moderator: The next question is from the line of Jasdeep from Clockvine Capital. Please go ahead.
Jasdeep: Hi sir. Thanks for taking my question. Sir, what have been the trends on the export front in the nine months, what is exports as a percentage of sales and by how much has it grown over the last nine months?
Sanjeev Banga : Well, as a percentage of the overall business, the volume is about 5% and the revenue is about 8%. And we have been having a steady growth in our export business, both in terms of the luxury portfolio as well as the regular portfolio. We are also focusing a lot on the global travel retail and that is a key market expansion or channel expansion that we foresee in the coming years .
Jasdeep: Got it. And sir, what has been the growth in revenues in the last nine months in exports?
Sanjeev Banga : It has been consistent. So, we are happy with that.
Jasdeep: Got it, sir. And what is the composition of exports in terms of the contribution of P&A to the overall exports revenue?
Dilip Banthiya: So, we give a composite number ; it is 7.5 -8% by value and 5% by volume.
Jasdeep: Thank you, sir. That is all from my side.
Moderator: The next question is from the line of Nitin Awasthi from InCred Research. Please go ahead.
Nitin Awasthi: Hello, sir. A broader question from my side. About a decade ago, if you would sit down with any liquor company which would have aspiration and ask about the end goal, asset acquisition, at the end, finally, you would end up with a distillery in Scotland b eing a must for any

company in India and Indian company to do well. However, over a period of time, we saw Japanese whisky is doing very well with Japanese malts and of course, Indian malts itself doing very well. Then it seemed like that Sco ttish distillation and malt unit was no more a requirement for Indian brands or Indian companies to succeed. Is there a misread in this assumption of mine or is that a very, very big requirement still even after the success of Indian malts?

Abhishek Khaitan: This is an interesting question. Like earlier, if you talk about wine, it would be only France. But now you see wines coming from all the regions across the globe. In fact, the new age wines are somewhere

much better than maybe the old age wine. So, same thing like in the malt that you see, earlier it was the Scottish malts and now the Japanese malts are more expensive than the Scottish malts, in fact, Indian malts are becoming more expensive than even the Scottish malts as of now. So, I think the trend is changing and more importantly is people across the globe, people in India want a different taste and a different experience. And malt has its unique character where every country has a different kind of palette to their malt. So, I think it is now kind of a global phenomen on. You no longer have to be in Scotland to have the right malt.

Nitin Awasthi:

Understood, sir. Thanks to this phenomen on that has taken place in the last decade within Japan, in India, would probably be the reason for the supply or the g lut being there increasing in Scotland, having the pressure on the prices of the said malts because they had naming rights on their malt. They were the only guys who could call it scotch, nobody else could. Everything else was still called malt. Since because of that reason, it would be the reason of the price correction that these guys would have seen. So the current move, if any, should be seen as an opportunistic move rather than the play of Scottish malts still being the premium brand to go to, is t hat understanding correct?

Abhishek Khaitan: It is a yes and a no. To some extent, 100% of what you are saying is right. The malts from India, malts from Japanese, even Taiwan, a lot of countries, they have got their own malts, but Japanese and Indian malts have really done well. And second is there is a slowdown in US, Europe and China, which has further added pain to the scotch industry. So I think it is a combination of all the activities where it is a great opportunity because for the existing brand, when you are using the X kind of malt, you get that price advantage.

Nitin Awasthi: Understood, sir. Got it. Thank you.

Moderator: The next question is from the line of Anurag Jain, an individual investor. Please go ahead.

Anurag Jain: Good evening, sir. Congratulations on an excellent set of numbers. My question is, till now, Radico has developed all the brands in -house across different categories within the spirit segment. For Tequila, you have taken a markedly different approach in terms of how to tap the market. So, what are the reasons driving the trend, if you could throw some light on that?

Abhishek Khaitan: First of all, Radico has created all the brands organically. So even in Tequila, it will be our brand which will be created organically, bottled in Mexico. So, in Radico , we are following the same policy because we know the art of creating brands and we always prefer to build versus buy. So, I think we are following the same thing in Tequila also.

Anurag Jain: Okay, sir. As per the press release, it shows that Radico will be holding a 47.5% stake. So, is there some other arrangement for the brand ownership or that would be also 47.5% only currently?

Abhishek Khaitan: This is a joint venture between Radico Khaitan, 47.5%, 47.5% is with Shah Rukh Khan and his associates and 5% is with Nikhil Kamath.

Anurag Jain: Alright. Thank you.
Moderator: The next question is from the line of Abhijeet from Antique Stock Broking. Please go ahead.
Abhijeet: Thanks for the follow -up. My question was on Morpheus Whiskey. I believe it is now available across eight states. So, how has been the initial response to it? And to follow up, you would be also registering it with the CSD at some point in time. When do you see that, I mean, what are the plans with that?
Abhishek Khaitan: As far as Morpheus goes, it is right now at the seeding stage and the initial response what we are getting is quite positive. We have priced it higher than the leading brands. So, it is at a higher price point which Radico has always done with all its bra nds. So, I think the response what we are getting from the market is encouraging. It will take time, because as we said, we do not chase volumes, we let the brand grow on its own, and we feel that it has good potential. And as far as the CSD goes, it is still a long way off to get into CSD, because you have a lot of criteria about the number of years it has to be in the civil market , sales in cases, then it takes one year to come in. So, I think there is still time left for it to enter the CSD.
Abhijeet: Okay, sir. Thanks. That is it from my side.
Moderator: The next question is from the line of Ajay

Thakur from Anand Rathi Securities. Please go ahead.
Ajay Thakur: Yes, I had two questions. First was I wanted to understand more on the contribution run rate that we have from the super -premium and the luxury segment? I remember a few quarters back, you had

indicated that the run rate was roughly about Rs. 400 to 500 crores on an annual basis for the super -premium and the luxury brands. What it would be now if you can share some details around the same?
Abhishek Khaitan: Actually, we have already told in our call that we expect it to be close to Rs. 500 crores for the current year, which last year was Rs. 340 crores.
Ajay Thakur: Okay. And the second part, I wanted to also understand a bit more on what would be the policy for the cash we would be generating post the debt repayment, how would we be utilizing this cash and how would we be in terms of distribution of this cash as wel l, if you can share some insights into that as well?
Abhishek Khaitan: I think depending on the board’s decision, but I think mostly it will be used for dividend payouts.
Ajay Thakur: Understood. Quite helpful. Thank you, sir.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.
Dilip Banthiya: In closing, this quarter underscores the strength and momentum of Radico Khaitan’s business model. Record operating performance, expanding margins, improving returns and strong cash generation highlight the quality and durability of our growth. With a differentiated portfolio, disciplined financial execution and a robust balance sheet, we are well positioned to sustain this momentum and continue delivering consistent, profitable growth. We remain highly confident in the road ahead an d committed to creating long -term value for all our stakeholders. Thank you for joining us today, and we look forward to connecting again next quarter .
Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
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Note: This transcript has been edited to improve readability.
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Exchange Plaza, 5th Floor , Plot no. C/1,
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Scrip code: RADICO

Subject:

Ref: Transcript of Earnings Conference Call

Disclosure under Regulation 30 of Securities and Exchange Board of India (Listin g Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Dear Sir/Madam,

In continuation to our letter no. RKL/SX/202 6-27/06 dated April 2 9, 2026 and p ursuant to Regulation 30 of the Listing Regulations, please find enclosed herewith the Transcript of Earnings Conference Call for Analysts and Investors held on May 7, 2026, for Quarter and financial year ended March 31, 202 6.

The transcript is also being disseminated on the Company's website a t
https://radicokhaitan.com/investor -relations/

This is for your information and records.

Thanking You,
For Radico Khaitan Limited

Dinesh Kumar Gupta
Senior Vice President - Legal & Company Secretary

Email Id: investor@radico.co.in

Encl: A/a

Radico Khaitan Limited
(BSE: 532497; NSE: RADICO)

Fourth Quarter and Full Year FY202 6
Earnings Conference call
May 7, 202 6

Management Participants:

Mr. Abhishek Khaitan, Managing Director
Mr. Dilip Banthiya, Chief Financial Officer
Mr. Sanjeev Banga, President – International Business
Mr. Sudhir Upa dhyay, Chief Sales Officer

Presentation:
Moderator: Ladies and Gentlemen, Good Day and Welcome to the Radico Khaitan limited Q4 FY26 Earnings Conference Call hosted by DAM Capital Advisors.
As a reminder, all participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Mehra. Thank you. And over to you, sir.
Before we begin our presentation, I would like to remind you that some of the statements made in today’s conference call may be forward -looking in nature and may involve risks and uncertainties. Kindly refer to the last slide of our earnings presentation f or the detailed disclaimer.
Abhishek Mehra: Thank you. Good evening, everyone. We would like to thank Radico Khaitan’s Management for providing DAM Capital with the opportunity to host Q4 FY26 Earnings Call.
Today, we have with us, Mr. Abhishek Khaitan – Managing Director, Mr. Dilip Banthiya – CFO, Mr. Sanjeev Banga – President (International Business), and Mr. Sudhir Upadhyay – Chief Sales Officer.
Now, I would like to hand over the call to Mr. Abhishek Khaitan for his Opening Remarks. Thank you. And over to you sir.
Abhishek Khaitan: Good afternoon, ladies and gentlemen and thank you for joining us on Radico Khaitan ’s Q4 FY26 Earnings Conference Call.
FY2026 has been an important year for Radico Khaitan and in many ways an inflection point in our journey. The business delivered a strong performance supported by disciplined execution, a richer portfolio mix and a continued focus on value -led growth. During the year, we crossed two key milestones with net revenue exceeding INR 6,000 crores and EBITDA crossing INR 1,000 crores.
These achievements reflect the sustainability of our business model, the strength of our brands, the investments we have made over the years, and the growing scale of our premium and luxury portfolio.

Our Prestige & Above segment continue to lead growth while our Luxury portfolio delivered sales value of INR 475 crores, in line with our guidance. We expect to sustain this growth momentum and deliver 25% [value] growth in FY27 in this portfolio.
Our recently launched Luxury -brand s, Rampur 1943 Virasat Indian Single Malt and The Spirit of Kashmyr Luxury Vodka are gaining strong traction with consumers and the trade. In February this year, globally renowned whisky expert and author of The Whisky Bible, Jim Murray was in India for an exclusive tasting event of Virasat. He also visited Rampur for the opening of our latest stil lhouse. His earlier visit to Rampur was nearly three decades ago when our first malt plant was

just a couple of years old. Our current single malt portfolio not only showcases the craftsmanship behind various expressions but also reflects the growing international interest in Indian single malts.

Alongside this, our broader premium portfolio continues to scale steadily across key markets, supported by sharper execution and increasing consumer pull.

Royal Ranthambore Whisky delivered an outstanding performance, growing over 50% during the year, driven by strong demand across both civil and CSD channels.

Magic Moments Vodka continued its strong trajectory with 21% volume growth during the year to reach 8.6 million cases and around INR 1,500 crores in sales value, further strengthening its leadership in the vodka category. During Q4, Magic Moments registere d a 28% year - on-year growth. New flavo ur innovations including Flavo urs of India categor y are contributing to this robust momentum. Going forward, we will continue to add more flavo urs as

we lead disruptive growth in the category.

After Dark Whisky continued to deliver strong performance, recording over 60% growth and crossing 3.1 million cases during the year.

We also continue to deepen consumer engagement through focused marketing, on -trade activations and brand advocacy initiatives. The Royal Ranthambore Limited Edition Pack celebrating India's six legendary tigers brought together premium storytelling with a strong message around wildlife conservation. Our experiential campaign s and focused digital engagement further helped us connect with younger consumers in a more authentic manner.

As we have discussed earlier, the on -trade channel continues to be a strategic priority for us. Over the last two years, we have made significant progress in building a stronger foundation and the results have been in line with our expectations. In FY27 , we will further scale our on -trade agenda across advocacy, distribution expansion, key account partnership s and airports. These initiatives will enhance visibility, trials, consumer experience s and premium brand activation s, strengthening the reach and salience of our luxury and premium portfolio .

From a financial performance perspective, the year has been encouraging . A better portfolio mix , relatively benign input costs and the benefit s of scale have helped us to improve margins and return. We will , however , continue to monitor the global environment closely, especially developments in West Asia, given the possible implications for supply chain and input costs.

Looking ahead, the consumer environment remains supportive , and we remain confident about Radico Khaitan's long -term growth opportunity. Our focus will remain on building our premium and luxury portfolio investing behind the innovation and brand equity.

During FY27 , we expect to grow our Prestige & Above portfolio volume by 20% and expect our EBITDA margin to expand by 125 basis points for the full year.

With that, I would now like to hand over the call to our CFO, Dilip Banthiya, for a detailed review of our financial and operational performance . Thank you. Over to you, Dilip.

Dilip Banthiya: Thank you, Abhishek. Thank you everyone for joining us on this call today.

FY2026 was a milestone year for Radico Khaitan , with robust operating performance translating into higher profitability, improved return ratio s and enhanced free cash flow generation. The result demonstrates the power of our premiumi sation strategy, growing scale advantage s, input cost stability and disciplined financial management.

During Q 4 FY26, we delivered a strong all -round performance , with total IMFL volume of 9.52 million cases , reflecting a 4% increase on year -on-year basis. The Prestige & Above category continued its strong

upward trajectory, recording 28% volume growth. Th is performance was supported by strong brand momentum and premiumi sation -led mix improvement . Regular volume degrowth was due to a higher base in Q 4 FY25 after the change in the route to the market in the state of Andhra Pradesh and the impact of policy changes in Maharashtra and Karnataka.

On the profitability front , gross margin during the quarter was 48%, representing an expansion of 450 basis points on year -on-year basis and 150 basis points sequentially. The improvement was led by better portfolio mix, softer raw material prices and ongoing premiumi sation. We continue to monitor the evolving situation in West Asia and are confident of our margin expansion trajectory over the mid -to-long term.

EBITDA margin during the quarter stood at 19%, expanding 565 basis points year -on-year, highest ever EBITDA margin , reflecting the strength of our premiumi sation strategy, operating leverage and continued cost discipline. This margin pe

rformance is an important outcome of the investment s we have made over the years in building our premium and luxury portfolio.

The improvement in profitability has also translated into stronger return ratios . Higher operating profit and better asset utilization have contributed to improved ROE and ROCE . As the Prestige & Above and luxury portfolio continue s to scale, we expect further improvement in the overall capital efficiency of the business.

Turning to the balance sheet , net debt reduced by INR 329 crores during the year, driven by improved profitability and cash flow generation. Our balance sheet remains strong, and we are on track to become debt -free in H1 FY27 . Capital allocation continues to be prudent and selective with ongoing Capex largely directed toward maintenance, efficiency improvement and essential capacity optimization.

In line with our commitment to the shareholder value, the Board has articulated a strong dividend policy with a minimum payout of 20% of profit after tax. This reflects our confidence in the cash generation capability of the business while maintaining adequate flexibility to invest behind future growth opportunities.

Looking ahead, while we remain mindful of our external volatility, the current cost environment, operating leverage benefit s and financial discipline provide comfort on margin sustainability and cash flow generation. Our focus will remain on driving profitable growth, strengthening the balance sheet, improving return ratio s and enhancing shareholder value.

With that, we now open the line for question -answer s.

Question & Answer :

Moderator: We will now begin the question -and-answer session. The first question is from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Hi, good evening and thanks for the opportunity. Sir, two questions. Firstly, can you throw some light on sort of new product launch plans for Fiscal ‘27 particularly in the Prestige & Above and luxury space? And second , your 125 basis points EBITDA margin expansion is fairly robust given the commodity environment. So , how do you plan to mitigate the higher commodity cost? And is this margin expansion over full year ‘26 or 4Q ‘26?

Abhishek Khaitan: To answer your first question about the new launches, if you see in the last year itself , we have launched three -four brands in the luxury as well as the P&A category. So, we want to consolidate that. That will be our first objective and take it nationally like our Virasat Indian Single Malt, The Spirit of Kashmyr. Right now, it is in 10 states, we want to take it to 20 states. So, that will be our prime focus. Plus , we have launched new flavo urs of Magic like Jamun, Mango, Thandai, which we are going to again take nationally. And in the coming year what we feel we are going to launch is some more flavo urs in the Magic family and those will be also in the Flavo urs of India category . Also at the end of the year we will be coming out with Tequila in D'YAVOL Spirits. So, these are our launch plans.

Dilip Banthiya: So, on the margin front, as you noticed that in last quarter we have improved our gross margin by 450 basis points and EBITDA margin by 565 basis points and we are quite confident to add 120 basis points to 125 basis points margins in the coming year '27. So, this is on annualized basis. We have got the price increases in some of the states which amount to be around 60 basis points. At the same time product premiumi sation and operating leverage will yield us more than 200 basis points. So, we will be more than mitigating the impact of the cost

push and thereafter also we are confident to deliver 120 basis points to 125 basis points margin expansion.

Aditya Soman: That is very clear. Thanks very much. And just

one follow -up on the margins. So, will there also be some unlock given that you had a large number of new launches last year and so I am assuming there was a huge marketing spend behind that, so could there b e some unlock in marketing spend as well given that the number of new launches is lower?

Dilip Banthiya : We have been consistent in our policy on spending in the marketing and as we have always guided that 6% to 8% is the bracket where we spend the marketing expenses depending on the new launch es and our existing flagship brand. So, we will balance out in that. Our top line has grown by 25% this year also. So, the increase in top line will further increase the quantum of the marketing expenses .

Aditya Soman: Perfect. That is very clear. Thanks so much.

Moderator: Thank you. The next question is from the line of Vishal Gutka from ASK Investment Managers. Please go ahead.

Vishal Gutka: Thank you. Congrats on good set of numbers. Three questions from my side. First is on Karnataka State. Now with the new policy announced by the state, the pricing differences between regular and premium has come down, so how do you plan to capture that gi ven that the gap has come down a bit, driving the premiumi sation and upgradation agenda that we have? Second question is around West Bengal. Now there is a change in government that has happened. Do you think there could be a meaningful chang e in the way the market operates and if we can provide a framework as of now how the market is operating as on this? The third question is on Bihar State. We are hearing murmurs that prohibition could be uplifted. If you can provide an update that you are aware about? Thank you.

Sudhir Upadhyay: So, first of all regarding Karnataka which you had asked, yes, we have seen last time when Karnataka rationalized the pricing for the premium brand s, there was a significant growth which has come on the premium brands. And since we have the portfolio of the premium brands like Rampur, Jaisalmer, Royal Ranthambore, etc., it is very well established there. We also gained the advantage on account of this price rationalization which has been done almost a year and a half back. Now, this time also we are anticipating the government is

working on similar line. Although the official announcement is not there, in that case, if it is going to be there, we will certainly be benefited with that. Your second point is regarding West Bengal. West

Bengal, it is too early to preempt anything because there is a change which is recently been made . So, we will wait and watch on what is happening in West Bengal, and on the basis of that we will put the strategy there. We had a strong vodka base there, so we will get the benefit of that.

Vishal Gutka: So, is West Bengal an open market or the regulatory state as of now?

Sudhir Upadhyay: No, it is an open market right now. So, they have private retail, etc. But if there are any changes which is going to happen, then we will see accordingly. And in Bihar, we will wait and watch. Before the prohibition we used to have a large consumer base in Bihar and it is a significantly populated state. So, we will wait an d watch. In the case if anything happens in Bihar, we will get the benefit of it.

Vishal Gutka: Got it. Wishing you all the best for the future quarters. Thank you.

Moderator: The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes. Hi, good evening. So, I just had three questions. One was on the initial comments, Abhishek ji, on the unlock because of the distribution expansion on the luxury portfolio. My understanding was that you have already done a lot of this work . Just wanted to get your sense on how much more this can benefit, whether in terms of more outlets that you can still reach on the on -trade or maybe more products in

those
same outlets, so what is the pote ntial still of that? The second question was on exports. I am sure you would have taken some impact in the last six months because of tariffs, etc., I just wanted to kind of get your thought on how fast that segment can grow going forward and how much impa ct it would have had in '26. And the third question is on the margin bit. The 100 to 125 basis points, are you already including the fact that there will be an India -UK FTA benefit for you possibly in the second half of this fiscal year? Those are my three questions. Thank you.

Abhishek Khaitan: To answer your first question regarding the expansion to the various states and on -trade, I think we see that especially with Virasat, Kashmyr, all this has a huge scope of expanding it. And on -trade also, what we had told about two years back with our lu xury portfolio has

become a key focus area for Radico. So, we are adding outlets by the day and this year brand advocacy is one of our most important initiatives. We are planning to have about close to 1,000 advocacy sessions in the on -trade. So, I think all these put togeth er, that is why we are confident that our luxury portfolio should grow by 25% in terms of value from INR 475 crores. And as far as exports go , I think Sanjeev will answer that.

Sanjeev Banga: In terms of the US tariffs at 10% it is not make or break especially for the luxury portfolio where the difference on the retail end would be about $5 to $6 a bottle . So, that is not substantial. However, the US market as it is, as you would have seen from all the other players as well, whether in the alco bev space or anything else, is on a slightly softer note. But we are all hopeful it will bounce back pretty soon and should not have any major impact on our luxury portfolio.

Dilip Banthiya: Regarding the margin expansion, as you said that UK -India FTA benefit, so 125 basis points expansion is inclusive of all, at the same time there can be some pluses and some minuses. So, we are conservative on our guidance that some something goes on cost push side due the current global environment . So, 125 basis points should be delivered given the current scenario.

Harit Kapoor: Great. That is it from me. I will come back for more. Thank you very much.

Moderator: The next question is from the line of Abhijeet Kundu from Antique Stock Broking. Please go ahead.

Abhijeet Kundu: Yes, thanks for the opportunity and congratulations on a great set of numbers. Just a follow up on the previous question that to just clarify excluding UK FTA and given the current environment Radico is looking

at 100 to 125 basis points improvement in ma rgins. Is that right?
Dilip Banthiya : As we said with the current scenario , I cannot predict if it goes much worse than what it is today . If LPG and other things go out of stock and some of the units of glass bottle disrupt their production and all that. Otherwise, we are confident because we see this should not happen and the geopolitical situation also should be taken care of in next 1 5 to 30 days . And we have a long -standing relationship with our supply chain. So, we are confident about continuity of the supplies . And given these circumstances , we are confident to deliver that until and unless there something goes very, very drastically negative.

Abhijeet Kundu: Okay. And sir, what I understand is Sitapur and Rampur distillery, 50% of it is biomass dependent and less dependent on LPG. So, on an overall basis, things are getting better but assuming that there are issues with LPG supplies, so what happens in that s cenario? That is one question. And second question is that in glass prices, are you seeing any inflation right now? What is your dependence on glass, because the major part of it would be glass?

And then a lot of alcoholic spirit companies h ave switched to hipsters and hence a dependence on PET bottles. So, what could be the overall impact in the current scenario if it increases from the current level, just a slight view on that?
Dilip Banthiya : Your first question regarding the power and fuel balancing . So, 90% of our power and fuel in both the plants Sitapur and Rampur is biofuel - driven. So, I am not at all dependent on the LPG. So, it take s care of itself and the biofuel is locally available and there are boilers and turbines etc., which generate power. So, in both the plants we are self - sufficient on our captive basis.
Your second question is regarding the glass. As I said earlier that we have a long -standing relationship with the glass manufacturers. We do not foresee any impact on our glass supply. At the same time there has been some inflation in the glass prices in the last month; around 15% of the glass price has increased. We have factored into our costing and after that also we are talking about margin expansion.
On your third question , as the trend is going around . On the hipster pocket pack, it is a trendier pack and is gaining momentum. So, that is also reducing dependency on glass. So, that is another feature which is coming in the demand point of view and consumer preference point of view and we are promoting that also.
Abhijeet Kundu: Understood, sir. And on a top line front when I look at your growth and the sustainability of that, if we have to look at a 15% to 16% at least revenue growth for the next few years and about a 11% to 12% volume growth, then a significant part of that wou ld come from Magic Moments. Vodka, After Dark , 8PM Black, I do not know how that is moving on, and there is a part of it which Old Admiral, where you got benefited in Andhra. So, if you have to look for this next two years, how would the sce nario be in terms of your brand growth? I do not want any figures but which would be the brand that would drive the larger growth, one is your INR 475 crores of luxury portfolio which will grow at about 25%, that we understand very well and that is doing very well?

And what about the other portfolio? How have you seen the MML panning out , has it settled down, because that has impacted a part of Radico’s volumes as well?
Abhishek Khaitan: If you see last year our growth of P&A has been 28% and vodka, definitely what we are seeing is a shift towards the white spirits. Like if you see total market share of the white spirit in India is about 4.5%, whereas globally it is 28% to 29%. So, we have still a long way to get that conversion. And I think what we are seeing with the innovations of the flavo ur, etc., a lot of consumers are now shifting to the white

spirit. So, I think in the time to come or in the current year, which we are already seeing , Magic will be a big driver of our growth . After Dark also has grown very well; it has grown by 62% , and we feel that it is gaining traction, so, growth will come from there also. And we did a repackaging of 8PM [Premium] Black in the second half of last year, and this quarter we grew by about close to 60%. So, I think growth is coming from all three angles. So, we are very confident that our P&A category volume growth for the next year will be 20% .

Abhijeet Kundu: Understood. Thanks. That is it from my side.

Moderator: The next question is from the line of Mehul Desai from JM Financial. Please go ahead.

Mehul Desai: Yes, hi sir, congrats on great set of numbers. Firstly, while you did allude to vodka segment and P&A segment being seeing a strong growth, how should one look at the realization growths here, because obviously the luxury portfolio is also growing pretty fast, do you see this realization growth of low single digits that we saw in FY26 for P&A, can that also increase? An

d secondly, how do you look at the regular segment growth on a steady state basis?

Dilip Banthiya: On the realization front, luxury is growing faster than P&A, so we expect that realization at volume and value delta will be in the range of 300 to 400 basis points as an aggregate basis. As far as your second question on the regular segment is concerned , as I said in my opening remark , because of some policy changes and high er base in Q4 of last year, there was a degrow th in Q4 of current year ; however in the full year , we have grown by 30% on the regular side also and for next year , we expect 3% to 5% volume growth in regular category.

Mehul Desai: That is a volume growth?

Dilip Banthiya: Yes.

Mehul Desai: Got it. Thank you. That is all from my end.

Moderator: The next question is from the line of Rahul Agarwal from Infinite Asset. Please go ahead.

Rahul Agarwal: Yes, hi sir, good evening. This is Rahul Agarwal from Infinite Asset. Sir, the question is related to growth. 20% P&A volume growth implies about 3.5 million cases roughly additional. Similar question is what the earlier analyst asked on which categories and brands will contribute, you mentioned Magic Moments, After Dark , 8PM Black repackaging. Are these three categories or brand s going to be similar to contribute this 3.5 million cases, is there enough market for that? That is first question. Secondly, in terms of capacity related question to the growth outlook. To support this 20% growth, you said your CAPEX is largely maintenanc e and optimization. So, how are we placed in terms of in - house capacity across material, packaging, bottling, printing, stuff like that, do we have enough to support this, give more color on this 20% growth? That is the first question.

Dilip Banthiya: So, the first question is regarding the 20% growth on the P&A side. Yes, you are right that these are the brands like Magic family is growing more than 20% in FY26 , by 28% in Q4 and new flavo urs are also adding a lot of strength to the Magic growth. After Dark is present in a very large industry segment of 75 million cases . Royal Ranthambore, the another brand, which is also growing by more than 50%, and as a bouquet as some of the brands are still in a very, very nascent stage , therefore, we are confident to deliver 20% growth as a P&A category. Second question is regarding the capacity. So, around 60% to 65% of our bottling is outsourced by lease arrangements, etc., across India and 30% to 35% is being handled by us in our own plants . So, we believe in outsourcing that with quality tie-up arrangements, etc., So, we are confident. The capex as I said will be in the range of INR 150 crores to INR 175 crores which will be largely on my internal capacity expansion and optimization, etc., So, we will be doing that mix of that. But the capacity is not a constraint for growth.

Rahul Agarwal: Got it, sir. And this entire 60%, 65% outsourced arrangements, from a supply chain perspective, they could face some hiccups in terms of whatever they are sourcing components and material from, of course cash is an issue and it could have some supply hicc ups. In terms of our

discussions with them that this outlook in terms of 20% growth also accounts for all the supplies on time to the vendors as well, right?

Abhishek Khaitan: As far as the tie -up unit goes, all the material is procured by Radico, they are only converting it. So, all the raw material is under our control form supply chain point of view . So, we do not foresee any problem in that.

Rahul Agarwal: Got it. And just lastly on employee cost, just as a direction, when I look at over the last four, five years, this number actually has grown much lower than what top line growth Radico has seen overall from a

system level. Of course, we have been investin g into people and we have been training people inside the company itself. But, going forward, do you still think this 15% cost CAGR for staff cost is enough to sustain this 20%, 25% kind of P&A outlook over the next two, three years?

Abhishek Khaitan: Our internal team is very strong. And second is the operating leverage is coming into play. As the turnover is increasing, you do not require the same number increase of manpower. So, the operating leverage is kicking in which is helping our margins also.

Rahul Agarwal: So, it should continue the similar way as what we have seen so far over the last four or five years.

Abhishek Khaitan: Yes.

Rahul Agarwal: Okay. Perfect. Thank you so much and best wishes for the next year.

Moderator: The next question is from the line of Navani Naredi from Naredi Investment Private Limited. Please go ahead.

Navani Naredi: Congratulations and thanks for the opportunity. So, my first question is rising health awareness. How are you adopting your portfolio like premium, ready -to-drink, low alcohol to capture GenZ consumers, and also diversifying the portfolio which will reduce the dependence on Indian excise policy? That is my first question.

Abhishek Khaitan: As far as the GenZ goes, the white spirit is what the GenZ prefers and that is where our innovation of the different flavo urs of vodka is coming into play. And that is helping us to get GenZ into the white spirits. What I said earlier, we see that white spirit is expanding in a lot of states now. So, I think that is the trend we are seeing with GenZ. As far as low alcoholic or RTD goes as of now we do not have any major plans to get into it.

Navani Naredi: Yes, because these days what I observe personally is GenZ are very careful about what they are drinking and they do not drink too much also, they think and then they act. So, that was my concern like how are we thinking to modify our portfolio into non -alcoholic or low -alcoholic beverages so that we can benefit in future? That was my concern.

Abhishek Khaitan: You are absolutely right. The GenZ, everyone is like health conscious, responsible drinking, etc. They drink less but they want to drink the finest. That is why you see the P&A category is growing across India and that is the main trend.

Navani Naredi: Okay. So, like no future plans of getting into another like low -alcoholic drink, like many of your competitors are also entering into those segments, so you do not have any plan to enter those segments right in future?

Abhishek Khaitan: We do not have any plans as of now.

Navani Naredi: Okay. And another question is like Rampur Indian Single Malt and Jaisalmer and Magic Moments like these are getting a lot of traction in a global market like internationally also. So, like knowing that our share like international contribution to top line is around 8% to 9% only. So, going forward are we looking to penetrate even in a better way the global market scenario, how are we strategizing that forward?

Sanjeev Banga : Yes, the international market is a very important strategic market for us and it is not only the international market, even the global travel retail that is very important. We are currently in 50 -plus airports and our target is to cross 100 airports in a q uick time. In terms of the share of international business , overall, thanks to our domestic business, which is growing at a very, very fast pace. The share keeps coming down. So, we are not complaining about it !

Navani Naredi: All right. That was my question and thank you and I really like this, like this is the first time I am attending the investor call , and you are really doing a great job and all the best for the future.

Moderator: Thank you. The next question is from the line of Yash Patil from Dalal & Broac

ha. Please go ahead.

Yash Patil: Yes. Hi sir. Thank you for the opportunity. So, in Q3 , you flag ged the Maharashtra industry volume down by around 20% and you said you will launch MML through your RNV joint venture in January . So, how

has the RNV joint venture performed since launch? And what is your current market share in Maharashtra? And do you see the market recovering toward the original 2.4 million cases per month in Maharashtra?

Sudhir Upadhyay : See, as far as Maharashtra is concerned , we have saliency of around 3% to 4% of our overall business. Yes, after the MML introduction the IMFL industry has gone down; it has gone down by 20%, 25%. So, gradually MML is stabilizing. And we hope that IMFL over a period of time should come back to a normal position. And since we are in vodka category and above there, Premium & Above is a stable for us.

Yash Patil: Yes. Thank you. And all the best for the future

Moderator: The next question is from the line of Dhiraj Mistry from Jefferies. Please go ahead.

Dhiraj Mistry: Yes. Hi, good afternoon. Sir, can you spend some time on Karnataka policy, how do we read that, and what kind of price decline or hike we can expect across range of products?

Sudhir Upadhyay : See, as we said earlier , that Karnataka is on a progressive march. So, as far as excise is concer ned, they have taken this step last year also where they rationalized the price of premium brands. And our brands like Rampur Single Malt, Jaisalmer Indian Craft Gin, Royal Ranthambore, Sangam, Magic Moments, etc., has been benefited in a larger way, and other brands of the industry have also been benefited. It is a cosmo market at the end of the day. So, it has lot of consumption. Now in the second step also government is also thinking on similar line. But at the same time since the policy is yet not out, so we cannot com ment. As far as market and other things are considered we can say that they are thinking on that line and they have seen a success of Premium & Above category increase, the overall saliency of the Premium & Above category has been increased in the last decision o f that. So, definitely they will look forward for rationalizing the brands further.

Dhiraj Mistry: Got it. And sir, what would the margin be for non -IMFL business for the full financial year? And how do we see the growth as well as margin profile of non -IMFL business going ahead?

Dilip Banthiya : The margin in the IMFL business is around 20% to 21% for full year, and non -IMFL is in the range of 9%.

Dhiraj Mistry: And how do we expect growth in non -IMFL business?

Dilip Banthiya : Non -IMFL business is growing at 7% to 8%. This is a natural growth of the industry. As far as the bulk spirit is concerned , that will be in the due course of time start being consumed by us captively. So, that will get reduced. So, the IMFL is constituting around 70% of the overall saliency of the top line. So, we will see a gradual shift to IMFL from non - IMFL.

Dhiraj Mistry: Okay. And last question is on capex . That now that we will become debt free in FY27 and already you have announced that minimum 20% would be the dividend payout policy. How do we see the incremental capital allocation going ahead? Would we do further capex or would we be looking for inorganic growth or acquisition?

Dilip Banthiya : The first step we have taken to have a minimum payout of 20%, and in due course of time, with the time passes, and the availability of cash generation and free cash flow available, it will be looked into. However, if there is an opportunity which gives us more than 20% to 25% ROC E, we will be looking for that opportunity . But we believe in organic growth rather than inorganic growth. So, as far as the acquisition or anything is concerned, at t

his point of time is being ruled out.

Dhiraj Mistry: Sorry but I do not know whether this question was asked or not. So, in our assumption of 125 bps of margin expansion, do we take any benefit from UK -India FTA trade?

Dilip Banthiya : Yes, it is inclusive. All because there will be some pluses and some minuses. We cannot predict what kind of global and geopolitical situation arises . So, considering all these things , we are confident to deliver on 125 basis point improvement.

Dhiraj Mistry: Okay. So, that includes UK -India FTA trade benefit as well? Thank you sir.

Abhishek Khaitan: Yes.

Moderator: The next question is from the line of Karan Kamdar from Choice Institutional Equities. Please go ahead.

Karan Kamdar: Hello, sir. Thank you for the opportunity and congratulations on a really great set of numbers. So, first question I had is what kind of pricing power do we have across at least our top markets, if you can help me with what our top markets are in terms of salience? And when

can we actually do the revisions, are there any legal restrictions or not on pricing revisions ? Secondly, I really appreciate the goal of reaching the INR 1,000 crores mark and we are saying 25% CAGR to reach it in three years. What kind of brands are our high conviction brands and what kind of geographies are we betting on?

Dilip Banthiya : So, your first question is regarding the pricing power. So, as you are aware that state excise policies generally represent about the reason for seeking price increases and the state government consider it now positively because their concern is also the revenue . As we said that seven to eight states has already given the price increase and this is a continuous process which the industry associations keep doing with the state government, and some of the talks are still on and because of the cost push being faced by the industry. I cannot say that which are the states, but yes, it is an ongoing process.

Karan Kamdar: Sir, Part -2 luxury market, what are we sort of betting on, what are our top brands that we are focusing on for turning INR 475 crores into INR 1,000 crores? And I am sure we will show luxury as a separate line item as well when we reach there. So, what ar e we betting on in terms of brands and geographies?

Abhishek Khaitan: Our guidance first of all is 25% for the next year , not for three years. After that we will see. But we are very confident on our luxury portfolio because we are seeing growth coming from everywhere.

Karan Kamdar: Okay. No particular product or category that we are betting on?

Abhishek Khaitan: Rampur Indian Single Malt, the Expressions of Rampur, the Virasat Indian Single Malt, the Spirit of Kashmyr, Jaisalmer, Royal Ranthambore are all these brands.

Karan Kamdar: Okay, got it, sir. And sir, if you can just list out what are the top three states and what salience we have in those states that would be very helpful?

Dilip Banthiya: So, the top three states are Uttar Pradesh, Andhra Pradesh ,

[Telangana, Karnataka] and Rajasthan . We are pretty well spread out in terms of our saliency. North, south, everywhere. I think Radico is growing, but these key states.
Karan Kamdar: Okay, thank you sir. And all the best for the future.

Moderator: The next question is from the line of Nitin Awasthi from InCred Research. Please go ahead.
Nitin Awasthi: Hello, sir. One, I would like to know given that MML is right now established in Maharashtra and stabilizing and you have a JV there which is allowing you to participate within that industry and you have already lined up some pretty eye -catching products and given that the competitors within said segment would not always be backed by large companies such as yours, given that, do you expect the JV in Maharashtra to take

a substantial portion of this increasing market?
Abhishek Khaitan: We are aiming about 10% MS of the MML category and we just launched it a couple of months back and the response to the brand is quite encouraging.
Nitin Awasthi: Yes, that is definitely there. I have seen the products within the range and of course there is no debate that your products stand out across the line in that category. And given that this distribution strength you have and backing of the main company, th e growth of course there is going to be substantially high if the entity stabilizes. Now here, given that the growth is going to be coming from this segment and that is the market you are aiming at, is there more investments going to be made in the JV?
Abhishek Khaitan: No, the JV is self -sufficient.
Nitin Awasthi: Okay. Even for this market share grab that you are looking at?
Abhishek Khaitan: Yes, absolutely, because it is more of creating the brand and the distribution leverage and the JV itself is throwing lot of cash. So, I think there is no requirement of any investment.
Nitin Awasthi: Understood. So, next question is on the UP side . In UP IMFL , we are sometimes No.1 or No.2. But in Financial Year ‘26 where do we end it at No.1 position or 2 position officially?
Abhishek Khaitan: We are No.1.
Nitin Awasthi: Okay. Currently, we have moved to number one. And within the space of UPML segment, the growth there and how much market are we aiming to capture there? First of all, is the segment itself as exciting as the state policy makes it to be and other consumers also as excited about this segment?

Abhishek Khaitan: I think our market share there is about close to 25%, 26% and we are aiming at the normal growth what the market will be having. We are not looking at abnormal growth there.
Nitin Awasthi: Understood. And in particular on the UPML segment, the excitement is there as the state makes it to be?
Dilip Banthiya: Consolidated , we are talking about 24%, 25% market share in UPML and UPCL.
Nitin Awasthi: Understood.
Saket Somani : Our objective and our focus area, core business is on IMFL side which continues to grow in very, very strong double digit. 20% is our guidance and we continue to focus on that across markets.
Nitin Awasthi: Understood sir. Thank you.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Dilip Banthiya: The current environment reinforces the strength and resilience of Radico Khaitan’s business model . Strong operating performance, margin expansion and improved return ratio and healthy cash flow generation, reflect the quality of our growth and the impact of the disciplined execution. With a differentiated premium -led portfolio, a

robust balance sheet and continued focus on financial discipline, we are well positioned to navigate near -term uncertainties and sustain our profitable growth trajectory. We remain confident in the road ahead and committed to creating long -term value for our stakeholders. Thanks for joining us today. I look forward to connecting with you next quarter.

Moderator: Thank you. On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us. You may now disconnect your lines

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Note: This transcript has been edited to improve readability.

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